

Private Equity Trend Report 2026

PwC



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Table of contents

Preface.....	4
Introduction.....	7
Key findings	9
1. A market of two halves.....	10
2. Dislocation is an opportunity	10
3. Competition has reached new intensity.....	10
4. Returns have recovered their footing	10
5. Confidence in recent vintages	10
6. AI adoption is accelerating.....	10
7. Due diligence is going digital	11
8. Data analytics is leading investment priorities	11
9. ESG has become universal	11
10. Germany's enduring appeal	11
Methodology	12
Market commentary.....	14
Private equity in Europe.....	15
Buyout trends	16
Top buyout deals	18
Exit trends.....	18
Top exit deals.....	19
Geography of European deals	20
Industry focus	21
Deep dive: DACH spotlight	22
Deep dive: Benelux spotlight	25
Chapter 1: 2025 in review	28
Competition time.....	31
Exits up	32

Portfolio performance	34
ESG is driving LP expectations	36
Chapter 2: The year ahead.....	38
Cautious optimism for the coming year tinged by anxiety over low growth and rising regulation.....	39
Moderate exit expansion	40
Narrowing valuation gap is driving deals	41
Slow and steady growth.....	42
Financing under pressure	43
Challenging fundraising and rising regulations are hitting firms	44
Transformation is driving equity stories	45
Sources and sectors	46
Portfolio companies: breaking the bank.....	48
Chapter 3: Return on investment, operational improvements, value creation and digitalisation	51
Operational excellence now trumps financial engineering.....	52
Growth expectations.....	53
Digitalisation is pushing the ROI envelope	54
Value creation	57
Chapter 4: Digital transformation	61
AI is accelerating the digital agenda	62
Focus areas	63
Digitalisation is transforming risk management	64
Digital effect on returns.....	67
Chapter 5: ESG and responsible investing.....	69
ESG is now a competitive advantage	70
ESG at the heart of operations	71
Putting the E in ESG.....	72
Regulatory overhaul	73
SFDR 2.0.....	74
Chapter 6: Zooming in on Germany	76
Europe's largest economy remains a major draw for PE	77
Deepening commitment.....	77
Appendix	82

Preface

The year 2025 has proven to be a defining period for the European private equity industry, characterised by dynamic interplay of structural transformation and strategic opportunity that will shape the market's trajectory for years to come. As we take stock of the past twelve months, it is increasingly evident that the industry has entered a new operational era – one in which resilience, adaptability and execution capability have displaced financial engineering as the primary determinants of success.

One of the most notable developments of the year has been the decisive bifurcation of the European market. Deal count slipped 8% to 3,881 transactions, yet aggregate value surged 28% to €457.6 billion, revealing an industry where megadeals flourished while the mid-market was waiting for valuation alignment. This divergence is not merely cyclical but reflects deeper structural forces: concentration of capital among large-cap managers, elevated dry powder of €434.8 billion, and LP selectivity that increasingly favours established platforms with demonstrable operational capabilities.

Geopolitical disruption, far from paralysing investment activity, has created asymmetric opportunities for firms with the expertise to execute. More than half of respondents reported that trade tensions, political uncertainty and supply chain restructuring actually supported increased deployment in 2025, as corporate carve-outs, "China+1" manufacturing strategies and mid-market succession plays emerged from the volatility. The European Central Bank's rate cuts through early 2025, bringing the deposit facility to 2%, combined with the Bank of England's four quarter-point reductions to 3.75%, provided sufficient certainty for dealmakers to underwrite large transactions without fear of sudden repricing.

Looking ahead to 2026, we anticipate a continued recovery in transaction activity, driven by a confluence of factors including narrowing valuation gaps, stabilising financing conditions and an accumulated pipeline of assets awaiting exit. Nearly two thirds of respondents believe that the European deal environment will improve, while 43% expect to increase new investments this year. The four-year distribution drought that has constrained LP liquidity shows early signs of easing, with exit value having surged 49% to €272.2 billion in 2025 – although the pressure to generate returns through operational excellence rather than multiple expansion remains acute.

In parallel, digital transformation and AI have moved from experimental initiatives to strategic imperatives. Eighty-eight percent of firms invested in digital transformation in 2025, with 94% planning such investments in 2026 – a remarkable acceleration that signals technology's central role in value creation. AI is increasingly being applied across the entire investment life cycle: from deal sourcing and due diligence, where 83% of respondents expect to deploy data analytics and generative AI in 2026, to portfolio company operations where automation and efficiency gains translate directly to EBITDA growth. The firms

generating the greatest value are those embedding these capabilities systematically rather than treating them as isolated experiments.

Environmental, social and governance considerations have reached complete maturity across European private equity. A full 100% of surveyed firms now have ESG policies and implementation tools, with 80% embedding ESG value levers into buy-side assessments. This universal adoption, running counter to political pushback in other markets, reflects the conviction that sustainable operations build more valuable companies. The regulatory simplification delivered by the Omnibus I package has removed administrative friction while preserving the essential architecture of accountability that European investors and regulators require.

Against this backdrop, one of the most prominent themes for 2026 will be the heightened focus on operational value creation within existing portfolios. With entry multiples remaining elevated at 12.8x EV/EBITDA and leverage no longer the reliable return driver it once was, firms must generate performance through revenue growth, margin expansion and strategic transformation. The data confirms that this shift is well underway: returns have stabilised markedly, with 61% of respondents reporting that investments from the past five to seven years met expectations and 21% reporting that they exceeded expectations – a significant recovery from the pessimism of recent years.

Germany exemplifies both the challenges and the opportunities facing European private equity. Despite two consecutive years of GDP contraction and profound industrial restructuring pressure, two thirds of respondents now hold German investments, with 97% planning further deployment over the next five years. The new coalition government's €500-billion infrastructure and defence fund, accelerated depreciation incentives and planned corporate tax reductions are creating fertile ground for the carve-outs, *Mittelstand* successions and green industrial investments where private equity excels.

Despite this optimism, the industry is not without its hurdles. Fundraising remains challenging in absolute terms, with global private capital raised declining in 2025. Europe proved comparatively resilient, raising €334.4 billion¹, and its share of global private capital increased as investors rotated away from North America amid heightened policy uncertainty and trade tensions. Geopolitical instability continues to pose risks, with the World Uncertainty Index reaching all-time highs in early 2026. Competition for quality assets has intensified to the point where deep sector knowledge and transformation capabilities are the only durable advantages. However, the private equity industry has consistently demonstrated an ability to turn adversity into opportunity – a testament to its resilience, strategic foresight and adaptability.

As we look towards 2026, the outlook for the European private equity sector is one of cautious optimism grounded in operational reality. The industry's key priorities will centre on harnessing the power of digital transformation, executing operational improvement at pace and maintaining the capital discipline that

¹ *Global Private Market Fundraising Report* (2025). Pitchbook.
<https://pitchbook.com/news/reports/2025-annual-global-private-market-fundraising-report>

recent market conditions have instilled. The commitment to responsible investing and ESG principles will remain an essential pillar of investment decision-making, shaping strategies that are both financially rewarding and sustainable in the long run.

As we embark on this journey into the new year, I would like to extend my sincere appreciation to all those who contributed to this year's survey and shared their invaluable insights. Your perspectives are instrumental in helping us navigate the evolving landscape of private equity, equipping us with the knowledge and foresight to capitalise on emerging opportunities. Here's to another year of collaboration, innovation and growth – driving meaningful economic transformation in 2026 and beyond.



Dr Ralf Ulrich Braunagel

Private Equity Leader, Germany

Introduction

Opportunity often thrives in adversity. Against a backdrop of multipolar geopolitical fragmentation, tariff upheaval and persistent LP liquidity pressures, the European private equity (PE) industry found ways to deploy capital with renewed conviction in 2025. However, the nature of this activity reveals deeper structural shifts that could define the decade ahead.

The industry's response to recent challenges has been highly adaptive. Financial engineering has given way to operational transformation as the primary driver of returns. Disciplined capital structures and genuine value creation capabilities now separate top performers from those still relying on leverage. Deep specialisation and local expertise have replaced broad geographic and sector diversification as the prerequisites for outperforming competitors.

The tariff disruption and supply chain volatility that characterised 2025 forced portfolio companies to make urgent operational changes across areas including nearshoring, pricing discipline and digitalisation, but simultaneously created asymmetric investment opportunities for firms with the capabilities to execute.

The LP liquidity crisis that has constrained distributions since 2022 has influenced the GP-investor relationship, embedding demands for transparency, faster capital return and demonstrable operational impact into every stage of the investment cycle. This is creating sharper, more focused operators.

Our survey of 250 European PE principals captures an industry at an inflection point. Returns have stabilised and expectations are recovering, but the foundations of future performance have shifted decisively. The firms thriving in this environment have invested heavily in operating capabilities, integrated value creation planning into due diligence, and developed sophisticated approaches to liquidity generation that extend beyond traditional exits.

The industry now faces a defining test. Competition for quality assets has intensified to the point where deep sector knowledge and expertise combined with transformation capabilities are the only durable advantages. The operational demands of portfolio companies require organisational competencies that many firms are still building.

This report examines how the industry navigated 2025's complexities and what this reveals about the path ahead. The model that emerges is leaner, more operationally intensive and more demanding of its portfolio companies than the version that entered this cycle. Those that execute well can look forward to outsized returns in an environment where macro tailwinds can no longer be assumed.

Critically, these ten key findings are not independent developments, but deeply interconnected forces that collectively define a new operating paradigm for European PE. Market bifurcation (finding 1) is a direct consequence of LP liquidity constraints and fundraising consolidation, which concentrate capital among mega-managers and compress the mid-market. Geopolitical dislocation

(finding 2) is simultaneously creating deal opportunities through corporate carve-outs and supply chain restructuring while intensifying the competition for quality assets (finding 3), as all market participants are chasing the same resilient, domestically oriented businesses. The recovery in returns (findings 4 and 5) validates the shift from financial engineering to operational transformation, which in turn is driving AI adoption (finding 6) as firms seek scalable tools to deliver the operational improvements now required across larger portfolios. Digital due diligence (finding 7) and data analytics investment (finding 8) are the mechanisms through which this operational capability is exercised in practice, enabling firms to identify, underwrite and monitor value creation levers with greater precision. ESG's universal adoption (finding 9) intersects with digitalisation through data infrastructure requirements, and with operational excellence through integration into value creation plans. Germany's enduring appeal (finding 10) synthesises all preceding themes: the country's industrial restructuring creates carve-out opportunities (finding 2), its *Mittelstand* succession pipeline demands operational expertise (findings 4–5), its regulatory environment requires ESG integration (finding 9), and its manufacturing base is a primary beneficiary of AI-driven operational transformation (findings 6–8). Understanding these co-dependencies is essential for GPs seeking to position themselves for the next phase of the cycle.

Key findings



Key findings

1. A market of two halves

Aggregate European PE deal value jumped 28% to €457.6 billion in 2025, even as transaction count slipped 8%, revealing a bifurcated market where megadeals flourished and the mid-market quietened. Sponsors deployed more capital per transaction, chasing add-ons, carve-outs, take-privates and platform consolidations while smaller deals were waiting for valuation alignment.

2. Dislocation is an opportunity

Global conflict and political turbulence have become unlikely dealmaking catalysts: 55% of respondents reported that geopolitical disruption, protectionism and trade uncertainty actually supported increased investment activity in 2025, as firms identified opportunity amid volatility.

3. Competition has reached new intensity

The search for quality assets has never been fiercer: 67% of respondents reported increased competition for investments compared with 2024, with sector specialisation and demonstrable transformation capabilities now the key competitive advantages.

4. Returns have recovered their footing

After years of pessimism, performance expectations are rebounding: 61% of respondents reported that returns on investments made during the past five to seven years met expectations, with 21% exceeding them – a marked improvement from last year's survey when 37% reported disappointment.

5. Confidence in recent vintages

Recent investments are expected to outperform historical holdings, with 46% of respondents anticipating that returns on deals done in the past year will exceed those from five to seven years ago, as GPs exercise more disciplined entry pricing and more actively apply operational stewardship.

6. AI adoption is accelerating

Digital transformation has moved from experiment to imperative: 88% of firms have made investments to digitally transform their organisations, and 94% noted that they will be investing in digitalisation in the coming year.

7. Due diligence is going digital

The investment process is being rewired by technology: 83% of respondents expect to deploy data analytics and generative AI for due diligence in 2026, up from 65% a year ago, as firms seek speed, consistency and deeper pattern recognition in evaluation.

8. Data analytics is leading investment priorities

Firms are concentrating digital spending where impact is proven: 72% of respondents plan to invest in data analytics in 2026, with 35% identifying this as the most important area, which is foundational for enabling scaled AI deployment across the investment life cycle.

9. ESG has become universal

Responsible investing has reached complete adoption. A full 100% of surveyed firms now have ESG policies and implementation tools, with 80% embedding ESG value levers into buy-side assessments – a strategic posture that goes beyond compliance requirements and reflects the conviction that sustainability builds lasting value.

10. Germany's enduring appeal

Europe's largest economy remains a cornerstone of PE strategy. Two thirds of respondents now hold German investments. Of these investors, 97% are planning further deployment over the next five years, with 56% intending to increase their allocation. The new government's €500-billion infrastructure and defence fund, accelerated depreciation incentives and planned corporate tax reductions from 2028 are creating fertile ground for operational transformation, *Mittelstand* succession and green industrial investment.

Methodology



Methodology

In Q1 2026, Acuris Studios spoke to 250 PE principals on behalf of PwC. Job titles included partner and managing director. 14% of these funds were based in the UK, 14% in Germany and 13% in France; the remaining 59% had offices based elsewhere in Europe and in the US. Responses were anonymised and aggregated. All respondents' PE firms had a minimum of €250 million of assets under management (AUM).

Fig. 1 Could you please tell me in which country your organisation's headquarters are based?

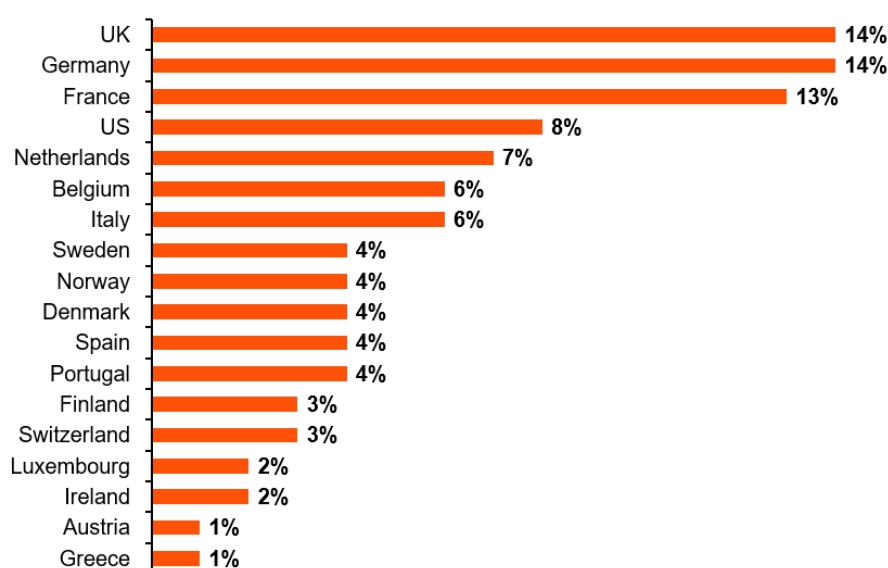
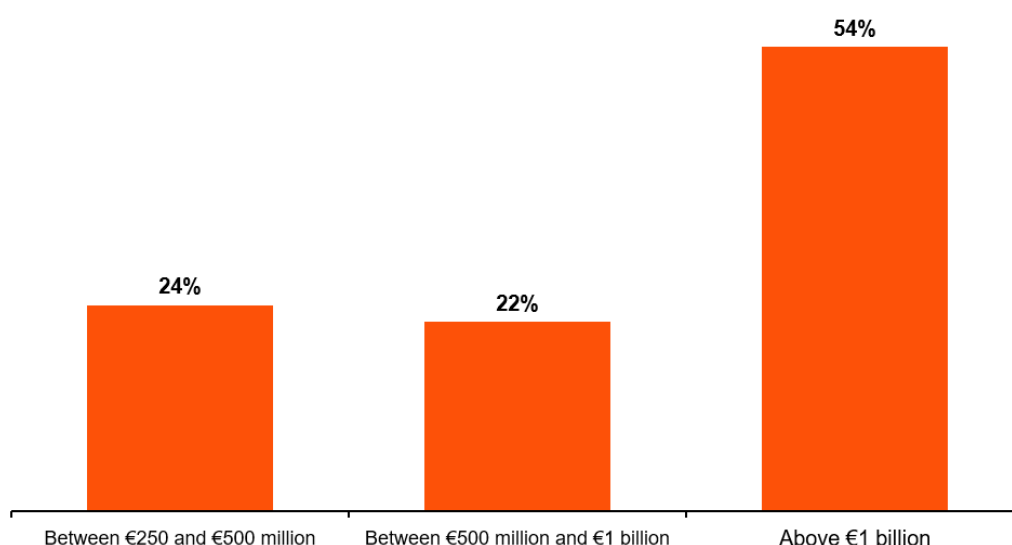


Fig. 2 Please could you tell me which of the following best describes your firm's current total global fund volume (i.e. capital under management)?



Market commentary



Market commentary

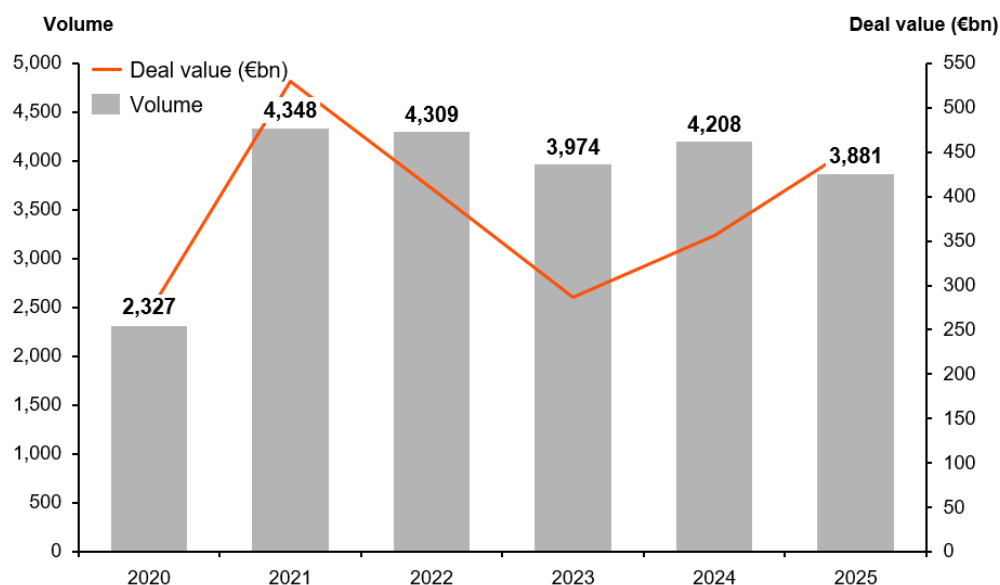
Private equity in Europe

Europe's PE industry spent 2025 proving that volume and value can tell entirely different stories. Deal count slipped 8% to 3,881 transactions, as a broad-based recovery that many are awaiting continues to remain elusive. Despite this, sponsors were not shy about deploying capital, with aggregate value surging 28% to €457.6 billion. This is European PE's new bifurcation: a quiet mid-market and a busy top end.

The European Central Bank's (ECB) rate cuts through early 2025 – four reductions in total, leaving the deposit facility at 2%² – provided just enough certainty for dealmakers to underwrite large transactions without fear of sudden repricing. Across the Channel, the Bank of England (BoE) followed a similar if more cautious trajectory: four quarter-point cuts through the year took the base rate from 4.75% to 3.75% by December.³

The London Stock Exchange (LSE) continues to shed listed companies as public market valuations fail to reflect underlying quality. This has created a conveyor belt of take-private candidates for sponsors with the capital to execute. British and Irish assets have captured disproportionate value as a result. The real story, however, lies in how regional dynamics are diverging and what that might suggest about where the industry is heading.

Fig. 3 European PE trends



² Key ECB Interest Rates (n.d.). European Central Bank.

https://www.ecb.europa.eu/stats/policy_and_exchange_rates/key_ecb_interest_rates/html/index.en.html

³ Interest rates and Bank Rate: our latest decision (n.d.). Bank of England.

<https://www.bankofengland.co.uk/monetary-policy/the-interest-rate-bank-rate>

Buyout trends

Buyouts followed the same script: fewer deals, higher prices. Volume fell 12% to 3,069 transactions, while value climbed 21% to €311.5 billion. Sponsors are deploying more capital per transaction instead of spreading it more widely. This pushed the mean buyout size up to €101 million, a gain of 37% from €74 million in 2024.

This pattern is not uniquely European: global PE markets have displayed the same divergence. With \$2.2 trillion⁴ in dry powder and fundraising consolidating among mega-managers, the industry is facing structural pressure to deploy at scale. The result is a barbell market where megafunds are chasing transformative assets – carve-outs, take-privates, platform consolidations – while the mid-market remains conspicuously quiet.

The evidence is in the deal data. Megadeals exceeding €1 billion jumped 34% to 71 transactions. Large deals in the €501 million–€1 billion bracket expanded from 51 to 59. Scale begets scale: larger funds chase larger assets, leaving the middle ground waiting.

This bifurcation is not merely cyclical: it reflects deep structural forces reshaping the industry's architecture. According to Preqin's Global Private Equity Report 2026⁵, the top 25 buyout managers now control approximately 40% of global buyout assets under management, up from roughly 28% a decade ago, concentrating deployment capacity at the upper end of the market. Preqin data further confirms that funds exceeding \$5 billion accounted for over 60% of total capital raised in 2024–25, leaving mid-market managers competing for a shrinking share of LP commitments. The mid-market's relative quietness is therefore partly a capital supply phenomenon: managers with smaller funds face longer fundraising cycles and more constrained deployment budgets, reducing their capacity to compete for assets in a market where seller expectations remain anchored to peak-era multiples. This dynamic is being compounded by the growing role of sovereign wealth funds and large institutional investors who are increasingly favouring co-investment alongside established mega-managers, further concentrating capital flows at the top of the market. For the mid-market to recover, either valuation expectations will have to be reset downwards to levels that generate acceptable returns at lower leverage, or mid-market specialists will have to demonstrate sector-specific expertise and operational capabilities compelling enough to justify LP allocations in a more selective environment.

The year's headline deals illustrate this trend. Carlyle and the Qatar Investment Authority's €7.7-billion carve-out of BASF's coatings division represents a textbook operational transformation: acquire a non-core industrial asset, install new management, and rebuild. CapVest's €7.0-billion acquisition of Stada Arzneimittel alongside existing management shows healthcare's continued appeal – defensive revenues, consolidation potential, multiple expansion as

⁴ *Private equity dry powder recedes from all-time highs amid slow fundraising* (2025). S&P Global Market Intelligence. <https://www.spglobal.com/market-intelligence/en/news-insights/articles/2025/12/private-equity-dry-powder-recedes-from-all-time-highs-amid-slow-fundraising-96015525>

⁵ *Preqin Global Reports 2026 – now live* (2026). Preqin. <https://www.preqin.com/c/apac/global-reports-2026/ty>

scale builds. Qatar's presence in the year's largest deal also signals how sovereign capital is evolving. Institutions are increasingly comfortable deploying directly alongside established sponsors rather than passively investing.

Fig. 4 European buyout trends

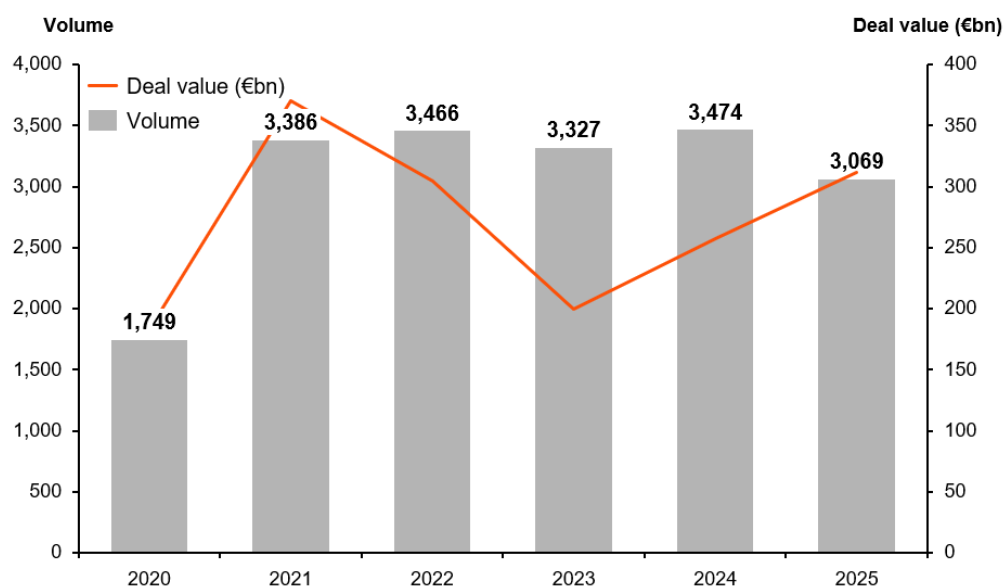
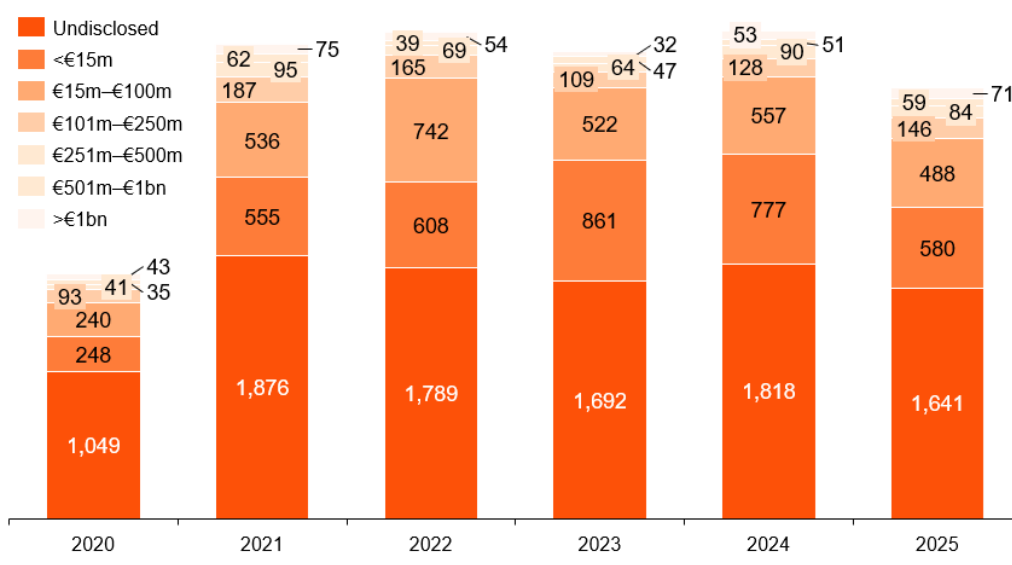


Fig. 4.1 European buyouts, split by deal size



Top buyout deals

Fig. 5 Top buyout deals

Date announced	Target company	Dominant target sector	Target country/territory	Bidder company	Dominant bidder country/territory	Deal value (€bn)
10/10/2025	BASF Coatings (100% stake)	Chemicals & Materials	Germany	Carlyle Group Inc; Qatar Investment Authority	US	7.7
01/09/2025	Stada Arzneimittel AG (70% stake)	Medical: Pharmaceuticals	Germany	Existing Management; CapVest Partners LLP	UK	7.0
14/07/2025	Techem GmbH (100% stake)	Services (Other)	Germany	GIC; Partners Group; Mubadala Investment Co PJSC; TPG	Switzerland	6.7
20/11/2025	Curium Holding France SASU (100% stake)	Medical: Pharmaceuticals	France	TPG Capital; CapVest Partners	UK	6.1
30/10/2025	Convex Group Ltd (98% stake)	Financial Services	UK	American International Group Inc – AIG; Onex Corp	Canada	5.9
02/07/2025	Spectris plc (100% stake)	Industrial Automation	UK	KKR; Neuberger Berma; CalSTRS; Fisher Lynch; Pathway Capital; IMCO	US	5.6
24/12/2025	Castrol Ltd (65% stake)	Chemicals & Materials	UK	Canada Pension Plan Investment Board; Stonepeak Partners	US	5.6
31/03/2025	CEVA Sante Animale SA	Medical: Pharmaceuticals	France	Mitsui & Co; Temasek; EMZ Partners; Sagard; PSP; Bettencourt-Meyers; Continental Grain; Hopu Investment; ArchiMed; Merieux EP; Sofiproteol	Singapore	5.5
27/10/2025	Janus Henderson Group plc (80.09% stake)	Financial Services	UK	General Catalyst; Sun Hung Kai; QIA; Trian Fund Management	US	5.4
17/11/2025	PayPal Holdings Inc (European Pay Later Receivables) (100% stake)	Computer Software	Luxembourg	KKR	US	5.2

Exit trends

The exit picture brightened, which was welcome news for LPs who have been patiently awaiting distributions. Exit volume rose 7% to 1,192 transactions. Exit value surged 49% to €272.2 billion.

Three forces drove this acceleration. Firstly, the bid-ask spread that stalled processes through 2023 and early 2024 narrowed as public market comparables stabilised and strategic acquirers regained confidence. Secondly, the secondaries market has matured rapidly; continuation vehicles and LP-led transactions now provide alternative liquidity pathways that let general partners retain exposure to favoured assets while offering investors the option of immediate cash. Thirdly, the IPO window cracked open for select sponsor-backed companies, though public market exits remain the exception rather than the rule.

Verisure's €3.2-billion Stockholm IPO, backed by Hellman & Friedman, was the largest PE-backed listing in Europe, delivering meaningful liquidity after a 14-year hold.⁶ Shawbrook Bank's £2-billion London return⁷, backed by Pollen Street and BC Partners, showed that UK financial services can still access public capital. These were not mass-market reopenings but precision strikes: public investors

⁶ Verisure's €3.2bn Stockholm debut signals revival for European IPOs (n.d.). PE Insights.

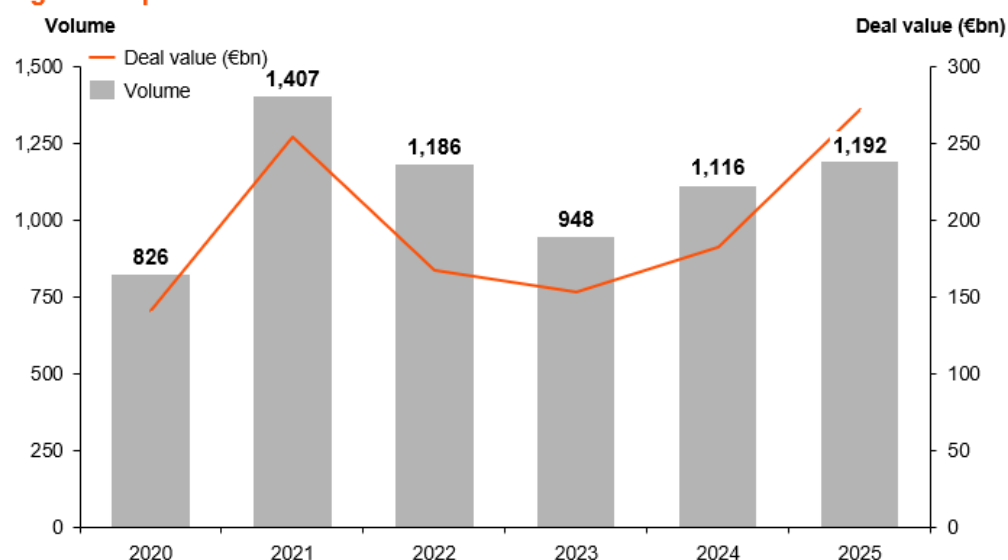
<https://pe-insights.com/verisures-e3-2bn-stockholm-debut-signals-revival-for-european-ipos>

⁷ Britain's Shawbrook targets up to £2.7 billion market cap in London IPO (2025). Reuters.

<https://www.reuters.com/business/britains-shawbrook-targets-up-27-billion-market-cap-in-london-ipo-2025-10-21>

accepted sponsor-backed stories where operational transformation was visible and the growth trajectory credible. For the broader portfolio backlog, however, private routes in the shape of strategic sales, sponsor-to-sponsor transactions and structured secondaries remain the most viable paths to liquidity.

Fig. 6 European exit trends



Top exit deals

Fig. 7 Top exit deals

Date announced	Target company	Dominant target sector	Target country/territory	Bidder company	Dominant bidder country/territory	Deal value (€bn)
31/10/2025	MasOrange SL (50% Stake)	Telecommunications: Carriers	Spain	Orange SA	France	16.8
01/09/2025	Stada Arzneimittel AG (70% Stake)	Medical: Pharmaceuticals	Germany	Existing management; CapVest Partners LLP	UK	7.0
14/07/2025	Techem GmbH (100% Stake)	Services (Other)	Germany	GIC; Partners Group; Mubadala Investment Co PJSC; TPG	Switzerland	6.7
03/07/2025	Pension Insurance Corp Group Ltd (100% Stake)	Financial Services	UK	Athora Holding Ltd	Bermuda	6.6
20/11/2025	Curium Holding France SASU (100% Stake)	Medical: Pharmaceuticals	France	TPG Capital; CapVest Partners	UK	6.1
30/10/2025	Convex Group Ltd (98% Stake)	Financial Services	UK	American International Group Inc – AIG; Onex Corp	Canada	5.9
27/11/2025	Allfunds Group plc (100% Stake)	Computer Software	UK	Deutsche Börse AG	Germany	5.2
11/09/2025	Ahlsell Sverige AB	Industrial Products & Services	Sweden	CVC Advisers; Aeternum Management AS	UK	5.2
13/06/2025	Novo Banco SA (75% Stake)	Financial Services	Portugal	BPCE SA	France	4.8
28/10/2025	Tipico Co Ltd (100% Stake)	Leisure	Malta	BetClic Everest Group; Banijay Group NV	France	4.6

Geography of European deals

The UK and Ireland remained Europe's PE powerhouse in 2025, capturing 25% of deal volume and 35% of aggregate value – 1,625 transactions worth €199.3 billion across 2024–25. The UK's deep mid-market ecosystem, plus a steady flow of corporate carve-outs and take-privates, continues to deliver unrivalled deal flow.

Sterling's mixed performance, strengthening against the dollar but weakening against the euro, created uneven terrain for international buyers. Despite this, US sponsors continued to deploy, drawn by asset quality rather than currency tailwinds. More fundamentally, the depth of available assets in professional services, technology and healthcare has attracted international capital even as domestic economic growth has been subdued. The British economy may be in low-growth mode, but its corporate assets remain competitive.

Just as notable is the strength of the Nordic market, which usurped France for volume when compared with 2023–24. The region captured 16% of all volume in 2024–25, with 1,017 transactions. However, in value terms, France maintained its second-place position, with a total of €91.1 billion representing a 16% market share.

Fig. 8 European buyout volume, 2024–25

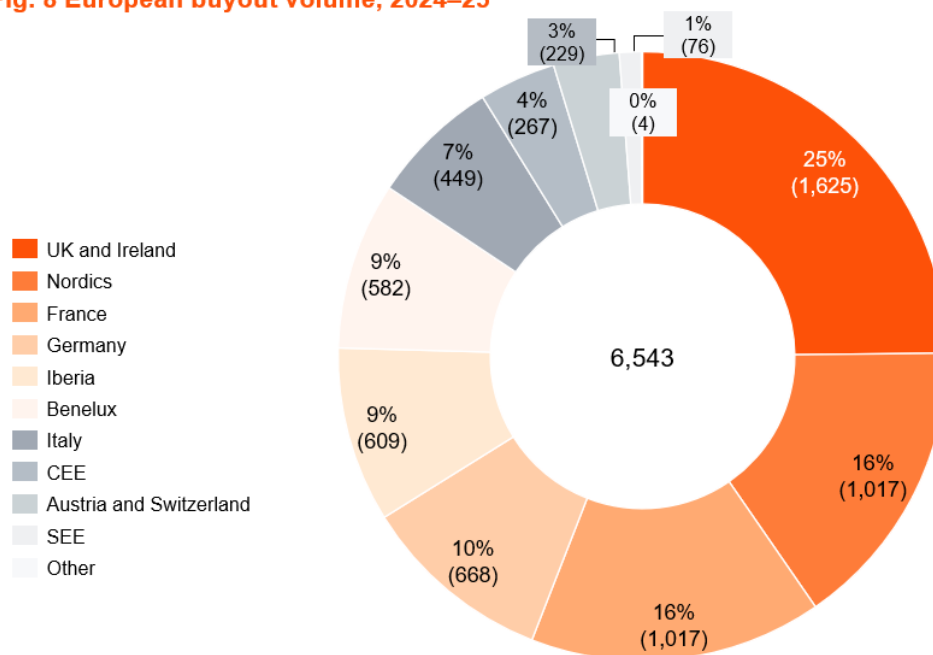
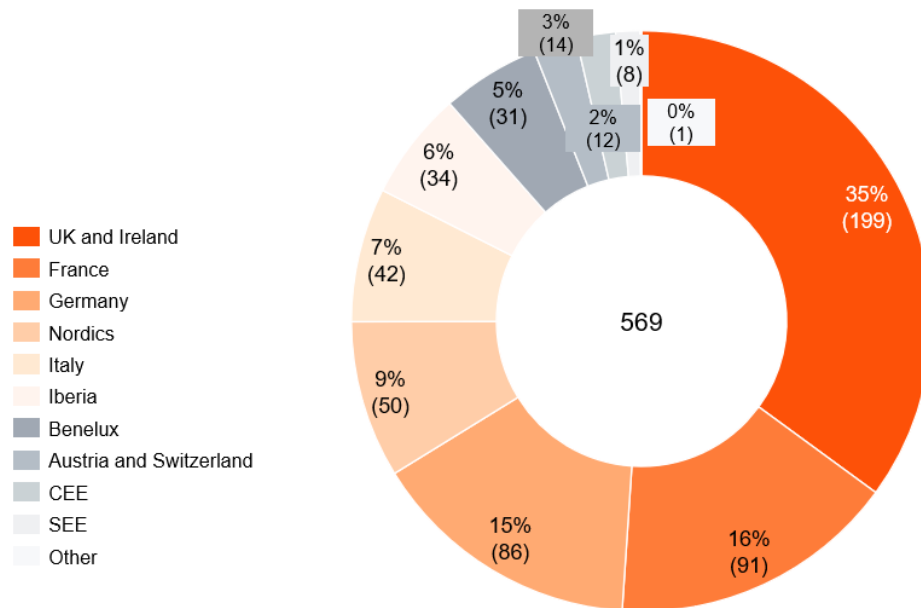


Fig. 9 European buyout value (€bn), 2024–25



Industry focus

Technology, Media & Telecommunications (TMT) remained the industry’s core sector, accounting for 34% of deal volume and 26% of aggregate value. A look beneath the headline figures shows a sector that is fragmenting into distinct opportunity sets with little in common beyond the TMT label.

Enterprise software with embedded AI capabilities is commanding premium valuations as buyers bet on automation-driven margin expansion. Cybersecurity assets are attracting bidding wars between strategics and financial sponsors as threats intensify and regulatory requirements tighten. Digital infrastructure – including data centres, fibre networks and cloud connectivity – has become a magnet for infrastructure-crossover capital seeking yield in a low-growth environment. The year also delivered a reminder that telecoms exits remain possible at scale: Cinven, KKR and Providence’s sale of their MasOrange stake to Orange in a deal valued at €16.8bn showed what patient operational transformation can achieve, even if regulatory scrutiny delayed the payoff.

The broader factor is that operational value creation now depends on technological transformation, regardless of the underlying industry. Sponsors are increasingly prioritising businesses where digitalisation offers a clear path to margin expansion or revenue growth, rather than treating technology as a distinct vertical. This explains TMT’s continued dominance, even as the definition of what constitutes a “tech” deal keeps expanding.

Fig. 10 Industry focus: European buyout volume

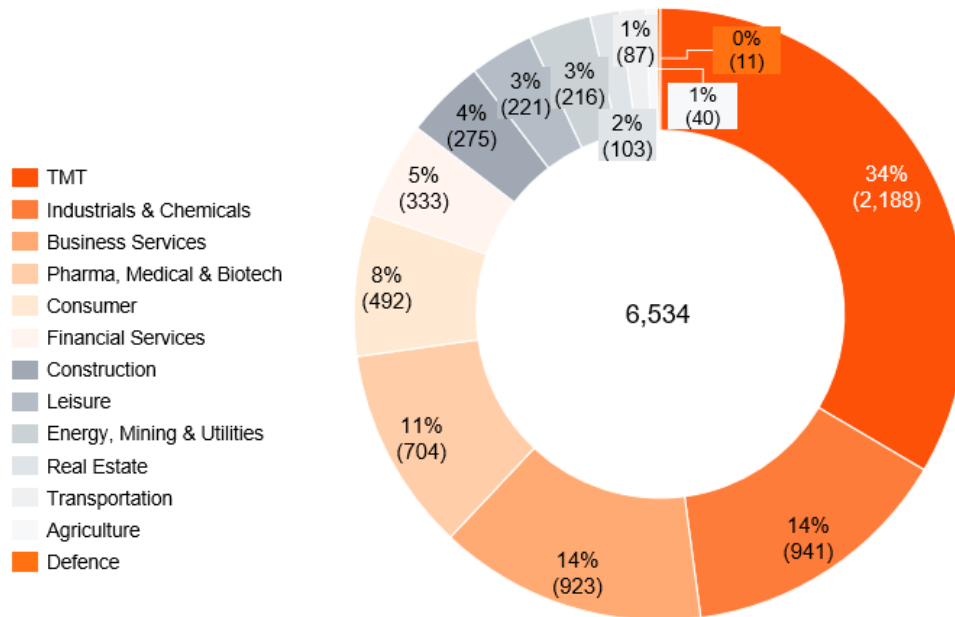
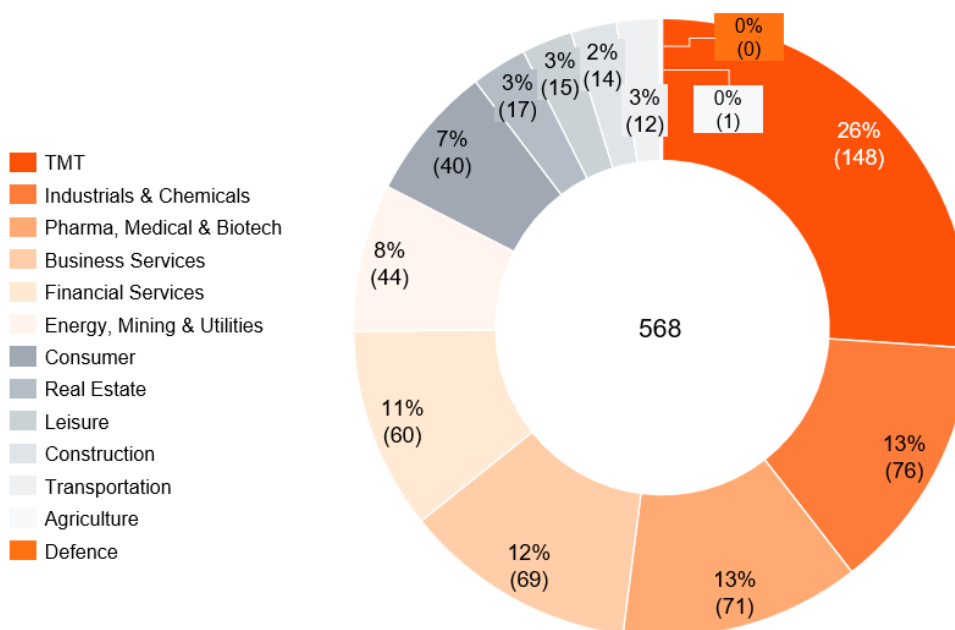


Fig. 11 European buyout value (€bn)



Deep dive: DACH spotlight

If ever a region embodied the contradiction between macroeconomic uncertainty and PE opportunity, it was Germany, Austria and Switzerland (DACH) in 2025. DACH saw PE volume slip 3% to 557 transactions, yet deal value surged 69% to €88.3 billion as sponsors deployed more capital into fewer, larger opportunities.

Buyouts told the same story: 430 transactions represented an 8% volume decline, but €60.9 billion in value marked a 56% increase. Exit activity proved robust, with 168 realisations generating €51.5 billion, suggesting that the region's

portfolio backlog is finally clearing as market conditions stabilise and sponsors accept that waiting for perfection may mean waiting forever.

Germany's volatile economic backdrop made this performance even more of an accomplishment. Two consecutive years of GDP contraction⁸, deindustrialisation pressures, and energy cost adjustments still rippling through manufacturing supply chains have all hit the economy. Meanwhile, the collapse of the "traffic light" coalition in late 2024 and the February 2025 snap election introduced significant political uncertainty, with sponsors sensibly deferring processes until governmental clarity emerged.

The formation of Chancellor Friedrich Merz's CDU/CSU-SPD coalition in May 2025 has begun to shift sentiment, though it remains unclear whether this shift will prove lasting. The coalition agreement has emphasised economic revitalisation through a €500-billion infrastructure and defence package, including a dedicated €100-billion allocation for climate and transformation projects⁹, corporate tax reductions and cuts to red tape.

The abolition of Germany's Supply Chain Due Diligence Act¹⁰, replaced with the lighter-touch EU Corporate Sustainability Due Diligence Directive (CSDDD) framework, is set to reduce compliance burdens for portfolio companies, and an "investment booster" allowing 30% declining-balance depreciation for equipment up to 2027 offers an immediate incentive for capital expenditure for companies willing to invest.¹¹

For PE, these developments suggest a more constructive environment for operational value creation, if not necessarily a return to the boom years. The new Federal Ministry for Digitalisation and State Modernisation¹² is aligned with sponsor transformation strategies. Energy cost reduction commitments address a primary concern for manufacturing-intensive portfolios. Time will tell whether the coalition can deliver on its promises while also managing fiscal constraints and coalition politics.

However, the DACH opportunity set remains consistent: family-owned *Mittelstand* businesses facing succession pressures, corporate carve-outs from industrial conglomerates rationalising their portfolios, and distressed situations where operational expertise can be put to work. The region's fundamental strengths of engineering excellence, export orientation and deep supply chains persist. Short-term cyclicity has dampened activity, but the underlying fundamentals remain intact and robust.

⁸ *Germany edges back into growth after two years of contraction* (2026). Euronews.

<https://www.euronews.com/business/2026/01/15/germany-edges-back-into-growth-after-two-years-of-contraction>

⁹ *Germany's €100bn investment drive aims to revive stagnant economy* (2025). Luxembourg Times.

<https://www.luxtimes.lu/europeanunion/chancellor-merz-unveils-a-strong-positive-signal-with-corporate-investment-plan/78914570.html>

¹⁰ *German Supply Chain Act to be abolished* (2025). Pinsent Masons.

<https://www.pinsentmasons.com/out-law/news/german-supply-chain-act-abolished>

¹¹ *Growth booster to strengthen Germany as a business location* (2025). German Federal Government.

<https://www.bundesregierung.de/breg-en/news/federal-cabinet-adopts-growth-booster-2351964>

¹² *Merz's government decree gives German digital ministry extensive powers* (2025). Euronews Next.

<https://www.euronews.com/next/2025/05/07/merzs-government-decree-gives-german-digital-ministry-extensive-powers>

Fig. 12 DACH PE trends

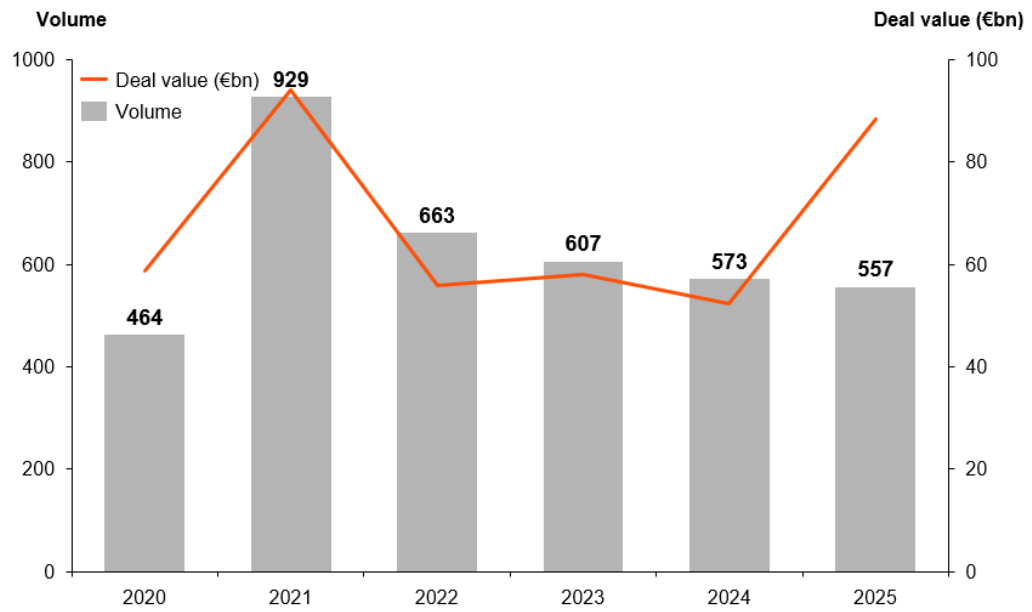


Fig. 13 DACH buyout trends

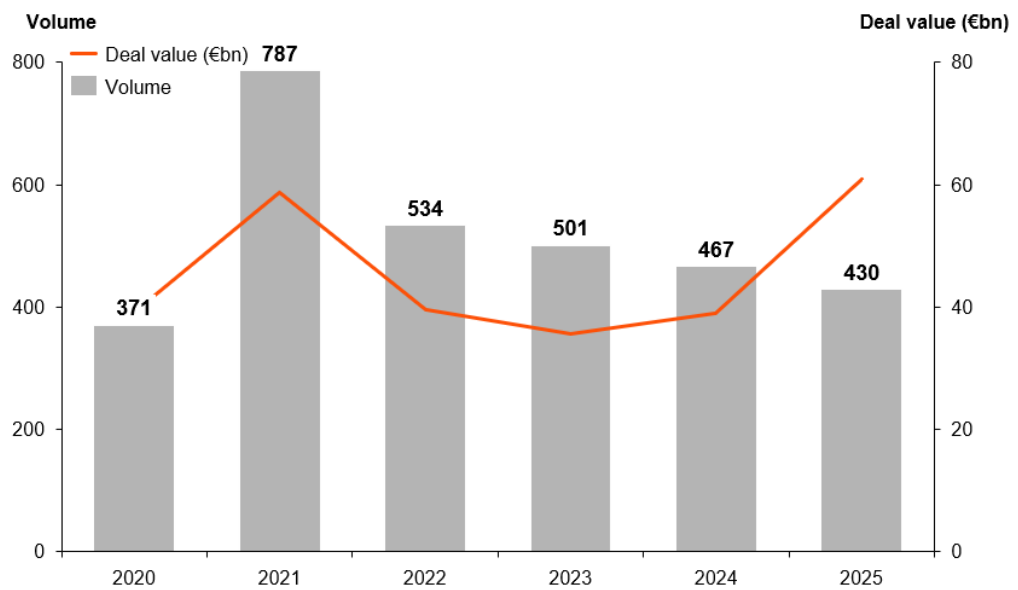


Fig. 14 DACH buyout split

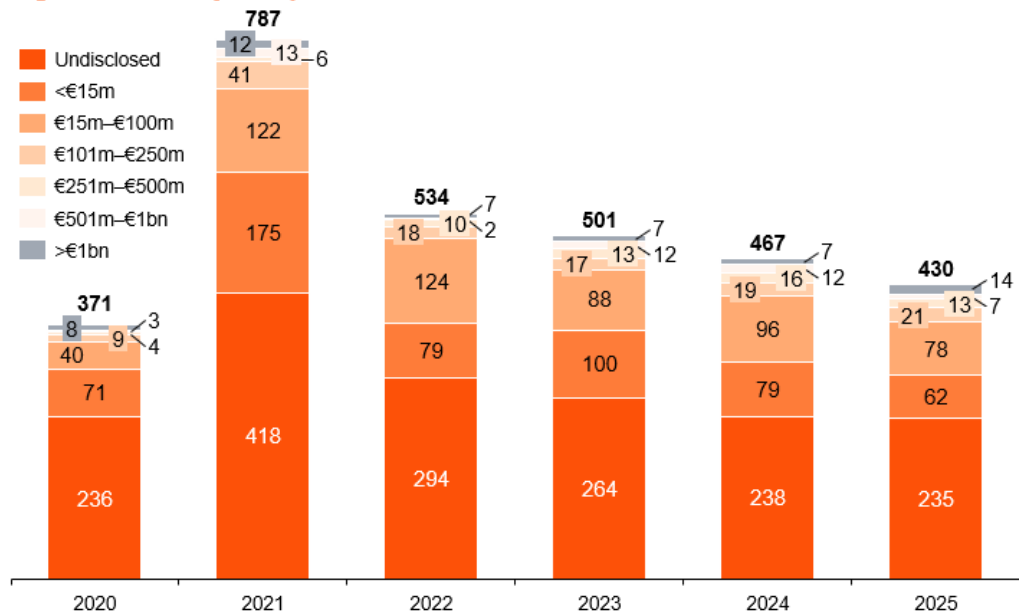
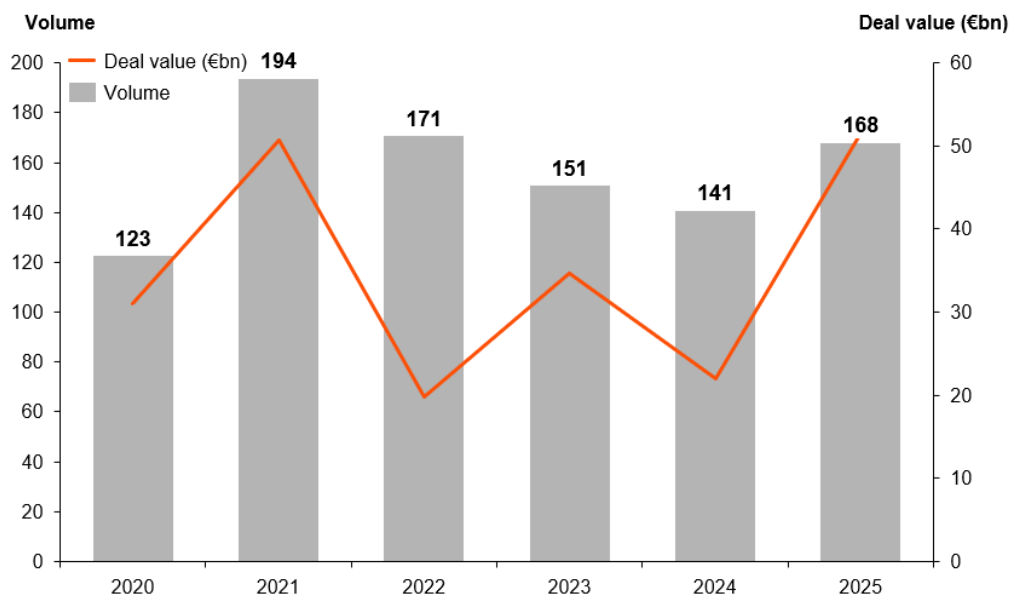


Fig. 15 DACH exit trends



Deep dive: Benelux spotlight

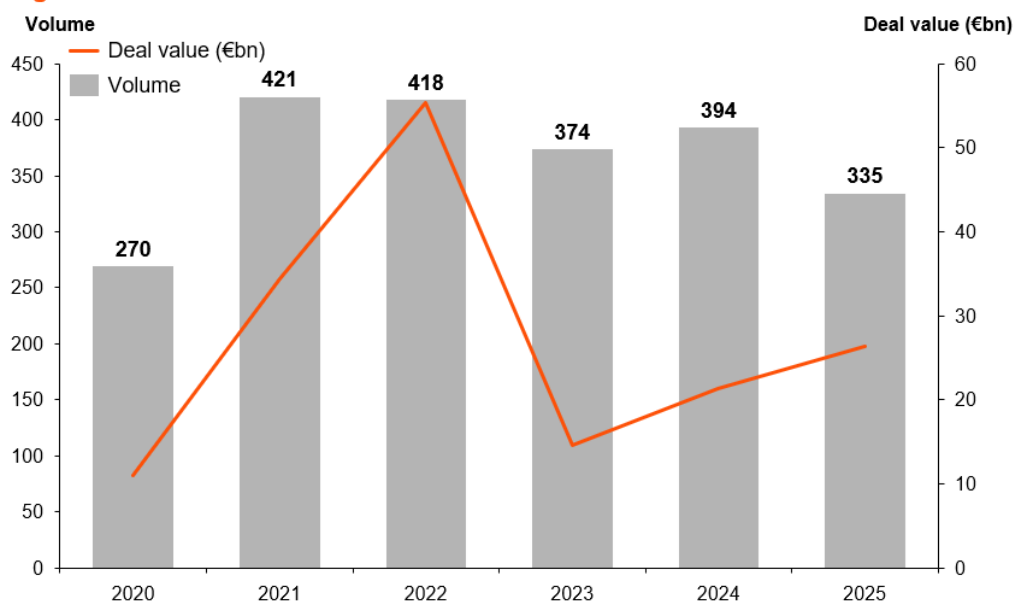
Benelux experienced a sharper contraction than its neighbours, with PE volume falling 15% to 335 transactions despite a 23% value increase to €26.3 billion. This pronounced volume decline suggests that the region's mid-market, historically characterised by founder-owned businesses and sponsor-to-sponsor rotation, faced particular pressure as valuation expectations adjusted to a new reality.

Buyouts followed suit: 258 transactions represented a 20% decline, though €18.6 billion in value marked a 47% increase. Exit performance proved relatively resilient with a fall in volume of less than 7% to 111 realisations, generating €12.3 billion and indicating that portfolios accumulated during the 2020–21 peak are maturing into marketable positions even if new entry points remain scarce.

The Netherlands, Belgium and Luxembourg each offer distinct characteristics that continue to attract selective interest. The Netherlands maintained its position as a hub for technology and healthcare transactions, with Amsterdam’s concentration of European headquarters supporting deal flow. Belgium’s industrial base continues to attract attention where energy transition themes intersect with established manufacturing capabilities. Luxembourg’s fund domicile infrastructure continues to support structuring activity, even as direct investment in domestic assets remains limited by its market size.

GDP growth across the region proved more subdued than projected, with Belgium experiencing 1.0% growth in 2025, Luxembourg settling on 0.9% and the Netherlands increasing by 1.7%.¹³ The anticipated acceleration failed to materialise, as trade uncertainty and fiscal constraints weighed on investment. However, as interest rate stability extends and the German fiscal impulse begins to ripple through neighbouring supply chains, Benelux is well positioned for a selective recovery, particularly in the region’s active lower mid-market where the pipeline of founder-led businesses awaiting succession continues to grow.

Fig. 16 Benelux PE trends



¹³ *Country pages – Economic surveillance of EU member states* (n.d.). European Commission.
https://economy-finance.ec.europa.eu/economic-surveillance-eu-member-states/country-pages_en

Fig. 17 Benelux buyout trends

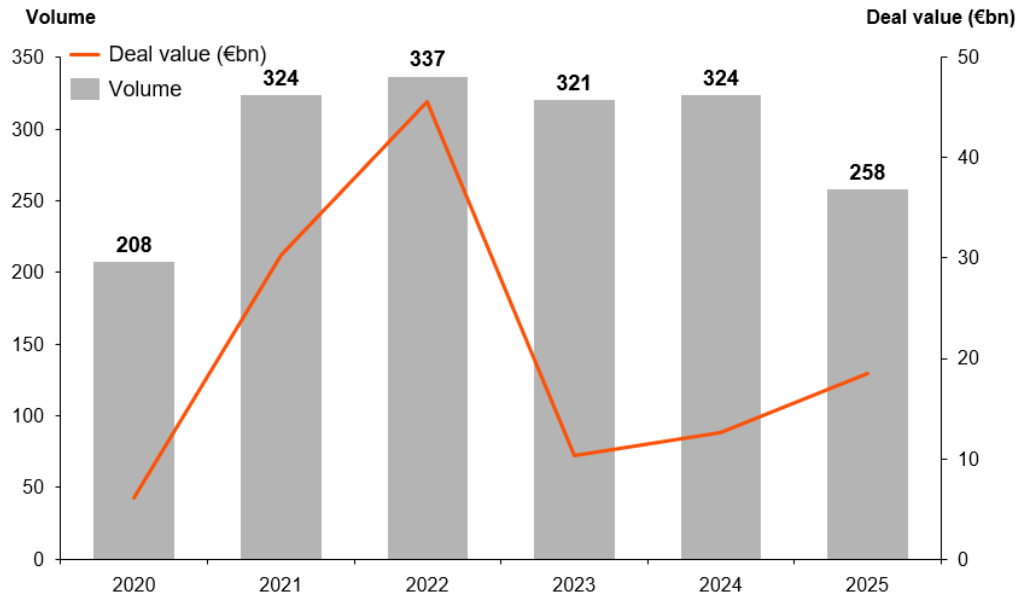
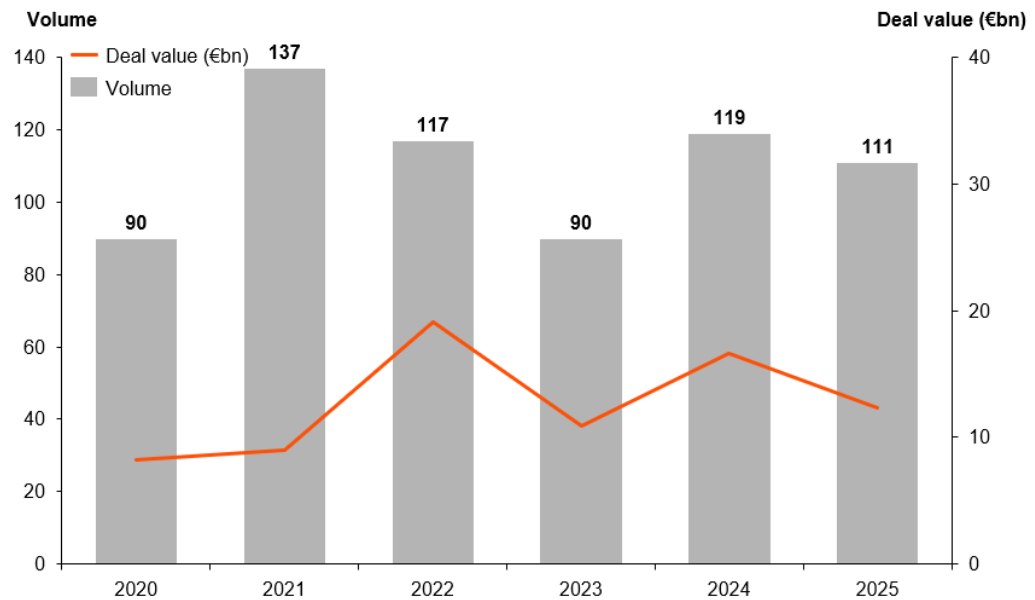


Fig. 18 Benelux exit trends



Chapter 1: 2025 in review



2025 in review

The European PE industry entered 2025 with cautious optimism. Behind this mood lay a deeper recognition that Europe's competitiveness crisis has created a generational opening for private capital. Former European Central Bank (ECB) president Mario Draghi's September 2024 report, calling for €800 billion in additional annual investment, massive industrial revitalisation and strategic consolidation, aligned precisely with PE's capabilities. However, financial sponsors seeking to seize upon this opportunity have been confronted with an equally sizeable challenge, as tariff disruption and supply chain strains tested portfolio companies' resilience.

Operating partners have found themselves drawn deeper into portfolio operations, reallocating procurement, restructuring working capital facilities and renegotiating customer contracts to preserve margins.

Despite having to work more closely with investee companies to overcome these obstacles, deal teams were more active than ever in screening new opportunities. Our research shows that 43% of respondents increased the number of potential transactions they reviewed in 2025 compared to 2024, in line with last year's findings when 45% of firms increased the number of targets they vetted.

These efforts were not in vain. The conversion from pipeline to active deployment improved markedly – 55% of European GPs increased their number of completed investments compared to 2024, and only 22% reported decreases. This is a reversal of the 2024 trend, when 36% completed fewer deals.

Geopolitical volatility also proved to be an unexpected stimulant. More than half of respondents (55%) reported that conflicts, political uncertainty and trade protectionism supported increased investment. PE has proven across cycles that it can opportunistically capitalise on market dislocations; the past year has been no different. Funds were presented a slew of opportunities, including corporate carve-outs as strategics sought to improve their capital efficiency, supply chain restructurings forced by tariff exposure, and mid-market succession plays where founders accepted lower valuations amid uncertainty.

"China+1" strategies and localisation imperatives dominating industrial boardrooms are creating asymmetric opportunities through domestic substitution plays, supply chain infrastructure investments and operational transformation mandates that suit PE's active ownership model.

Fig. 19 Compared to 2024, how has the number of potential transactions which you review in an average month changed this year?

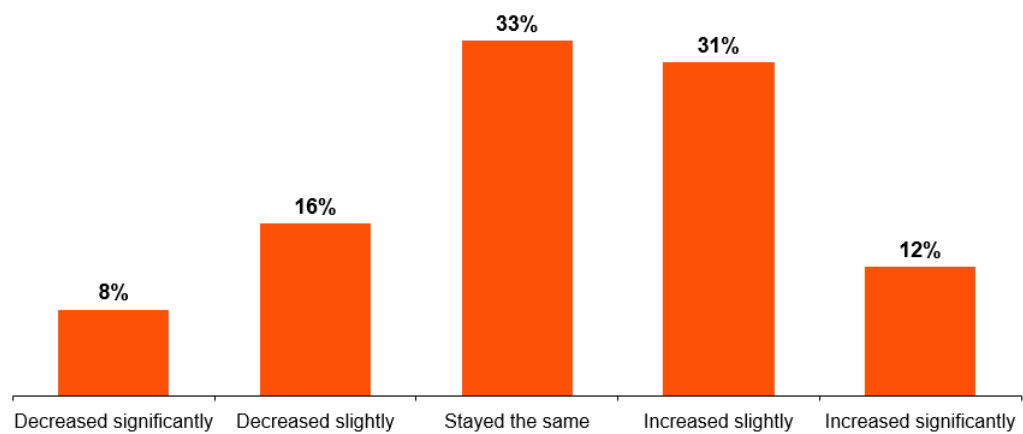


Fig. 20 Compared to 2024, how has the number of new investments made by your organization changed this year?

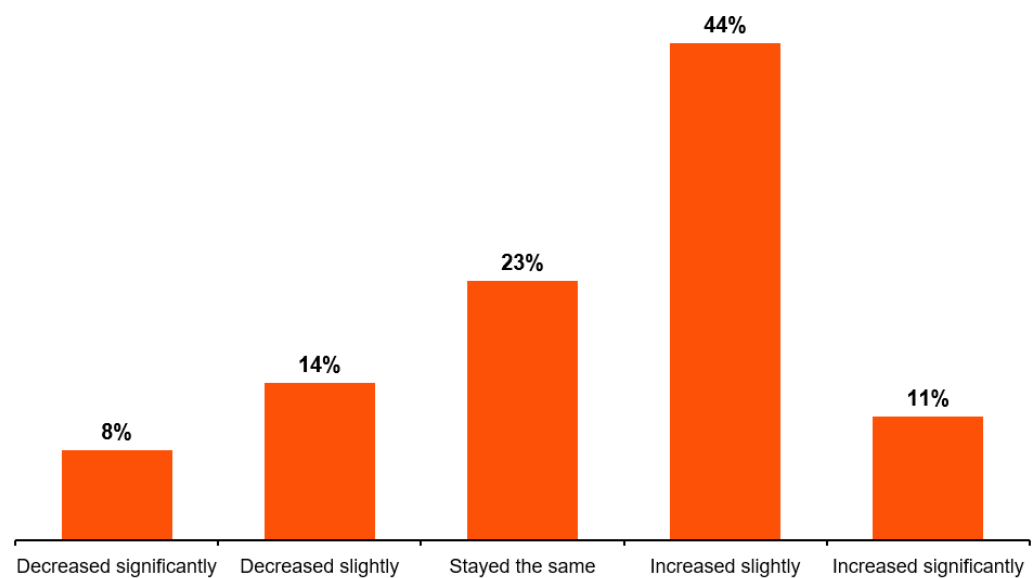
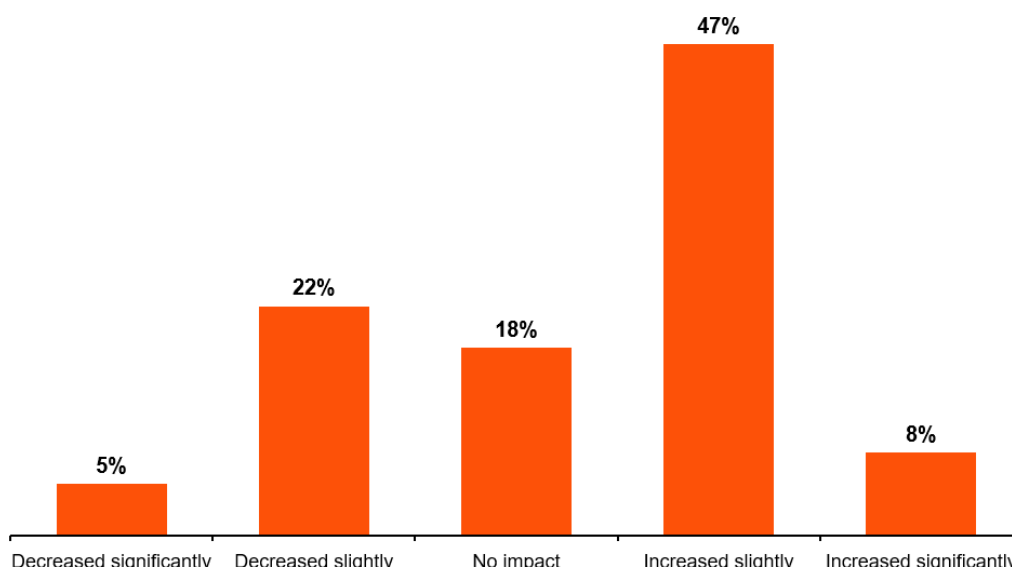


Fig. 21 How have global conflicts, political uncertainty and protectionism impacted the number of new investments made by your organisation?



Competition time

With European buyout dry powder sitting at a near-record €434.8 billion¹⁴ and debt markets improving, funds are vying for the highest-quality assets. Over two thirds (67%) of respondents agreed that deal competition increased in 2025 compared to the previous year, with 29% characterising the increase as significant.

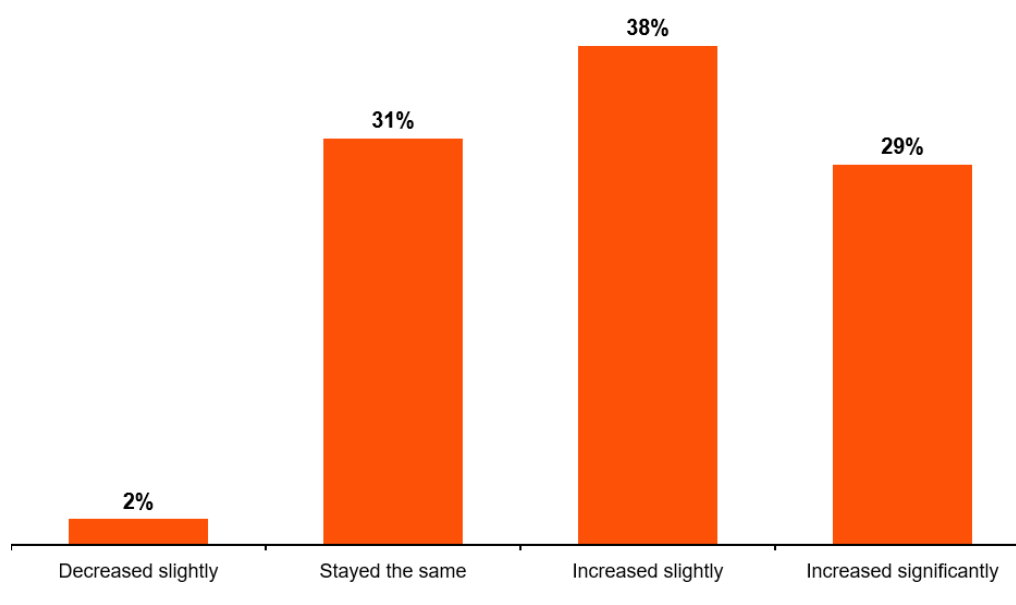
This competition manifests differently across segments. Large-cap auction processes are growing increasingly crowded, mid-market specialists are seeing encroachment from larger firms deploying down-market, and sovereign wealth funds and family offices are expanding with patient, low-leverage capital.

This environment is forcing differentiation through sector specialisation and proven operational capabilities rather than financial engineering. With multiple arbitrage and cheap leverage no longer reliable return drivers, the ability to articulate and execute compelling value creation theses has become the factor that separates winners from also-rans.

¹⁴ *European Private Market Update: Q4 2025* (n.d.). VRC.

<https://www.valuationresearch.com/insights/european-private-market-update-q4-2025>

Fig. 22 Compared to 2024, how has competition for investments among private equity firms changed?



Exits up

Aggregate exit value may have surged 49% last year in Europe, but not everyone is feeling the liquidity benefits. Overall, the trend is positive, with 40% of respondents seeing volumes hold steady compared to 2024, while 30% achieved slight increases.

Traditional routes of trade sales, sponsor-to-sponsor transactions and IPOs now share space with an expanded toolkit. Continuation vehicles, GP-led secondaries and structured liquidity solutions have become mainstream alternatives, driven by LP portfolios starved of cash flows since 2022.

The pressure is quantifiable when considering distributions expressed as a share of net asset value (NAV). This metric held steady at 14% last year, a level last witnessed during the 2008–09 global financial crisis.¹⁵ But the situation is more troubling than this single-year snapshot suggests: distributions have now trailed historical norms for four consecutive years, marking the longest sustained shortfall in the modern PE era.

The global secondaries market has scaled rapidly to bridge this gap. Global transaction volumes reached a record \$240 billion in 2025¹⁶, up 48% year on year. GP-led volume, specifically, has more than tripled from \$35 billion in 2020 to \$115 billion in 2025. Continuation vehicles now handle an estimated 14% of sponsor-backed exit value, and LPs expect this to reach 29% within five years.¹⁷

¹⁵ *Private Equity Outlook 2026: Gaining Traction* (2026). Bain & Company.

<https://www.bain.com/insights/outlook-gaining-traction-global-private-equity-report-2026>

¹⁶ *2025 Global Secondary Market Review: Another Record-Breaking Year* (2026). Jefferies.

<https://www.jefferies.com/insights/the-big-picture/2025-global-secondary-market-review-another-record-breaking-year>

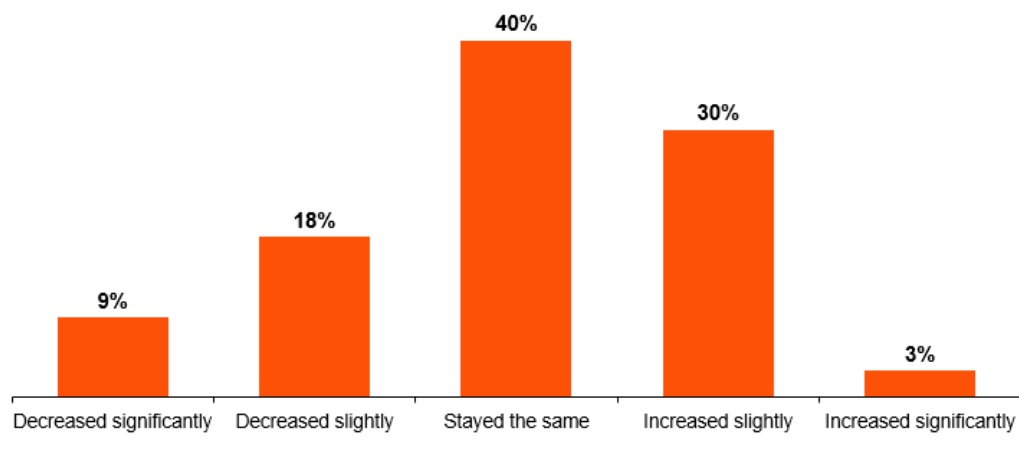
¹⁷ *Global Private Markets Report 2026* (2026). McKinsey & Company.

<https://www.mckinsey.com/industries/private-capital/our-insights/global-private-markets-report>

Extended holding periods, now averaging 6.5 years and rising¹⁸, are compounding the pressure. Four consecutive years of constrained distributions have limited LPs' ability to recycle capital back into PE funds, forcing tougher allocation decisions and intensifying selectivity in manager relationships.

The implications of this prolonged liquidity drought extend beyond near-term allocation decisions. According to Jefferies' 2025 Global Secondary Market Review¹⁹, the ratio of distributions to contributions (the "cash flow gap") for the median LP turned negative for the first time in 2022 and has remained so through 2025, meaning that LPs have been net contributors to the private equity asset class for four consecutive years. This cash flow inversion fundamentally alters portfolio construction dynamics. Historically, PE's self-funding model – where distributions from mature funds finance commitments to new vintages – has allowed institutional investors to maintain or grow PE allocations without incremental cash injections. That model has now broken down. LPs must now fund PE commitments from other asset class liquidations or credit facilities, creating opportunity cost pressures that intensify scrutiny of every new commitment. The denominator effect, which constrained allocations in 2022–23 when public markets declined and PE NAVs remained elevated, has partially reversed as equity markets have recovered. However, it has been replaced by what practitioners term the "numerator problem": PE allocations are technically within policy limits, but the illiquidity of these allocations has become a binding constraint on portfolio flexibility. This context explains why GP-LP dynamics have shifted so dramatically: LPs are not merely requesting transparency and faster distributions as preferences – they are structurally dependent on them.

Fig. 23 Compared to 2024, how has the number of exits made by your organisation changed this year?



¹⁸ *Global Private Markets Report 2026* (2026). McKinsey & Company.

<https://www.mckinsey.com/industries/private-capital/our-insights/global-private-markets-report>

¹⁹ *2025 Global Secondary Market Review: Another Record-Breaking Year* (2026). Jefferies.

<https://www.jefferies.com/insights/the-big-picture/2025-global-secondary-market-review-another-record-breaking-year>

Portfolio performance

The year turned sharply on 2 April, when the Trump administration’s “Liberation Day” tariff announcements upended assumptions about global trade flows. European portfolio companies with US exposure or China-centric supply chains faced immediate margin pressure, while those with domestic or nearshored operations found an unexpected competitive advantage. The uneven impact of these measures, compounded by retaliatory EU tariffs and ongoing uncertainty about scope and duration, set the stage for a year of operational stress testing.

Despite these geopolitical ructions, firms are broadly upbeat about portfolio company performance. Half of respondents (50%) expressed satisfaction with how their portfolios developed in 2025, 16% of whom were very satisfied. Just under a fifth (19%) were dissatisfied.

However, even though satisfaction has risen year on year, portfolio companies are still under pressure, including in their capital structures. Financing cost pressures (48%) as well as fundraising difficulty (35%) dominated the cited impacts of last year’s economic and geopolitical uncertainties, with elevated rates increasing debt service burdens and LP liquidity constraints limiting GPs’ ability to put fresh capital to work.

Fig. 24 How satisfied or dissatisfied are you with the development of your portfolio companies in 2025?

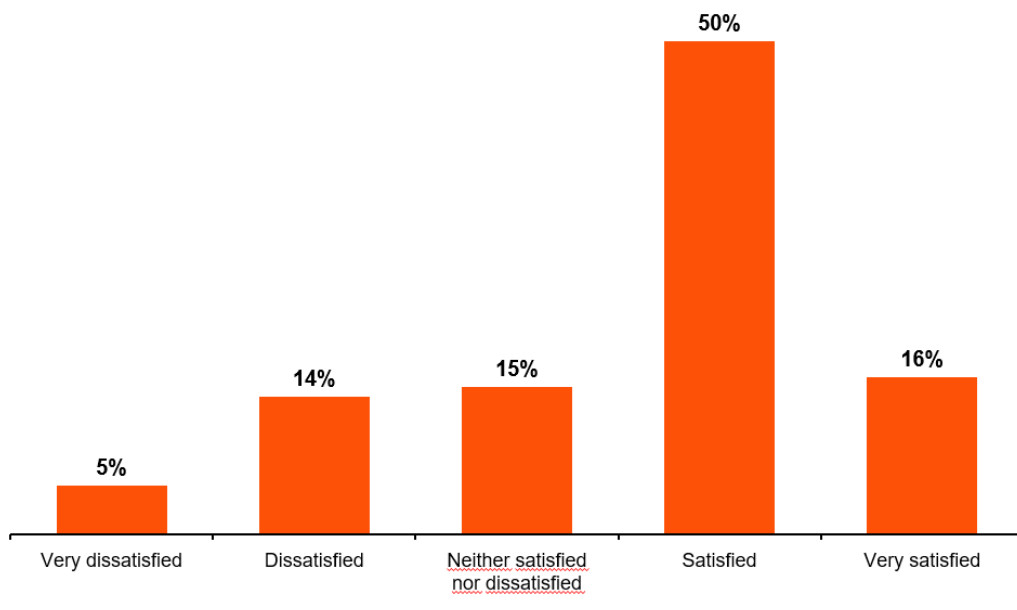
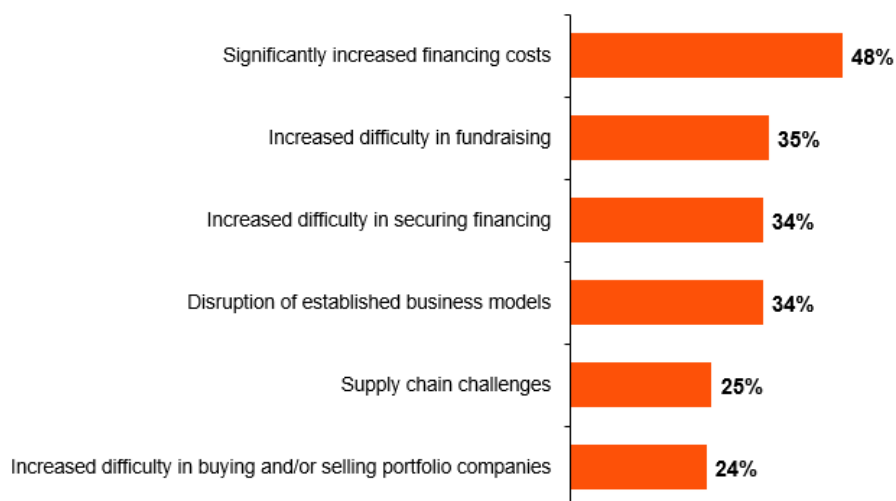


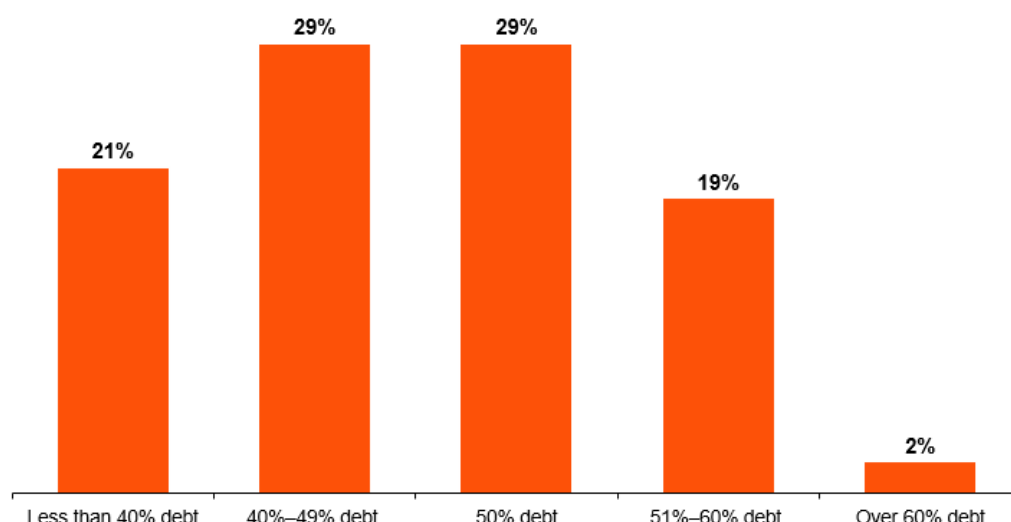
Fig. 25 Looking back at 2025 and the increasing economic and geopolitical uncertainties (e.g. inflation, the conflicts in Ukraine and Israel, US-China trade war, political instability), which of the following have had the strongest impact on your firm and your portfolio?



In the current volatile climate, capital structures are inevitably showing signs of prudence. The share of respondents employing sub-40% debt-to-equity ratios on deals made in 2025 jumped from 14% to 21%, while those using 51%–60% leverage fell from 27% to 19%; 29% of respondents now use exactly 50% debt-to-equity, up from 20% last year, while high-leverage deployment above 60% has effectively disappeared, halving from 4% to 2%.

These levels mark sustained restraint compared to the pre-2022 era when leverage routinely exceeded 60% of enterprise value, which suggests that GPs are prioritising balance sheet resilience.

Fig. 26 What was the average debt-to-equity ratio used by your organisation on new investments made in 2025?



ESG is driving LP expectations

LP expectations remain elevated, though intensity has eased. While 58% of respondents reported no change over the past three years, 32% said that demands have increased, down from 46% a year ago, suggesting that the spike in LP pressure following the 2022 base rate hiking period and subsequent valuation reset has calmed somewhat.

Where expectations have increased, ESG tops the list: 38% ranked heightened ESG scrutiny as the single biggest change, with a further 22% placing it second. Enhanced disclosure follows closely, cited by 30% as the top change and 25% as the second most significant. Transparency and sustainability remain central to LP engagement, reinforced by the prospect of SFDR 2.0, which is expected to tighten classifications and increase fund comparability.

Pressure to return capital features in the mix, though it is not LPs' primary concern. Only 9% ranked increased pressure to return funds as the biggest shift, although 14% and 21% placed it second and third, respectively. Distributed to paid-in capital (DPI) is clearly part of the conversation, but the data suggests that investors' focus is first and foremost on governance and disclosure, alongside cash flows.

Fig. 27 Have the expectations and requirements of your limited partners (LPs) changed during the last three years?

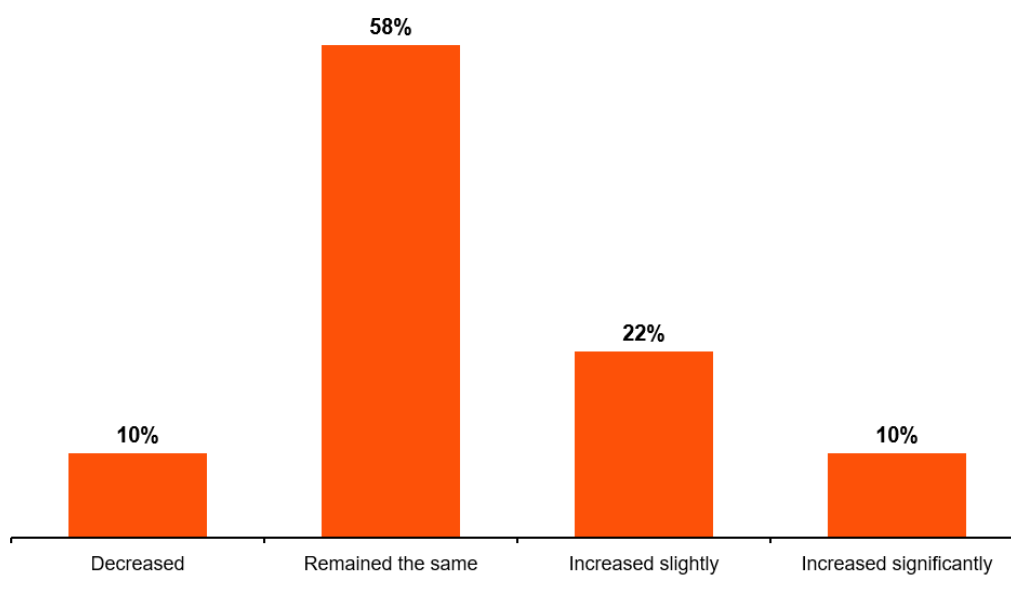
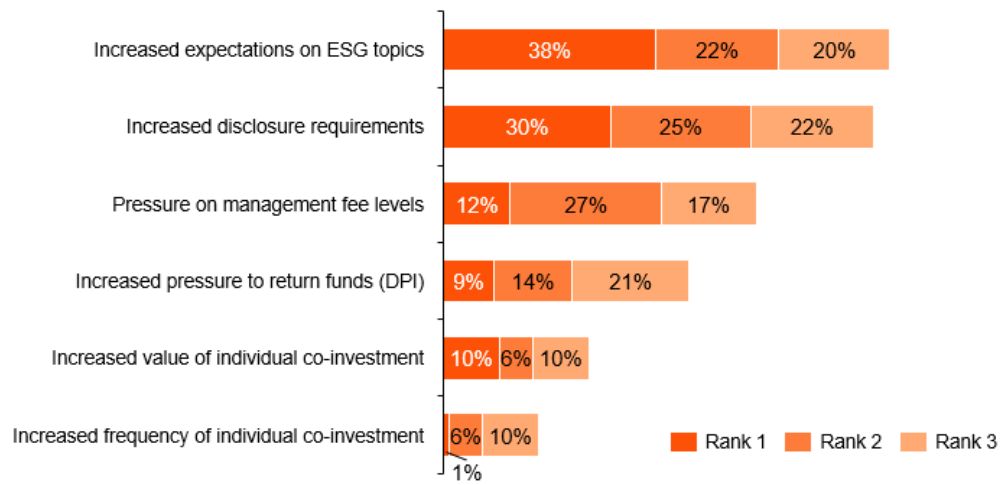


Fig. 28 Which of the following best describe the changes in expectations and requirements from your limited partners? (Rank 1 is the biggest change)



Chapter 2: The year ahead



The year ahead

Cautious optimism for the coming year tinged by anxiety over low growth and rising regulation

Deployment intentions for 2026 are bullish. Forty-three percent of respondents expect to increase new investments this year, while 47% anticipate maintaining 2025 levels and just 10% foresee reductions. This outlook holds firm against last year, when 46% projected increases, suggesting sustained confidence despite LP liquidity constraints limiting fresh capital commitments.

European fundraising sank to €80.9 billion in 2025²⁰ – its lowest level in a decade – after falling by approximately 40% year on year, due to the lack of megafunds reaching final close. Nevertheless, the industry is sitting on near all-time high dry powder of €434.8 billion²¹, thanks in large part to 2024's record haul, when €146.9 billion was amassed by GPs, led by large-cap managers.

Some respondents are confident in their ability to identify value in this environment, in niche pockets away from crowded auctions. A Belgium-based investment director of a lower mid-market firm explained: "Acquisitions will increase significantly because of the opportunities and the lower competition for targets in preferred markets and sectors. As consolidation increases in sectors, it should open up new opportunities."

And while the most obvious partners for frontier labs like OpenAI and Anthropic are multi-billion-dollar US venture capital firms, smaller, buyout-focused operators see opportunities at the application layer – targeting enterprise software providers (ESPs) that embed AI into existing business workflows rather than building foundation models themselves. "There will be a slight increase in our investments in the technology sector," said an investment director at a UK PE firm. "There are AI-driven solutions in which we would like to invest and we are sourcing ESPs who would add value to our portfolio. This is a growing sector and we want to invest when the time is right."

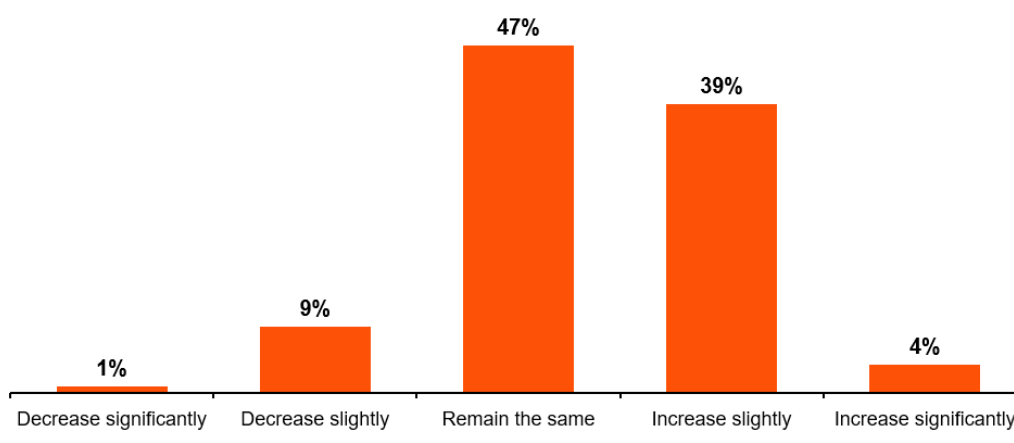
²⁰ 3 charts setting the stage for Europe's PE fundraising in 2026 (2026). Pitchbook.

<https://pitchbook.com/news/articles/3-charts-setting-the-stage-for-europes-pe-fundraising-in-2026>

²¹ European Private Market Update: Q4 2025 (2025). VRC.

<https://www.valuationresearch.com/insights/european-private-market-update-q4-2025>

Fig. 29 Compared to 2025, how do you expect the number of new investments made by your organisation in 2026 to change?



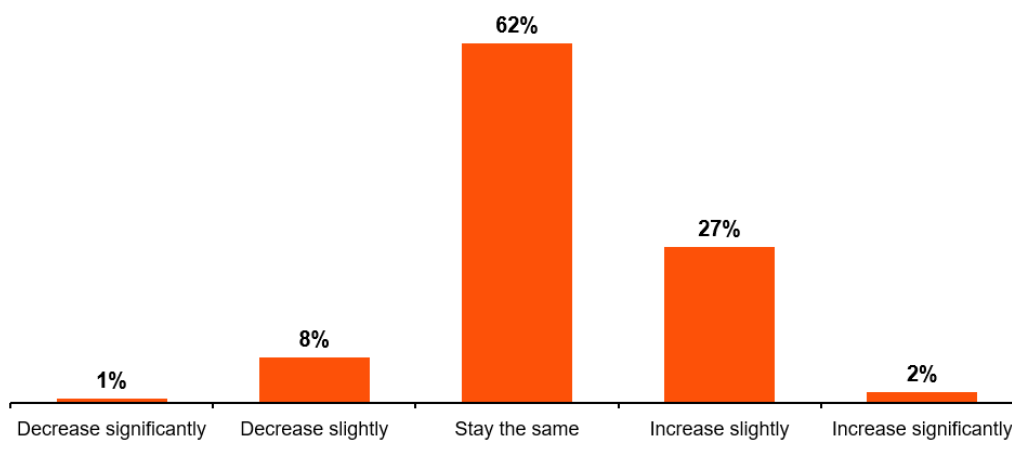
Moderate exit expansion

Exit expectations for 2026 show cautious realism rather than breakthrough optimism. While 62% of respondents anticipate maintaining 2025 exit volumes and 27% foresee slight increases, this represents a tempering of last year's ambitions, when 40% expected to accelerate realisations.

The gap between hope and execution persists. Despite a record \$240-billion secondaries market²² offering GP-led liquidity alternatives and traditional routes remaining open, extended holding periods and a four-year distribution drought have created a liquidity logjam that incremental improvements are struggling to clear.

With LPs starved of cash and acutely focused on DPI, the pressure to realise investments is palpable – yet GPs remain disciplined, unwilling to force exits at discounted valuations even as their investors' patience is being tested.

Fig. 30 Compared to 2025, how do you expect the number of exits made by your organisation in 2026 to change?



²² Ares deploys \$850m continuation strategy amid record \$240bn secondaries wave (n.d.). Private Equity Insights. <https://pe-insights.com/ares-deploys-850m-continuation-strategy-amid-record-240bn-secondaries-wave>

Narrowing valuation gap is driving deals

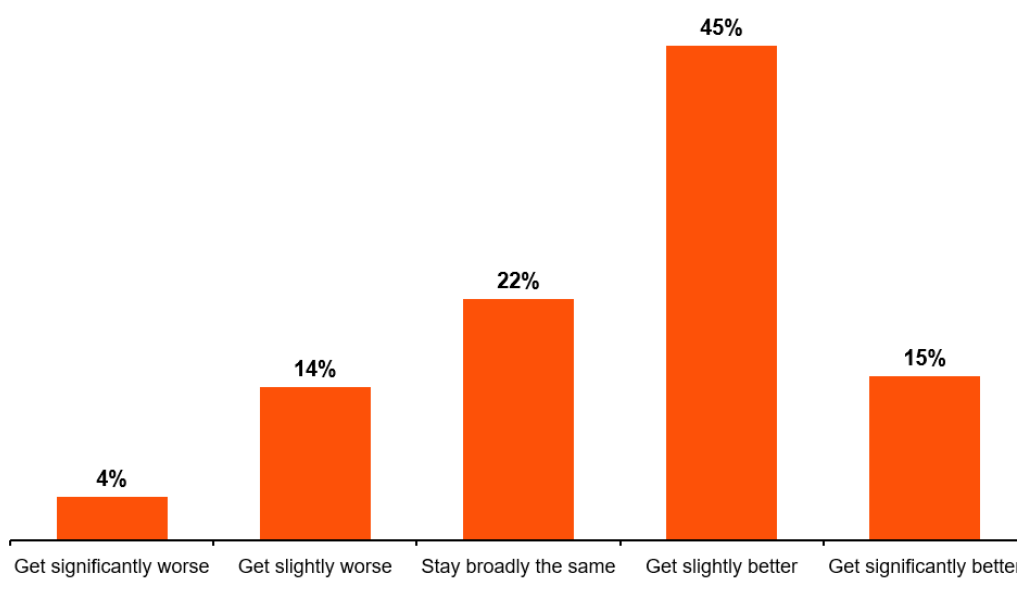
The market outlook for 2026 is tilting in a positive direction. Nearly two thirds (60%) of respondents believe the European deal environment will improve, against 22% expecting stability and 18% forecasting deterioration. This optimism is a consequence of narrowing valuation gaps²³ as sellers adjust to more realistic prices, clearing a backlog of stalled sale processes.

This repricing dynamic is central to the shift. “There is definitely more confidence among dealmakers because valuation gaps are shrinking,” noted a Finland-based managing partner. “Earlier, this was a crucial issue leading to deals falling through, but conditions will be better.” This alignment between buyer and seller expectations points to a forthcoming release of transactions sidelined during the standoff.

The pipeline is already visible to those scanning ahead. “I see a lot of high-potential assets in the European market and transaction volumes will be slightly better in 2026,” explained a UK-based partner. “The deals that were stalled for some reason in 2025 will go through in the year ahead.”

While the 18% who expect worsening conditions cited persistent fundraising challenges and regulatory headwinds, the majority view indicates a market transitioning from price discovery to transaction execution.

Fig. 31 How do you expect the European deal market for private equity to develop in 2026?



²³ PAI: Narrowing valuation gaps fueling competition for top assets; Key themes for PE dealmaking in 2026 (2026). PE Hub.

<https://www.pehub.com/pai-narrowing-valuation-gaps-fueling-competition-for-top-assets-key-themes-for-pe-dealmaking-in-2026/#:~:text=The%20valuation%20gap%20between%20buyers,an%20excerpt%20from%20the%20Q&A:>

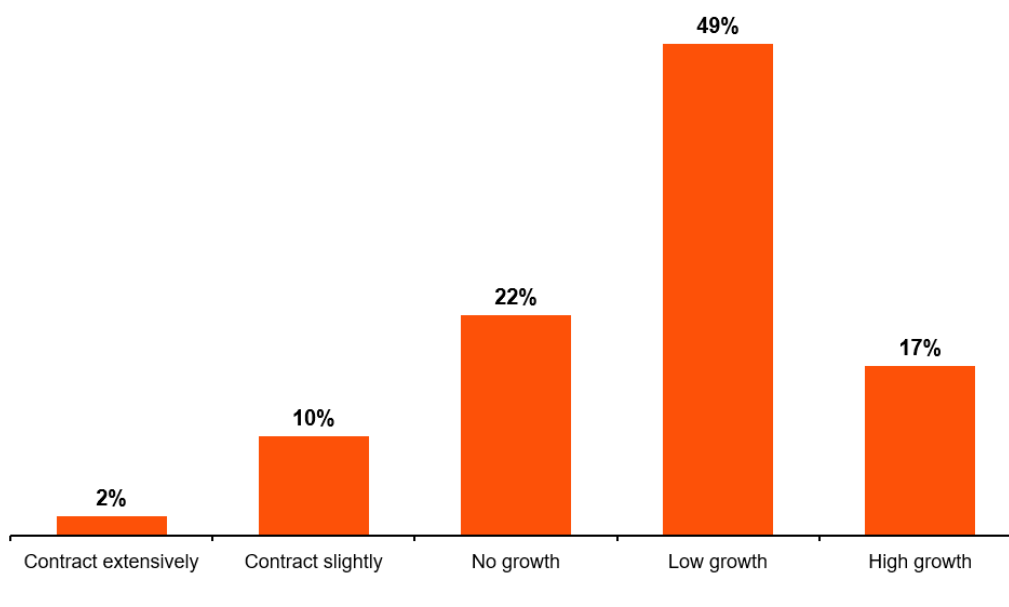
Slow and steady growth

Growth expectations are showing divergence from institutional forecasts. While the IMF projects steady global growth of 3.3% for 2026²⁴, revised slightly upward from earlier estimates, European GPs have a more cautious outlook: 71% anticipate low or no growth, split between 49% expecting sluggish expansion and 22% foreseeing stagnation.

This pessimism is indicative of the uneven composition of global expansion rather than outright recession fears. The IMF identifies advanced economy growth at 1.8%²⁵, with the euro area trailing at just 1.3%²⁶, subdued by persistently high energy costs, manufacturing weakness and limited benefits from the AI-driven investment boom that has been concentrated in North America and Asia.

European respondents appear to have internalised this divergence. They recognise that while headline global figures are robust, the continent faces unresolved structural headwinds that leave it vulnerable to trade flare-ups or disappointing productivity gains from technology investment. The 22% expecting no growth and further 12% anticipating outright contraction are cognisant of the malaise in industrial sectors and the potential for tariff escalation to disrupt cross-border activity.

Fig. 32 How do you expect the global economy to develop in 2026?



²⁴ *World Economic Outlook Update* (2026). IMF.

<https://www.imf.org/-/media/files/publications/weo/2026/january/english/text.pdf>

²⁵ *ibid.*

²⁶ *ibid.*

Financing under pressure

Despite central bank rate cuts through 2024 and 2025²⁷, respondents anticipate that geopolitical volatility will translate into higher effective financing costs. Half (50%) expect significantly increased financing costs to be the strongest impact of disruption on the world stage, a function of risk premiums embedded in credit spreads rather than base rate trajectories.

While credit spreads have tightened considerably since April's "Liberation Day" volatility, having spiked sharply in anticipation of tariff implementation, they remain vulnerable to sudden widening. As tensions flare and trade policies shift, risk premiums persist for cross-border transactions, particularly for portfolio companies with complex supply chains or exposure to US-China trade friction. Currency volatility has also increased hedging costs, while sector-specific liquidity crunches, especially in trade-exposed industries, are driving up all-in borrowing costs even as headline rates decline.

This financing pressure extends beyond price to availability. Forty-one percent cited increased difficulty securing financing, suggesting that banks are retrenching from uncertain geographies or sectors perceived as vulnerable to tariff disruption, creating a "risk-off" lending environment where capital is reserved for the most transparent, domestic-focused assets.

The combined effect is a bifurcated credit market where high-quality, non-cyclical deals still attract competitive financing, while complex, cross-border or manufacturing-heavy transactions face both higher costs and reduced lender appetite. This dynamic is forcing GPs to either absorb increased financing risk, adjust purchase price assumptions, or walk away from processes where leverage assumptions are no longer workable.

Uncertainty itself has reached unprecedented levels, sustaining these pressures even with lower base rates. The World Uncertainty Index, which tracks how frequently "uncertainty" and its variants appear in Economist Intelligence Unit country reports²⁸, surged to a new all-time high in early 2026, exceeding the peaks seen during the global financial crisis in 2008 and the COVID-19 pandemic in 2020. This documented elevation in policy and economic unpredictability is driving lenders to demand wider credit spreads and more restrictive covenants, effectively decoupling all-in borrowing costs from central bank rate cuts.

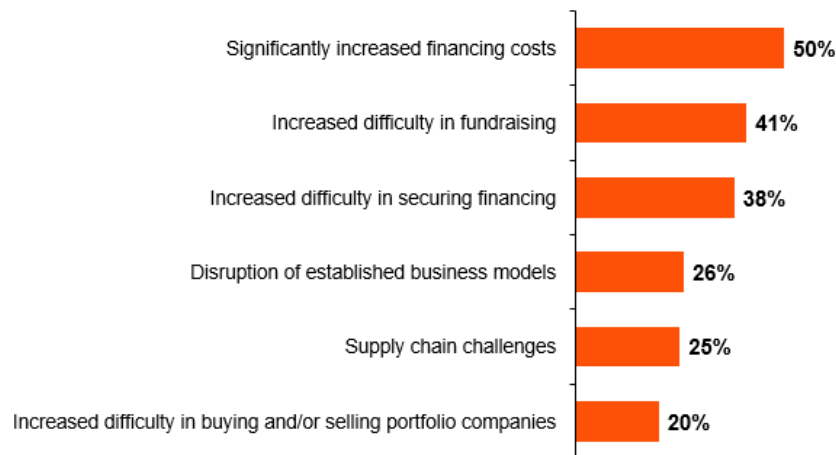
²⁷ *Interest rates and monetary policy: Economic indicators* (2026). UK Parliament.

[https://commonslibrary.parliament.uk/research-briefings/sn02802/#:~:text=Eurozone%20\(European%20Central%20Bank\)&text=The%20ECB%20cut%20rates%20ei ght,meeting%20ends%20on%2019%20March.](https://commonslibrary.parliament.uk/research-briefings/sn02802/#:~:text=Eurozone%20(European%20Central%20Bank)&text=The%20ECB%20cut%20rates%20ei ght,meeting%20ends%20on%2019%20March.)

²⁸ *World Uncertainty Index hits record high, surpassing 2008 level* (2026). TheStreet.

<https://www.thestreet.com/crypto/markets/world-uncertainty-index-hits-record-high-surpassing-2008-level>

Fig. 33 Looking forward to 2026 and the increasing geopolitical uncertainties (e.g. inflation, the conflicts in Ukraine and Israel, US-China trade war, political uncertainty), which of the following do you expect to have the strongest impact on your firm and your portfolio?



Challenging fundraising and rising regulations are hitting firms

Two core issues are preoccupying European PE firms as they look to the near future: constrained capital and growing regulatory scrutiny. Challenging fundraising conditions rank as the foremost concern, with 24% citing it as their top issue, reflecting the lingering hangover from four years of distribution drought that has left LPs liquidity-constrained and highly selective, even as elevated public markets have reversed the denominator effect. GPs are concerned that investors simply will not have the capital to commit to new funds.

However, regulation is a broader concern, cited by 53% of respondents as one of their top three issues to contend with. While the EU's recently agreed Omnibus I package²⁹ has eased certain reporting requirements and streamlined elements of the existing ESG framework, firms are increasingly focused on what is coming next. Emerging rules are shifting attention from disclosure volume to operational substance. The EU's developing social taxonomy will subject workforce practices and supply chains to closer scrutiny, while the AI Act will introduce risk-based compliance obligations³⁰ as portfolio companies increasingly embed AI across their operations as a means of growing revenues and margins.

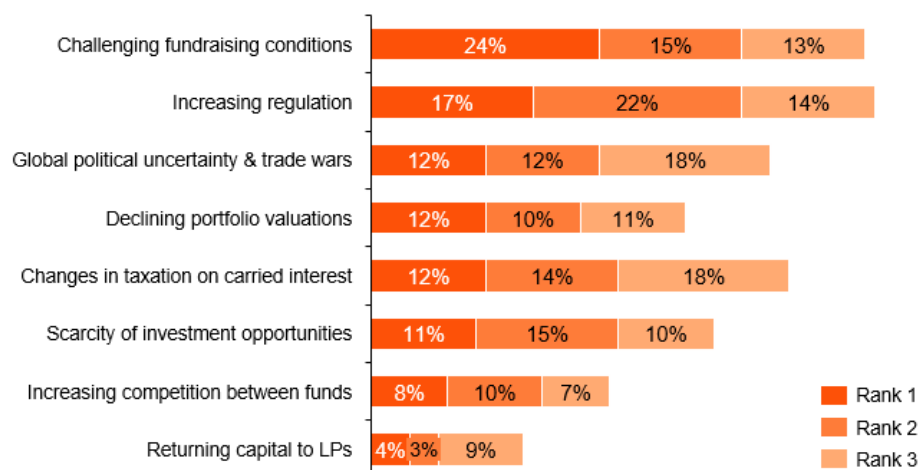
GPs must now assess algorithmic exposure during due diligence and oversee conformity assessments post-close, adding technical and governance complexity to value creation plans. In this environment, scarce capital and a shifting compliance landscape will favour firms with durable LP relationships and the

²⁹ *Commission welcomes political agreement on Omnibus I simplification package* (2025). European Commission. https://ec.europa.eu/commission/presscorner/detail/de/ip_25_2981

³⁰ *AI Act* (2026). European Commission. <https://digital-strategy.ec.europa.eu/en/policies/regulatory-framework-ai>

internal infrastructure to manage emerging accountability and compliance standards.

Fig. 34 Looking ahead again, what are the key issues which the private equity industry in Europe will face in the next five years? (Rank 1 is the most important issue)



Transformation is driving equity stories

When shaping equity stories for 2026 acquisitions, GPs are prioritising demonstrable transformation over financial engineering. AI/digitalisation leads as the most influential factor (26%), marking a fundamental shift in how value is created and measured. Where equity stories once emphasised leverage multiples and financial structuring, they now foreground operational metrics – revenue growth from automation, margin expansion through AI-driven efficiency, and competitive positioning in digitally disrupted markets.

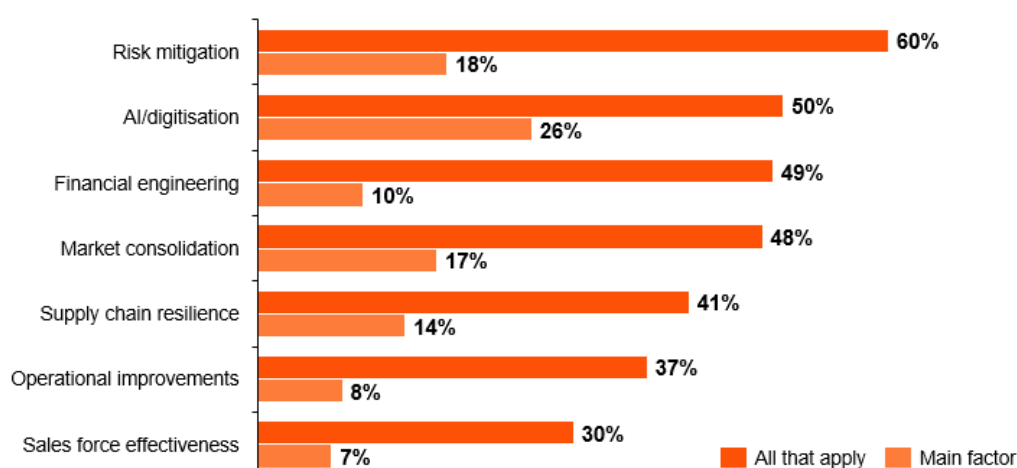
As one investment director of a UK PE firm said: “Digitalisation immediately translates to good value for investment holding between the three- and six-year period in an equity story. This will have a transformational impact on acquisitions, as it increases the revenues rapidly. There are various technologies that can truly provide the kind of growth that investors and PE firms are expecting.”

Risk mitigation follows at 18%, revealing how equity story construction has evolved beyond growth narratives to encompass resilience. In an environment defined by uncertainty, LPs are scrutinising downside protection with the same intensity as upside potential. GPs must now articulate not only how they will expand EBITDA, but also how they will protect it with diversified supplier bases, pricing power in inflationary environments, and operational flexibility that can absorb external shocks. This has elevated risk mitigation from a due diligence exercise to a strategic narrative.

“Several risks did affect investment returns in the past for many PE firms, so stressing risk mitigation and setting the proper roadmap for it will be a very crucial part of equity stories,” explained a partner at a UK firm.

The implication is clear: in a market where distributions have been constrained for four consecutive years, GPs who can demonstrate both growth trajectory and downside protection will command a decisive advantage in LP allocation decisions.

Fig. 35 Looking forward to 2026, which of these factors do you believe will influence equity stories and be most transformational for acquisitions in your organisation?



Sources and sectors

Sector preferences are aligned with Europe’s burgeoning industrial reset and the necessity of technological advancement and innovation to compete with global rivals. When respondents were asked about the sectors in which their organisations were most likely to invest in the next two to three years, Industrial Production/Manufacturing took the lead at 44%, followed by IT/Software (39%).

Over the past year, PE firms have been snapping up non-core assets from Europe’s industrial giants as they sense an opportunity to turn around high-quality businesses that corporates deem to be non-essential. Indeed, last year’s biggest European deal came from the industrial sector, with US PE firm Carlyle buying BASF’s coatings division for €7.7 billion; this trend is likely to continue through 2026 and beyond.³¹

Meanwhile, AI, defence and cybersecurity are likely to be the catalysts for further investment in the IT/software space.

Industrial Production/Manufacturing (18%) and IT/Software (14%) also ranked as the sectors facing greatest change. In the industrial space, PE is seeing a

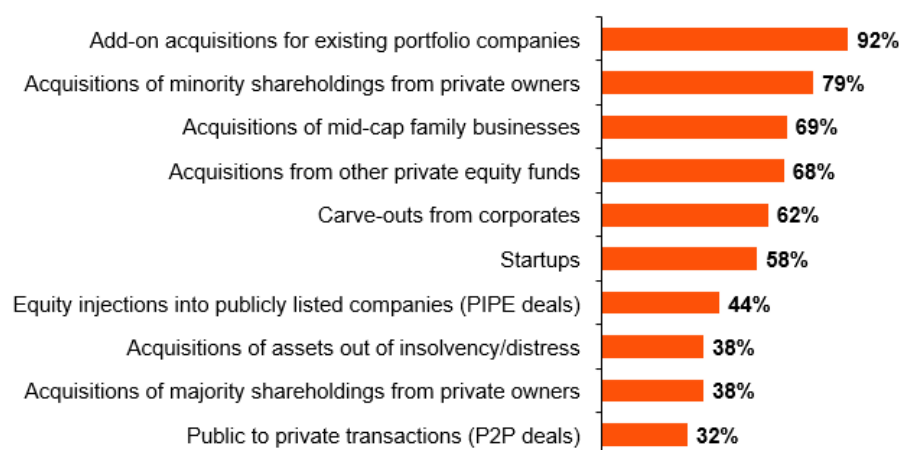
³¹ *Private equity steps in as Europe’s last industrial groups splinter* (2025). Financial Times. <https://www.ft.com/content/b2861b49-f10d-4f12-b8c6-d866bb4eb84e>

pipeline of assets requiring capital-intensive transformation, operational turnaround and consolidation to achieve the scale necessary to compete.

In terms of deal types, 92% of respondents expect add-on acquisitions to drive near-term deal activity, capturing the consolidation imperative as industrial players seek scale. “We are planning the use of the add-on acquisition strategy to ensure higher growth prospects for existing companies,” said the investment director of an Italian mid-cap PE firm. “Scaling has been a significant issue and market barriers have not relaxed enough for organic growth to kick in.”

Concurrently, 79% anticipate minority shareholdings from private owners, with 69% specifically targeting mid-cap family businesses, capitalising on *Mittelstand* and other SME hub succession opportunities as family-owned industrial firms face transformation investments under new regulatory frameworks.³² “Mid-cap family businesses will be a good source of opportunities,” said the managing partner of a Denmark-based PE firm. “There are many family businesses that focus on community engagement, client-centricity and driving value in local markets. We can invest in these businesses and take them to the next level.”

Fig. 36 In your opinion, which, if any, of these will be sources of new deal opportunities for your organisation in 2026?



³² In Germany, retiring company owners struggle to find successors (2025). Reuters.
<https://www.reuters.com/business/finance/germanys-retiring-mittelstand-owners-struggle-find-successors-2025-06-10>

Fig. 37 In your opinion, which of the following industries is your organisation most likely to invest in over the next two to three years? (Top 10)

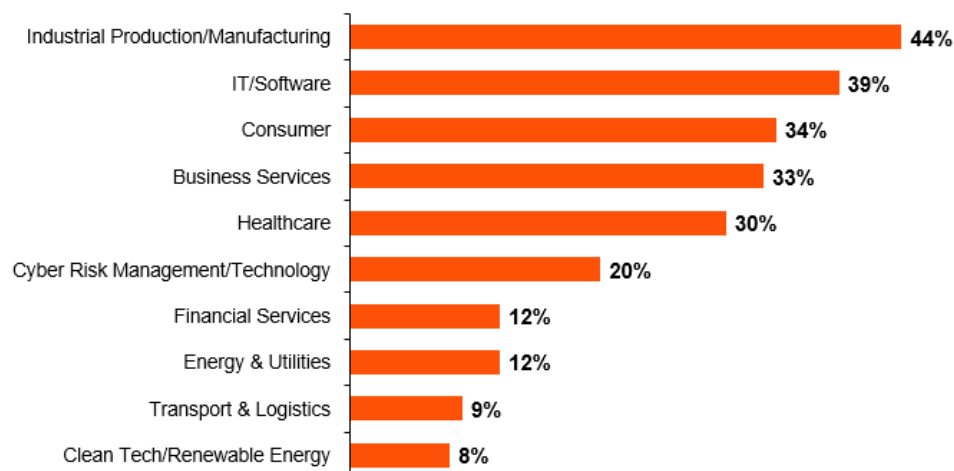
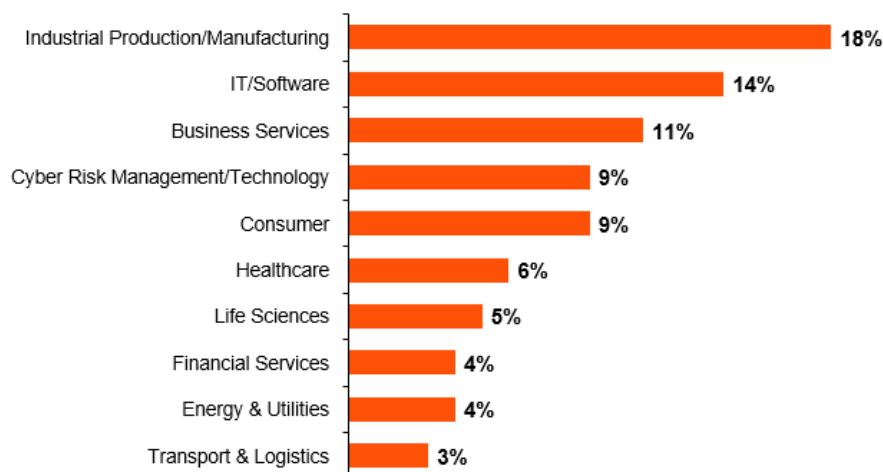


Fig. 38 Which of these industries do you expect to undergo the most transformation? (Top 10)



Portfolio companies: breaking the bank

Nearly half of respondents (49%) reported that between 10% and 20% of their portfolio companies broke bank covenants or required negotiations with lenders in 2025. This is a notable stabilisation from the previous year's more extreme dispersion, when 33% of respondents reported major distress affecting more than 40% of their portfolios and only 19% enjoyed relative calm with under 10% of companies in trouble.

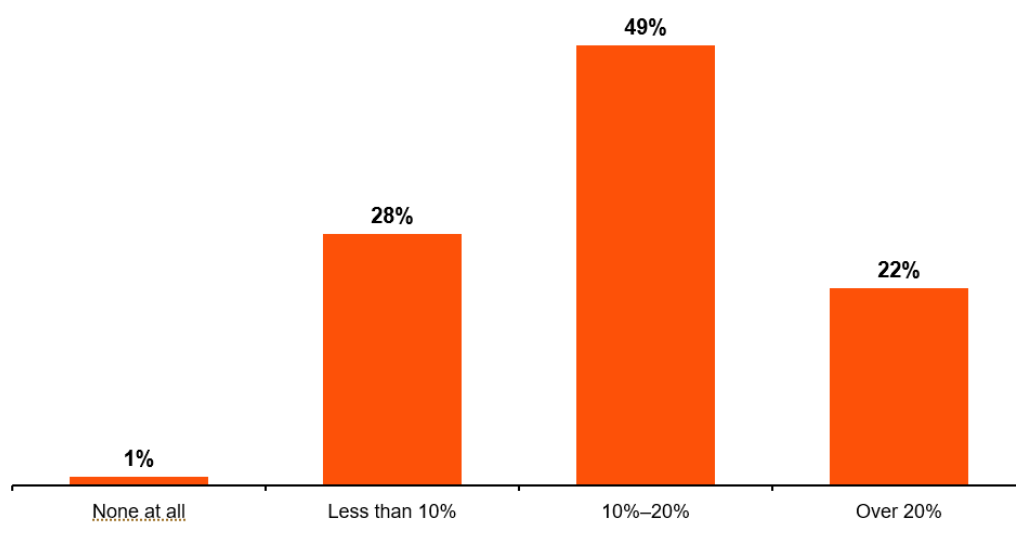
In 2025, this tail risk receded: the severe distress cohort (>20% of portfolio) fell to 22%, while the low-stress group (<10%) expanded to 28%. But the modal experience remains stubbornly consistent – moderate stress has become the dominant condition, with covenant pressure now normalised rather than episodic.

This mid-range concentration is evidence of systemic rather than idiosyncratic pressures. In Q4 2025, the Weil European Distress Index registered retail and consumer goods at their most distressed levels since the global financial crisis³³, with industrials ranking second as capacity utilisation dropped and delayed capital spending weighed on profitability. The HCOB Eurozone Manufacturing PMI remained in contraction territory throughout 2025, hitting 48.8 in December.³⁴

The outlook for 2026 suggests that some relief is coming. While 49% reported 10%–20% covenant breaches in 2025, 40% of European GPs expect to remain in that same range this year – still the single largest category of responses. Meanwhile, 38% expect fewer than 10% of portfolio companies to breach covenants, up from 28% in 2025 and a solid improvement. Expectations that tariff baselines have stabilised post-Liberation Day are fuelling optimism.

However, with distress expected to rise in Europe through 2026 as weaker investment conditions persist³⁵, and with Chinese competition continuing to pressure European automotive and industrial margins, covenant monitoring will remain critical to portfolio monitoring and management.

Fig. 39 During 2025, what percentage of your portfolio companies broke one or more bank covenants, or otherwise needed to enter negotiations with their financing providers?

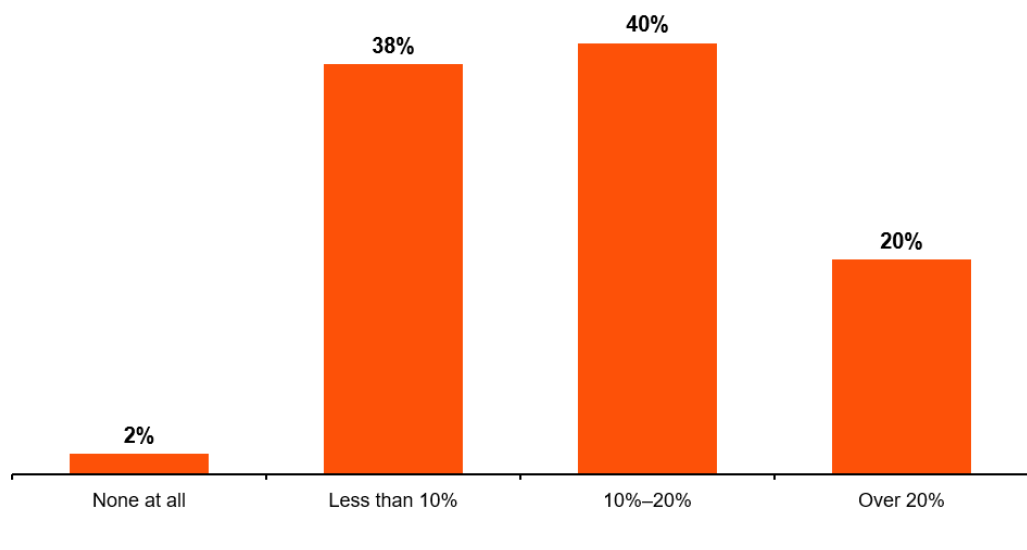


³³ *The Weil European Distress Index* (2026). Weil.
<https://www.weil.com/articles/the-weil-european-distress-index>

³⁴ *HCOB Eurozone Manufacturing PMI* (2026). PMI.
<https://www.pmi.spglobal.com/Public/Home/PressRelease/38ef4c8d6fc14b96a25e0db8917cd5b5>

³⁵ *The Weil European Distress Index* (2026). Weil.
<https://restructuring.weil.com/news/the-weil-european-distress-index-january-2026>

Fig. 40 Looking forward to 2026, what percentage of your portfolio companies do you expect will break one or more bank covenants, or otherwise need to enter negotiations with their financing providers?



Chapter 3: Return on investment, operational improvements, value creation and digitalisation



Return on investment, operational improvements, value creation and digitalisation

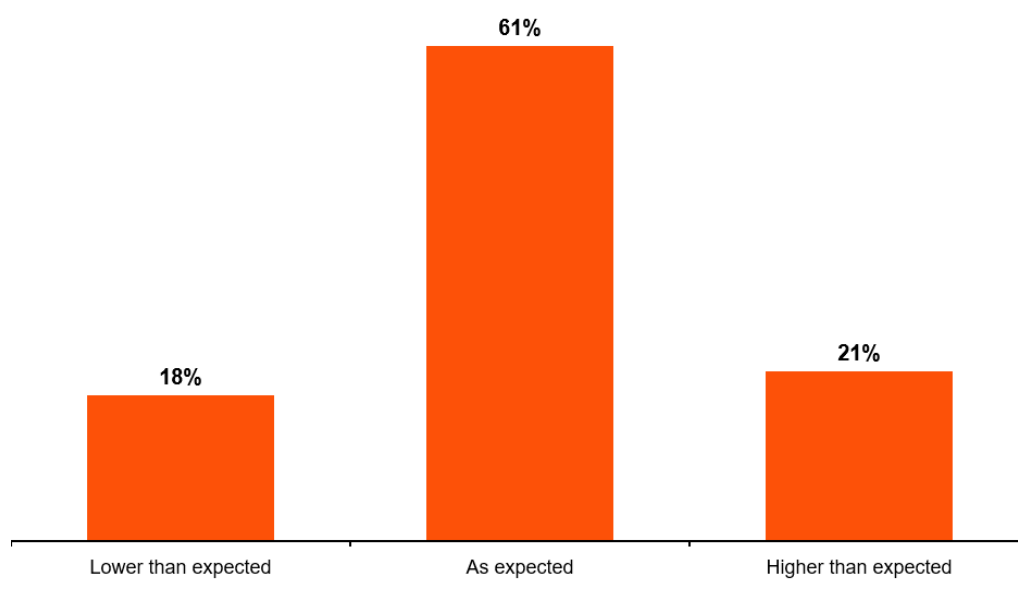
Operational excellence now trumps financial engineering

The European PE industry has crossed a threshold. The financial engineering that defined the 2010–22 era has given way to a more demanding phase where operational excellence determines success or failure. Returns have stabilised, expectations are recovering and the levers of value creation have shifted towards execution capabilities.

Success now depends on embedding operational value creation from the outset – integrating detailed post-acquisition plans into due diligence, identifying levers for revenue growth and margin expansion, and mobilising operating specialists early. This structural shift is being reinforced by LPs' heightened scrutiny, with managers' selections increasingly prioritising proven operational capability over past financial engineering alone. The industry is no longer operating within a cyclical anomaly. It has entered a structural phase where ability to execute consistently, rather than rely on leverage or multiple expansion, will determine competitive performance.

These changes are already beginning to influence results. The returns picture has improved markedly from the pessimism of recent years: nearly two thirds of respondents (61%) reported that returns on investments made during the past five to seven years met expectations, with 21% exceeding expectations and only 18% falling short. This represents a significant recovery from 12 months ago, when 37% reported lower-than-expected returns and 19% saw outperformance.

Fig. 41 Looking back on the returns on investments you made during the past five to seven years, how do they compare to expectations?



Growth expectations

Optimism about future performance is measured but growing: 46% of respondents expect returns on investments made in the past year to exceed those from five to seven years ago, while 38% anticipate similar performance. This confidence rests on two factors: greater pricing discipline at entry following the volatility of recent years, and the operational capabilities firms have built to drive value in an environment where leverage is less abundant and EBITDA multiple expansion is harder to underwrite.

The shift from financial to operational value creation is structural and accelerating. According to McKinsey³⁶, leverage and multiple expansion comprised 59% of returns for deals done between 2010 and 2022, while the remaining 41% came from revenue growth and EBITDA margin expansion. StepStone Group and the Institute for Private Capital found that in the pre-2000 period, leverage alone contributed 70% of total value creation, whereas in the post-GFC era (2008–18), this fell to just 25% as operational improvement became the dominant driver.³⁷

The arithmetic of value creation at current entry multiples makes this shift imperative rather than optional. With median European buyout entry multiples at 12.8x EV/EBITDA according to VRC's European Private Market Update³⁸, and the cost of senior secured debt stabilising in the 5%–7% range per S&P Global's leveraged finance data, the mathematics of leveraged returns have changed fundamentally. A simple illustrative model demonstrates the challenge: at a 12.8x

³⁶ *Global Private Markets Report 2026* (2026). McKinsey & Company.

<https://www.mckinsey.com/industries/private-capital/our-insights/global-private-markets-report>

³⁷ *Evolving Drivers of Private Equity Value Creation* (2023). CAIS.

<https://www.caisgroup.com/articles/evolving-drivers-of-private-equity-value-creation>

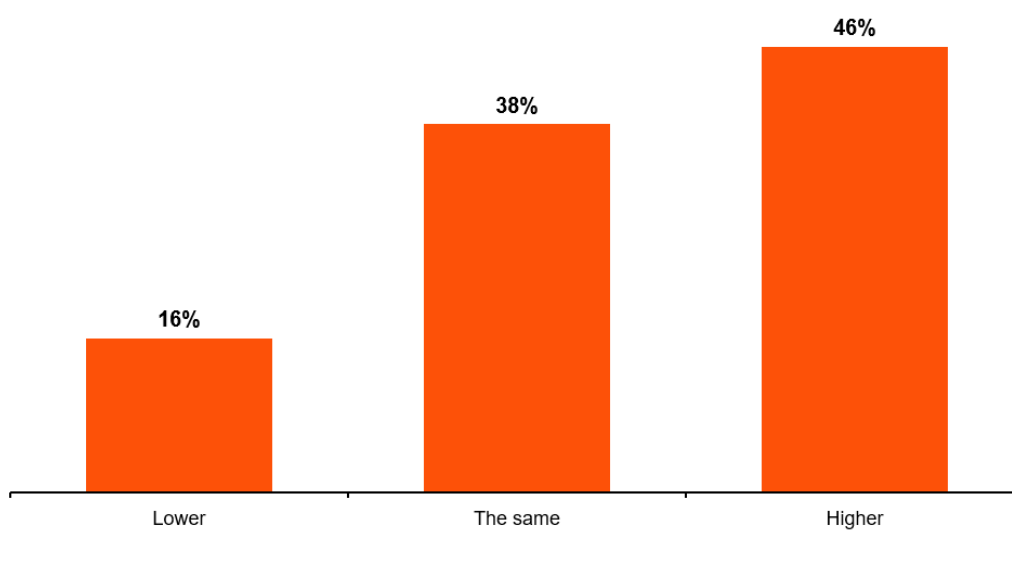
³⁸ *European Private Market Update: Q4 2025* (2025). VRC.

<https://www.valuationresearch.com/insights/european-private-market-update-q4-2025>

entry multiple with 50% debt-to-equity (the modal leverage ratio reported by survey respondents), generating a 2.0x gross return over a five-year hold requires approximately 60% EBITDA growth, or roughly 10% compound annual growth. In the pre-2020 environment, with entry multiples of 9x–10x and leverage at 60%–65%, the same return target could be achieved with only 30%–35% EBITDA growth, much of which could be delivered through multiple expansion alone. This gap – the difference between what macro tailwinds can provide and what operational execution must deliver – is the defining challenge for the current vintage of European PE investments. It explains why 43% of respondents reported that value creation levers have changed how they approach new investments: the margin for error has narrowed, and the penalty for inadequate operational execution has increased commensurately.

The direction of travel points toward further operational intensification. Entry multiples remain elevated at 12.8x EV/EBITDA³⁹, while the cost of debt, though lower than 2023 peaks, will not return to the near-zero levels that fuelled previous outperformance. The traditional drivers of past returns (low purchase prices, multiple expansion and cheap leverage) are largely spent. Firms that cannot generate returns through operational transformation will struggle to deliver competitive performance in the cycle ahead.

Fig. 42 Looking forward towards the expected returns on investments made during the past year, how do these compare to the returns on investments made five to seven years ago?



Digitalisation is pushing the ROI envelope

Digital operational levers now dominate PE strategy. Digitisation and AI rank first among factors influencing returns, cited by 36% of respondents, followed closely by financial leverage at 32%. Yet the trajectory of these levers reveals the industry's transformation: 74% reported that digitisation and AI have increased

³⁹ *ibid.*

their impact on returns over the past three years, compared to 68% for financial leverage.

Looking forward, 81% expect digitisation and AI impact to increase further, compared to only 54% for leverage. This divergence is a permanent shift in how value is created. With rates stabilising, financial leverage's influence is recovering somewhat, but it is no longer sufficient. Success depends more on digital execution capabilities than macro tailwinds.

AI is increasingly being applied across the PE value chain as an operational catalyst. In deal sourcing, machine learning models can screen large structured and unstructured datasets more deeply and quickly than traditional methods. In due diligence, natural language processing tools are helping to automate contract review and risk identification.

"The biggest impact has been on risk management," said the investment director of a Swiss PE firm. "Digital transformation has had a clear impact on due diligence methodologies. The use of technology in due diligence is only going to increase, and we will heavily rely on AI-backed decision models in the future."

Once a deal is done, AI supports real time KPI monitoring and predictive planning, while portfolio companies use it to optimise pricing, automate operations and enhance customer analytics. In exit planning, predictive tools help refine timing and target buyer segments.

"AI solutions can really differentiate our operations from other firms. When developing applications, we can be more precise in coming up with tailored solutions that can help us improve our sourcing, due diligence and plan integration," said the investment director of a PE firm in Italy.

However, implementation is not without real challenges. Data quality and integration remain major hurdles. Many firms deal with fragmented, inconsistent datasets across systems that must be cleansed and harmonised before AI can deliver reliable insights. AI models also require robust governance to avoid issues with privacy, compliance and model accuracy. Integration with legacy systems can also be complex and costly. Firms that address these challenges head-on will unlock the most value, embedding AI into day-to-day execution rather than treating it as a standalone experiment.

Despite the compelling headline adoption figures, a more granular assessment reveals significant dispersion in AI maturity across the industry. Most firms remain in the early stages of what industry practitioners describe as "point solution deployment" – using discrete tools for specific tasks such as document review or market screening – rather than achieving enterprise-wide integration, where AI is embedded into core decision-making workflows and portfolio company operations at scale. The gap between stated investment intentions (94% planning digital investments in 2026) and demonstrated operational impact reflects several interrelated barriers. First up is talent scarcity: PE firms are competing with technology companies, hedge funds and advisory firms for a limited pool of professionals who combine technical AI expertise with investment and operational acumen. Second is data infrastructure: many portfolio companies, particularly in the industrial and mid-market segments that dominate

European PE deal flow, operate with fragmented ERP systems, inconsistent data taxonomies and limited digital maturity, requiring substantial foundational investment before AI tools can deliver meaningful insights. Third is governance complexity: the EU AI Act, which entered its phased implementation in February 2025, introduces risk-based compliance obligations that require firms to classify AI systems, conduct conformity assessments and maintain documentation – adding regulatory overhead that must be factored into deployment economics. The firms generating the most value from AI are those that have invested in dedicated data engineering teams, established clear AI governance frameworks and adopted a “crawl-walk-run” approach that prioritises high-impact, low-risk use cases before scaling across the portfolio.

Fig. 43 Please rank the following in terms of importance, regarding their influence on your return on investment. (Rate from 1 to 4, rank 1 is the most important and 4 is the least important)

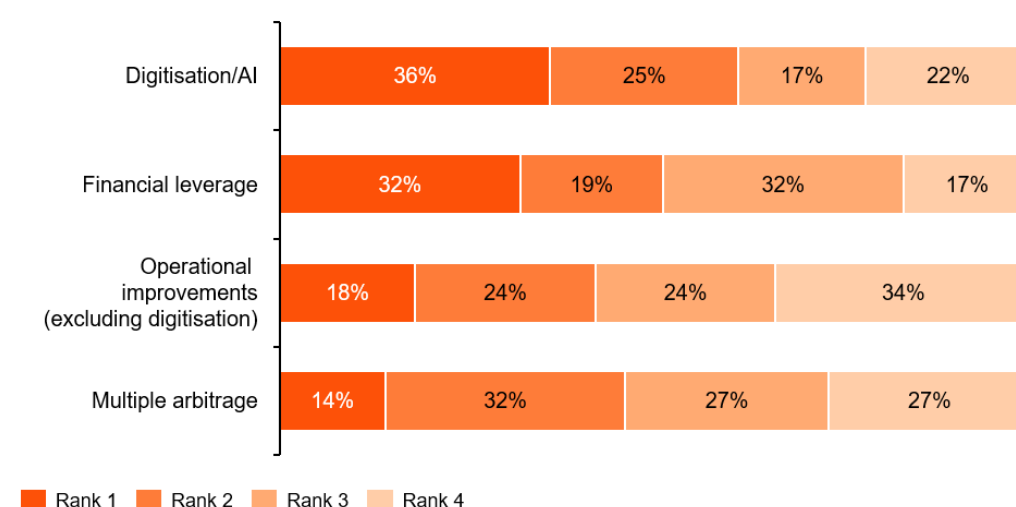


Fig. 44 During the last three years, has the impact of operational improvements (excluding digitisation), multiple arbitrage, financial leverage and digitisation on your return on investment increased, decreased or stayed the same?

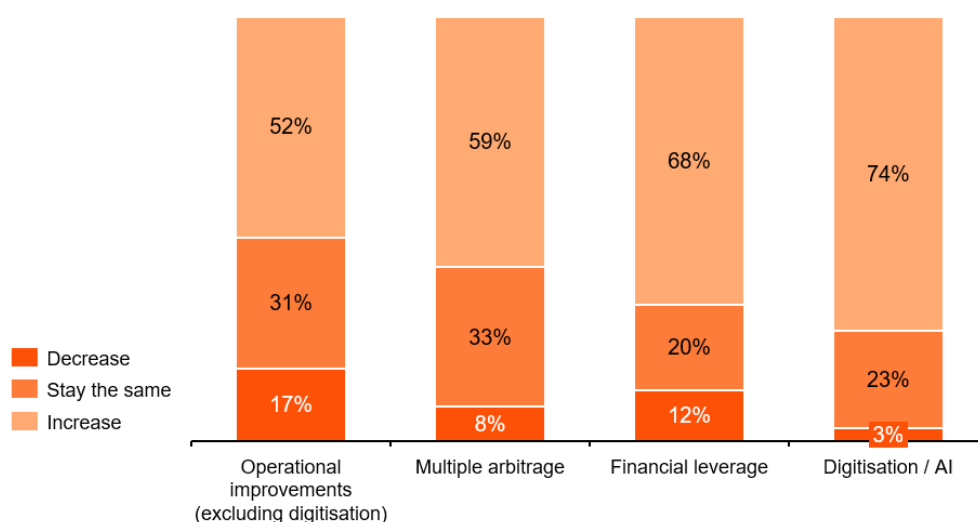
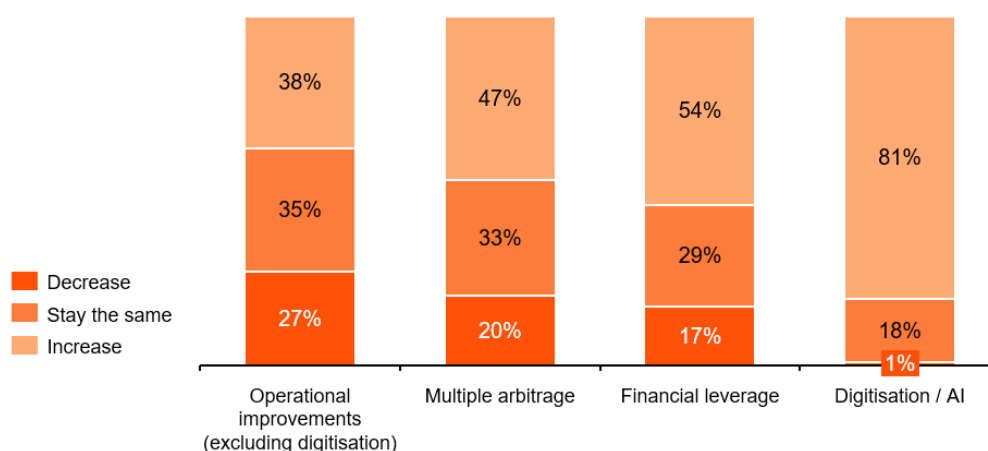


Fig. 45 Looking forward, do you expect the impact of operational improvements (excluding digitisation), multiple arbitrage, financial leverage and digitisation on your return on investment to increase, decrease or stay the same?



Value creation

The operational imperative has fundamentally altered the relationship between investment and value creation. Forty-three percent of respondents agreed that the importance of value creation levers has changed how they approach new investments and model equity stories during due diligence. Expectations for the future are elevated: 47% anticipate value creation importance will increase moderately and 22% that it will increase strongly.

Meanwhile, the nature of those levers has shifted decisively towards operational and digital capabilities. Digitalisation and AI rank as the lever of greatest importance, with 61% of respondents assigning it the maximum rating of 9–10 (averaging 8.66 out of 10). Crisis management, including supply chain and cyber risk management, follows closely with 58% assigning 9–10 (also averaging 8.66). These dual priorities point to an industry navigating simultaneous transformation and disruption: AI is driving efficiency and growth, while crisis management protects against the tariff exposure, supply chain volatility and cyber threats that have become persistent features of the operating environment. R&D effectiveness (7.86), operational cost reduction (7.57) and strategic sourcing (7.38) trail the leaders but remain material contributors.

This deeper integration of value levers is partly a consequence of hard-learned lessons. Deals completed in the past few years have demonstrated that aggressive entry assumptions and compressed due diligence can strain performance when execution levers are not fully embedded. Firms entering 2026 are responding by scrutinising valuations with greater discipline, embedding flexibility into exit planning from day one and underwriting value creation improvements as core components of deal theses rather than optimistic overlays.

Among the most successful firms, leadership is sharpening focus and defining a distinctive edge. LPs are no longer persuaded by generalist pitches unless a firm can demonstrate it executes exceptionally well and at scale.

Those that do this well identify the types of companies they are uniquely suited to own, track them over multiple years and design full-potential due diligence that uncovers the revenue, operational and technology levers capable of delivering meaningful step changes in value.

Top-tier managers translate investment theses into practical post-close value creation plans that define baseline performance, assess full-potential improvement across levers, detail priority initiatives and develop robust execution plans. These plans are revisited throughout the holding period, reassessing market evolution and focusing on high-impact levers capable of generating further waves of value creation.

Fig. 46 Has the importance of value creation levers changed the way you look at new investments and do you model it in your equity story at entry/during the due diligence phase?

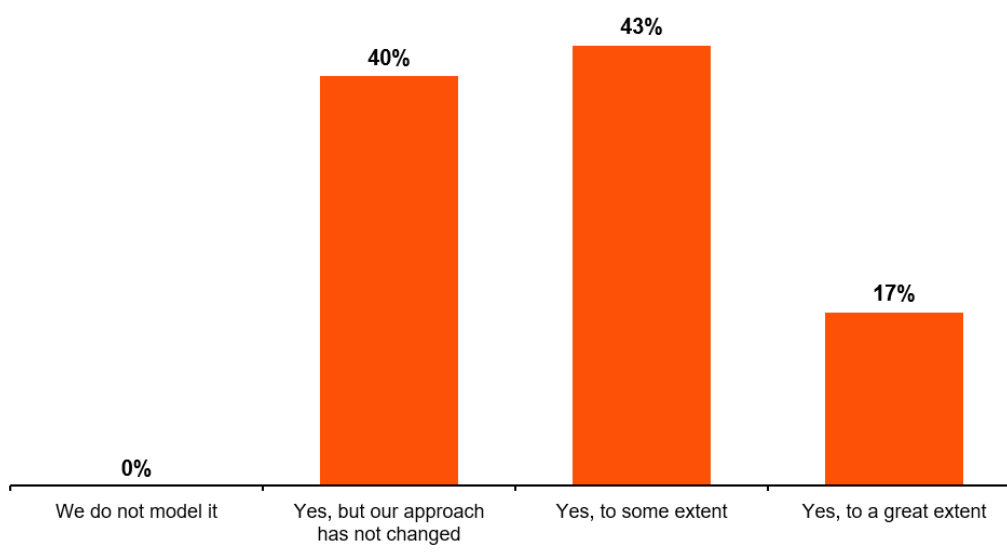


Fig. 47 How do you expect the importance of value creation to develop in the future?

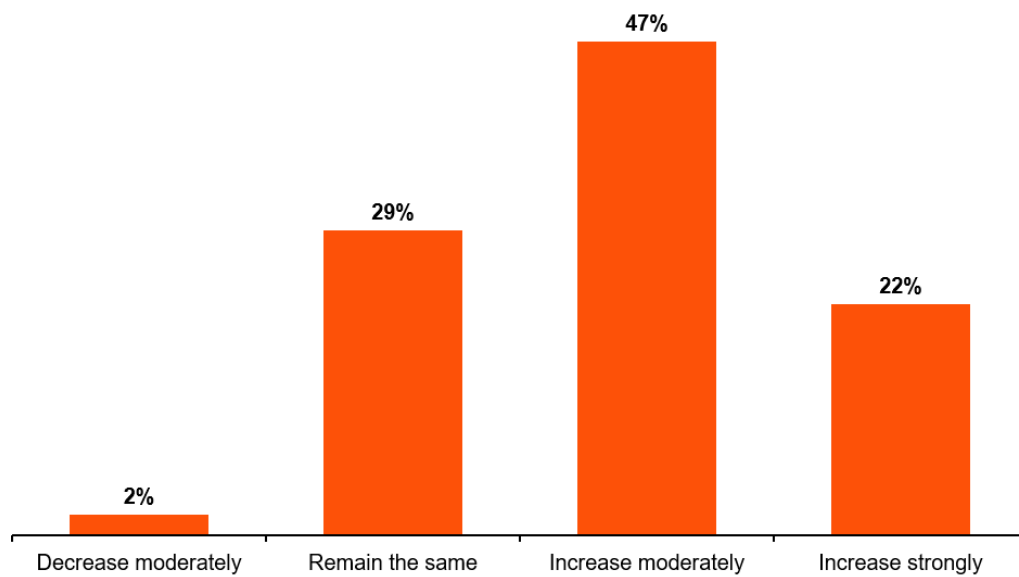


Fig. 48 Which levers are most important to value creation within the equity/investment story? (Rate from 1 to 10, 1 is the least important and 10 the most important)

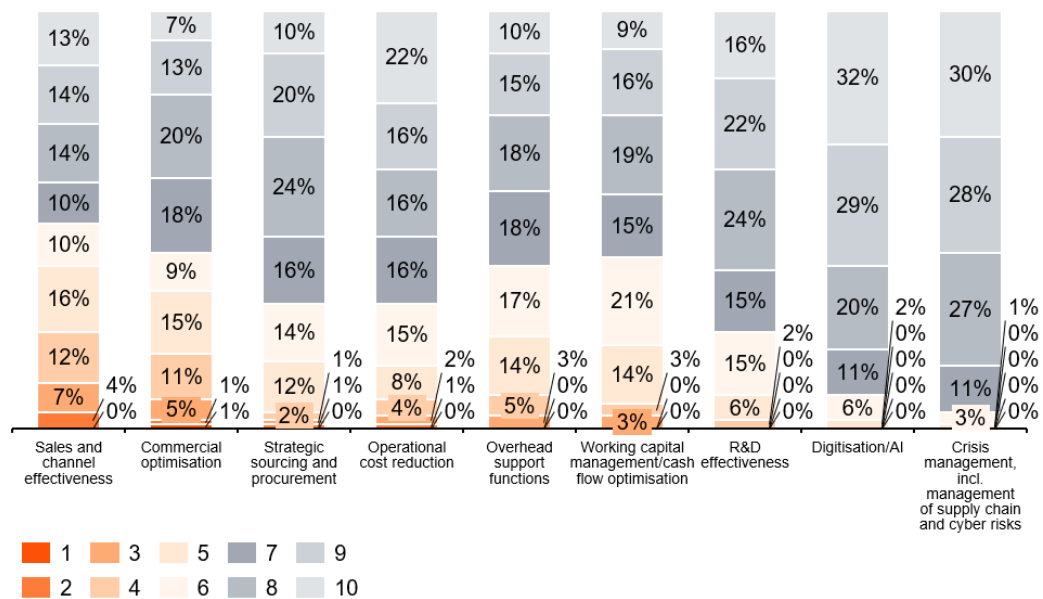
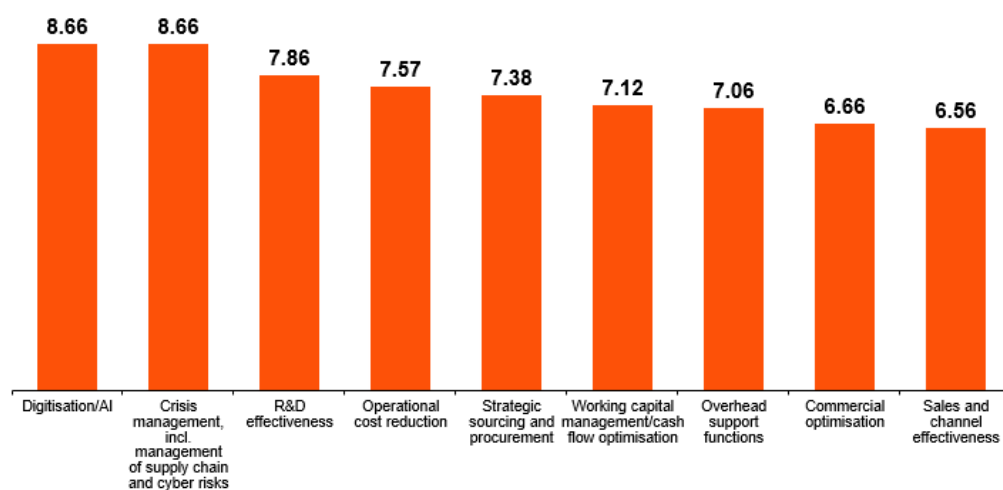
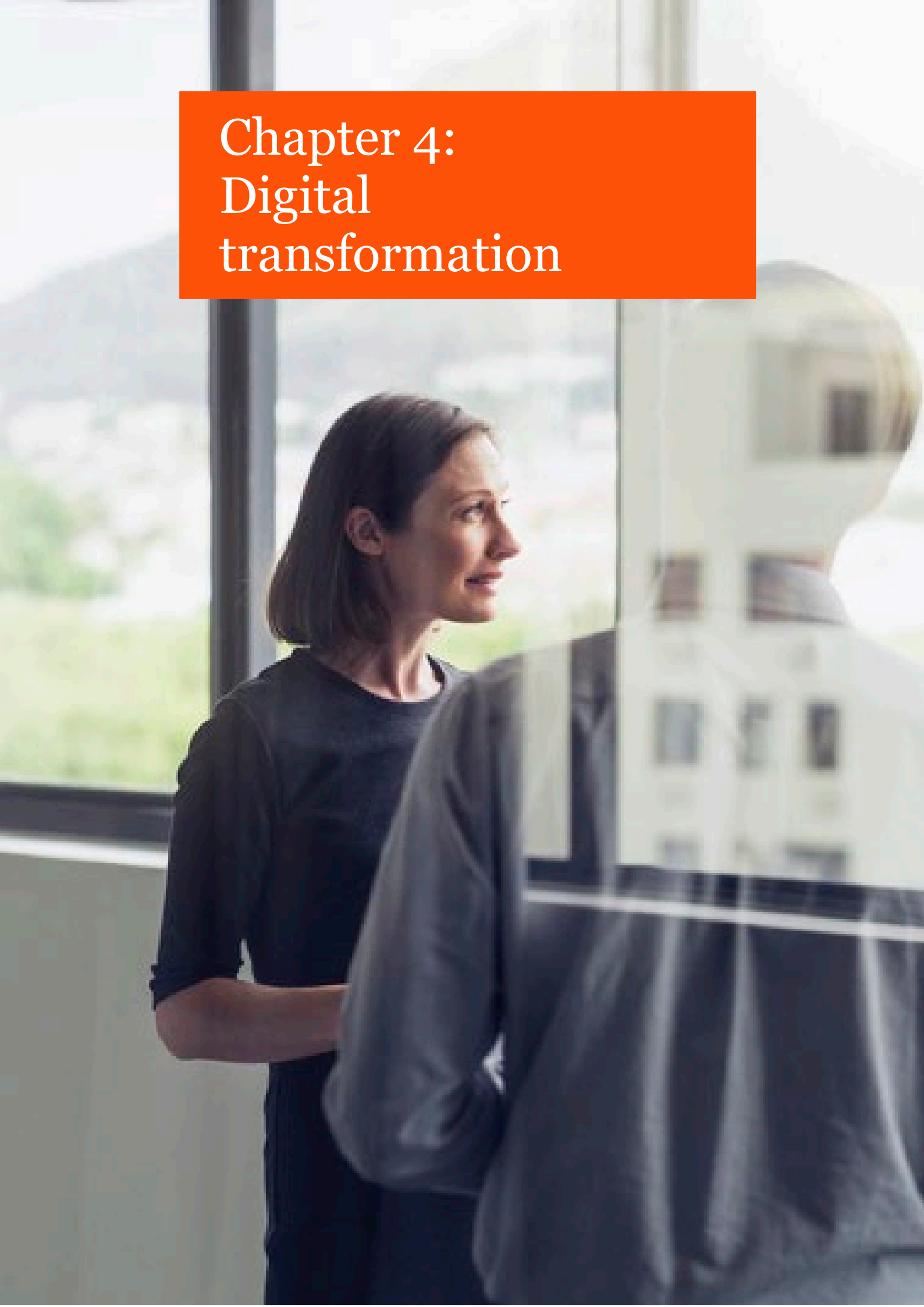


Fig. 49 Which levers are most important to value creation within the equity/investment story? (Rate from 1 to 10, 1 is the least important and 10 the most important)



Chapter 4: Digital transformation



Digital transformation

AI is accelerating the digital agenda

PE firms have spent well over a decade digitalising workflows. The new imperative is depth – how deeply technology can be embedded into internal operations and across portfolio companies to separate leaders from laggards in an increasingly competitive environment.

Commitment is measurable and accelerating at both levels. European GPs are leaning more heavily into digital transformation, with 88% making such investments in 2025, up from 71% last year. Meanwhile, 94% are planning such investments in 2026, a notable rise from the 72% who planned to do so in last year's survey and the 62% recorded in 2024.

This positive trajectory signals that digital transformation has long since moved from experimental to essential, and from isolated pilots to systematic deployment – firm-wide and portfolio-wide.

Fig. 50 Have you made investments in digitally transforming business models in your own firm or your portfolio companies in the past year?

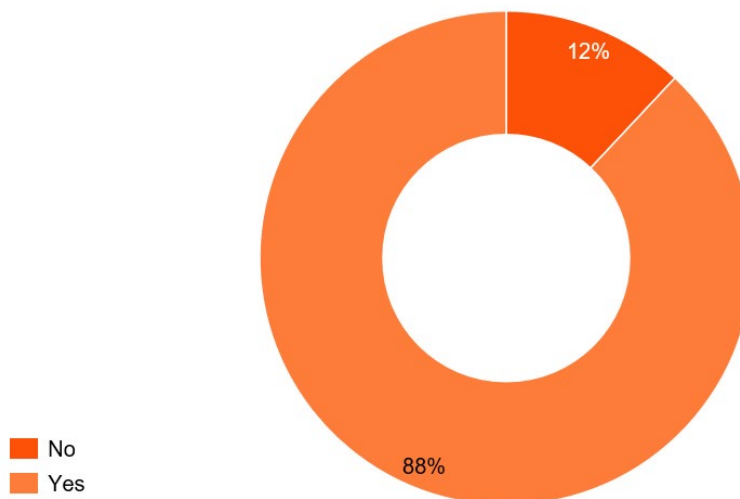
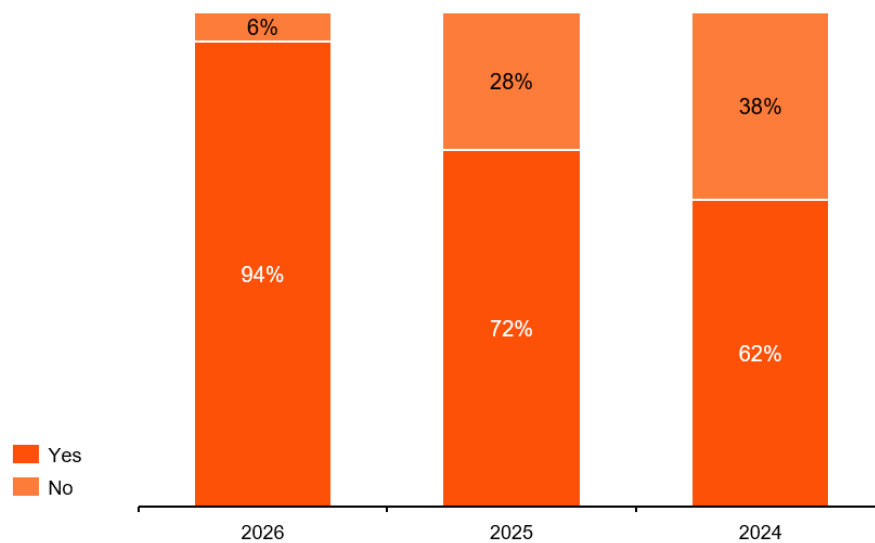


Fig. 51 Will you be investing in digitisation over the next year?



Focus areas

These commitments are targeted rather than scattershot. Among those that invested in 2025, 67% focused on data analytics, 46% on AI and 40% on cybersecurity.

Looking ahead, data analytics remains the top priority with 72% planning investment, and 35% ranking it as the most important area. AI, however, is catching up rapidly, with 69% planning investment and 32% ranking it most important. This pattern suggests maturation from broad digitalisation to specific, high-impact applications where firms can demonstrate tangible returns. The focus is shifting from simply adopting technology to embedding it deeply enough to generate measurable value creation.

Fig. 52 If yes, in which of the following areas of digital transformation have you focused your investment?

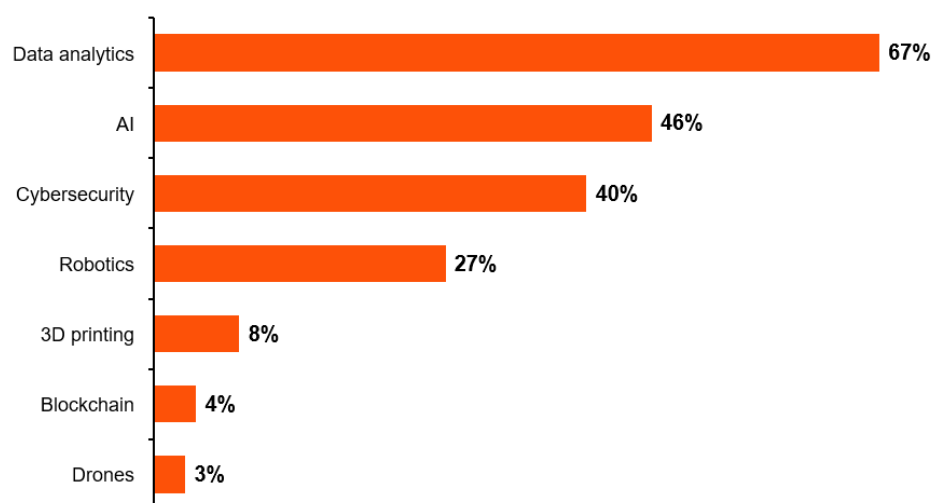
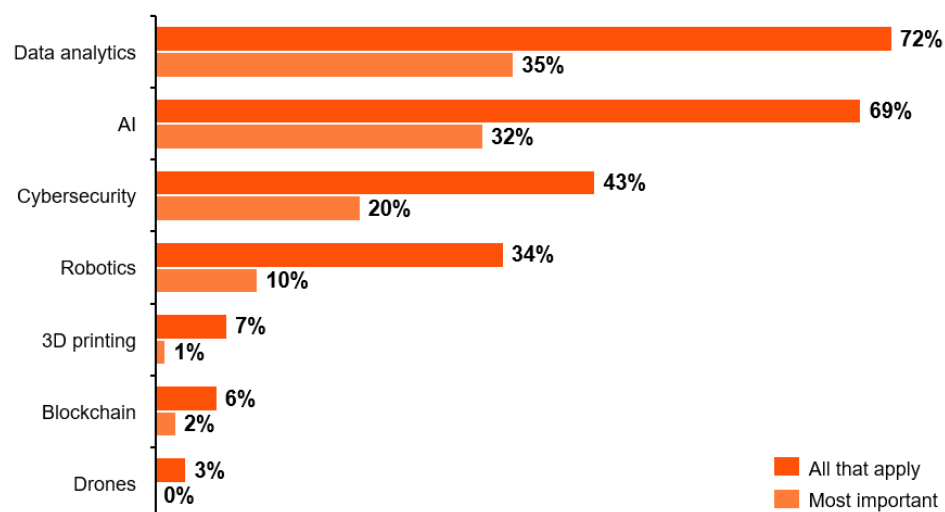


Fig. 53 Which of the following areas will you be investing in?



Digitalisation is transforming risk management

Digital transformation is reshaping operations across multiple dimensions. The highest impact was registered for risk management, with an average rating of 8.67 out of 10, and 59% of respondents assigning it the maximum rating (9–10) – the most significant digital impact of any operational category measured.

Risk management encompasses numerous use cases – from AI-powered contract analysis during due diligence that reviews thousands of agreements to flag outlier terms, uncapped liabilities and change-of-control provisions that

create execution risk; to continuous surveillance of portfolio company KPIs to monitor revenue, margin and covenant breach risks.

Supply chain and logistics followed at 8.34, pointing to the intensive work being done within portfolio companies to navigate tariff exposure, input cost volatility and logistics complexity. R&D and innovation (7.86), purchasing and production (7.37), and marketing, sales and customer service (7.05) were all registered as material impacts, demonstrating that digital transformation is permeating every operational dimension of the businesses that PE owns and manages.

Fig. 54 How would you rate the level of impact from digital transformation on the following elements of your company's business model? (Rate from 1 to 10, 1 impacted least and 10 impacted most)

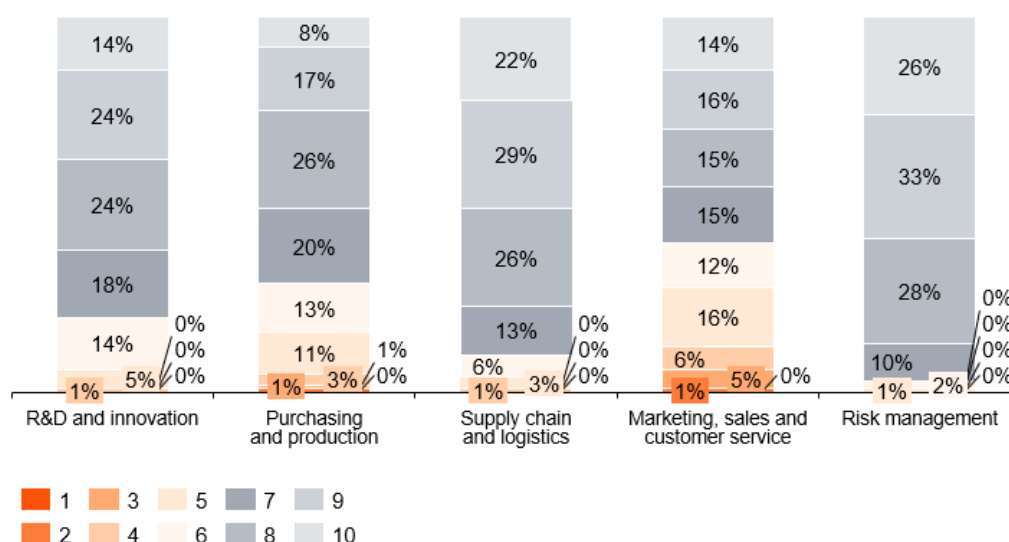
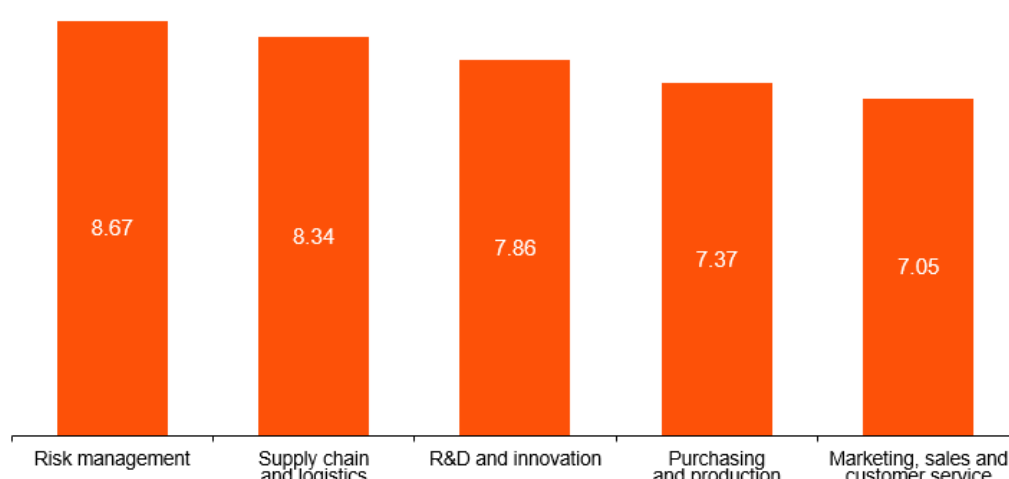


Fig. 55 How would you rate the level of impact from digital transformation on the following elements of your company's business model? (Rate from 1 to 10, 1 impacted least, 10 impacted most)



Deployment of these tools spans the entire investment life cycle, from sourcing to exit. Eighty percent of respondents already use data analytics and generative AI when identifying potential target companies. Due diligence is emerging as the dominant application: 31% ranked it as the most important use case for data analytics and AI in 2025 and, notably, 83% expect to be using data analytics for due diligence in 2026 – making it the fastest-growing application area. This represents a fundamental rewiring of how deals are evaluated, with data-driven insights replacing traditional manual processes.

The specific purposes for which AI is deployed reveal where GPs see the greatest value. Eighty-eight percent of respondents use AI for risk intelligence, the highest usage rate of any AI application, with 31% ranking this as the most important purpose. This reflects how risk management has become the primary battlefield for digital competitive advantage, spanning cyber threat detection, portfolio company performance monitoring and predictive analytics for covenant compliance. Three quarters use AI for investment pre-screening, while 72% deploy it for portfolio efficiency.

Fig. 56 In which of the following areas of the investment cycle has your organisation used data analytics/GenAI in 2025?

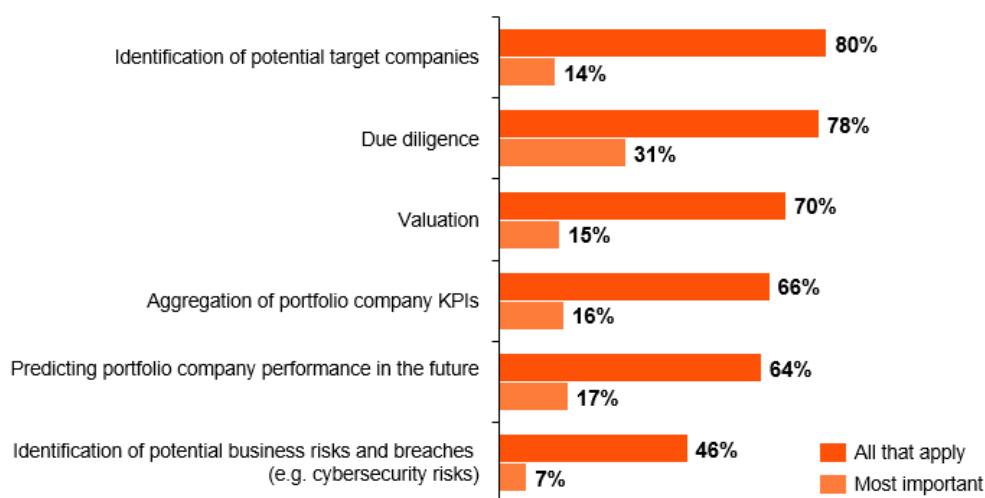


Fig. 57 In which of the following areas of the investment cycle do you anticipate your organisation will use data analytics/GenAI in 2026?

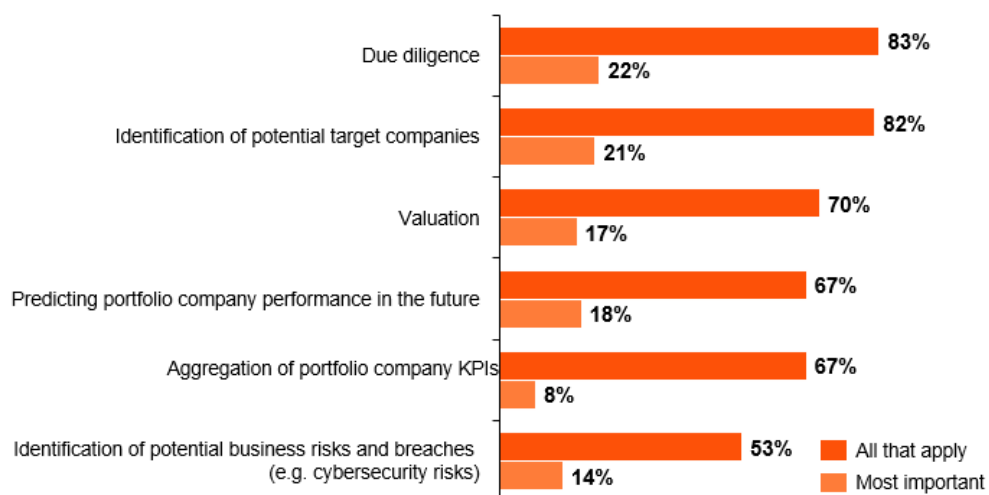
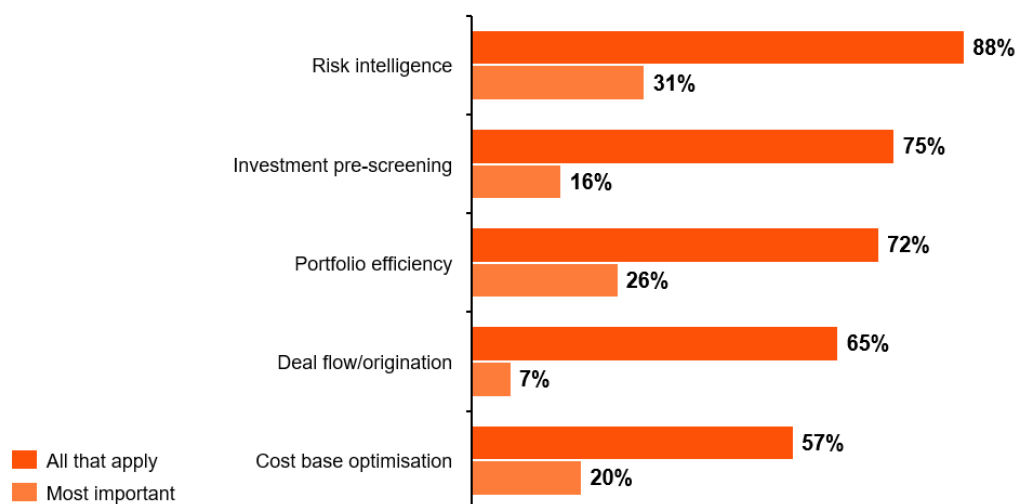


Fig. 58 For which purposes do you use AI?



Digital effect on returns

Ultimately, these digital capabilities are judged by their contribution to returns. A 72% majority of respondents believe that the level of digital transformation is either important (53%) or very important (19%) to future exits from their current portfolio companies and the subsequent returns to be achieved. Only 28% remain neutral and, notably, no GPs whatsoever consider it unimportant.

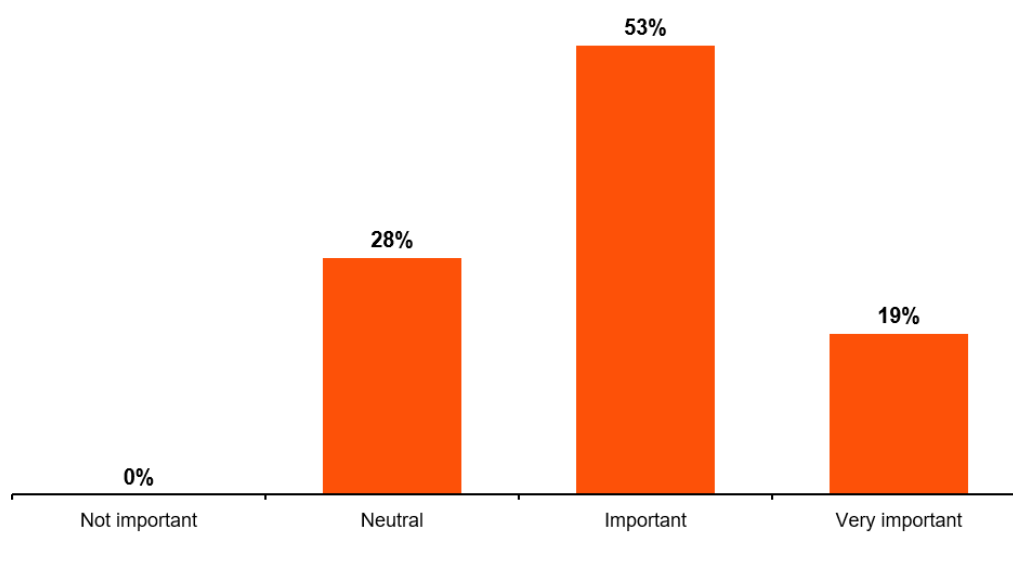
This near-unanimous recognition signals a fundamental market shift in which digital capabilities have moved from a back-office consideration to the primary determinant of exit multiples, with buyers now scrutinising AI readiness, data infrastructure and automation potential as core drivers of growth, resilience and value rather than peripheral enhancements.

“AI can deliver stronger operational efficiency. Management of portfolios, ESG aspects and supply chain resilience will rely on AI tools in the future. We will invest in AI solutions that can bring about the kind of transformation that improves revenue generation within portfolio companies,” said the investment manager of a Dutch PE firm.

Most significantly, AI embedded into portfolio companies creates sustainable competitive advantages – pricing optimisation, demand forecasting, customer segmentation – that translate directly into EBITDA growth and exit premiums.

“We want to invest in technologies that promise to make our operations and portfolio company operations future-proof,” said the senior principal of a PE firm in Belgium. “AI has vast applications, which solutions providers and internal teams are trying to identify. Utilising advanced tools would help optimise exit strategies and reduce risks in investments.”

Fig. 59 To what extent do you believe that the level of digital transformation is important to future exits from your current portfolio companies and the subsequent returns achieved?



Chapter 5: ESG and responsible investing



ESG and responsible investing

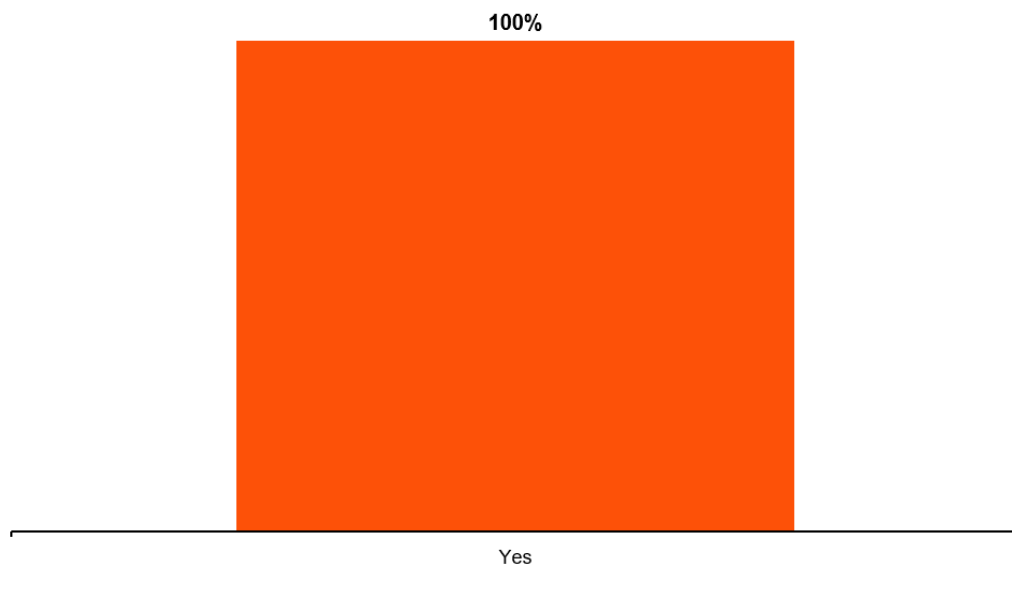
ESG is now a competitive advantage

European PE is approaching ESG as more than a compliance obligation, framing it instead as a competitive advantage. That strategic position has been validated by universal adoption across the industry, even as the regulatory terrain has shifted beneath it.

The ambitious sustainability framework erected between 2019 and 2024 that spans the Corporate Sustainability Reporting Directive (CSRD), the Corporate Sustainability Due Diligence Directive (CSDDD), the Sustainable Finance Disclosure Regulation (SFDR) and the EU Taxonomy has now been streamlined under the Omnibus I package adopted in December 2025.^{40, 41}

This regulatory simplification removes administrative drag from an industry that has already reached full maturity. Every firm surveyed reported having a responsible investing or ESG policy together with implementation tools. ESG has become embedded in firms' infrastructure, with dedicated teams, established processes, board-level accountability and systematic integration into value creation.

Fig. 60 Does your firm have a responsible investing or ESG policy and the tools to implement it?



⁴⁰ Council signs off simplification of sustainability reporting and due diligence requirements to boost EU competitiveness (2026). European Council.

<https://www.consilium.europa.eu/en/press/press-releases/2026/02/24/council-signs-off-simplification-of-sustainability-reporting-and-due-diligence-requirements-to-boost-eu-competitiveness/#:~:text=This%20legislation%20simplifies%20the%20directives,of%20obligations%20on%20smaller%20companies>

⁴¹ Omnibus I – the European Union concludes CSDDD and CSRD reforms (2026). Clifford Chance.

<https://www.cliffordchance.com/insights/resources/blogs/business-and-human-rights-insights/2026/02/omnibus-i-the-european-union-concludes-csddd-and-csrd-reforms.html#:~:text=On%209%20December%202025%2C%20the,text%20on%2016%20December%202025>

ESG at the heart of operations

The integration runs deeper than policy. Eighty percent of respondents already say that ESG value levers are always a core part of their value creation story when assessing buy-side opportunities, an increase from 72% in our previous survey, with a further 17% saying they are core in most cases.

Meanwhile, 76% set ESG-specific KPIs in portfolio companies and monitor them regularly, up from 72% last year. These trends run counter to the political pushback against ESG in some markets, most notably the US. European PE has concluded that sustainable operations build more valuable companies.

This transatlantic divergence has become one of the defining features of the global PE landscape. In the US, political pressure from Republican-led state legislatures and attorneys general has led several large asset managers to withdraw from climate-focused coalitions and soften public ESG commitments. The backlash has been primarily political rather than economic – US institutional investors such as CalPERS and CalSTRS continue to integrate ESG factors into investment decisions – but it has created reputational risk for managers with global platforms seeking to maintain consistent messaging across jurisdictions. European GPs, by contrast, operate within a regulatory framework where ESG integration is embedded into law rather than being subject to political discretion. The SFDR, CSRD, CSDDD and EU Taxonomy collectively create a compliance architecture that makes ESG integration a baseline requirement rather than a voluntary commitment. This structural difference explains the 100% ESG policy adoption rate reported in this survey: European firms are not making a philosophical choice about ESG – they are operating within a system that mandates it. Commercial logic reinforces this regulatory imperative. According to peer-reviewed research published in the *Journal of Financial Economics* and studies by the European Corporate Governance Institute (ECGI)⁴², companies with strong ESG profiles command premium valuations at exit, attract broader buyer pools (as strategic acquirers increasingly require ESG compatibility in targets) and demonstrate greater operational resilience. For European GPs, the question is no longer whether to integrate ESG, but how to do so in a way that generates measurable value rather than merely satisfying compliance requirements.

This deepening integration is a fundamental shift in how value is assessed. LPs are increasingly screening for ESG capabilities in fund selection, with sustainability-linked commitments becoming standard in major mandates.

“The expectations of limited partners are changing and they are focusing more on ESG performance of portfolio companies. Future investment allocations are based on financial and ESG factors. Many investors consider ESG an essential parameter now, so we need to keep tabs on how portfolio companies are performing here,” explained an investment director at a UK-based PE firm.

⁴² *Journal of Financial Economics* (n.d.). ScienceDirect.
<https://www.sciencedirect.com/journal/journal-of-financial-economics>

Simultaneously, exit preparation now routinely includes ESG readiness assessments, as strategic buyers and financial sponsors alike scrutinise environmental liabilities and social governance frameworks during due diligence. “Monitoring KPIs helps us actively manage ESG standards,” said the senior principal of a Belgium-based firm. “It gives us the opportunity to enhance ESG strategies and make sure that they are mature enough at the time of exit.”

Fig. 61 Are ESG value levers a core part of your value creation story when assessing buy-side opportunities?

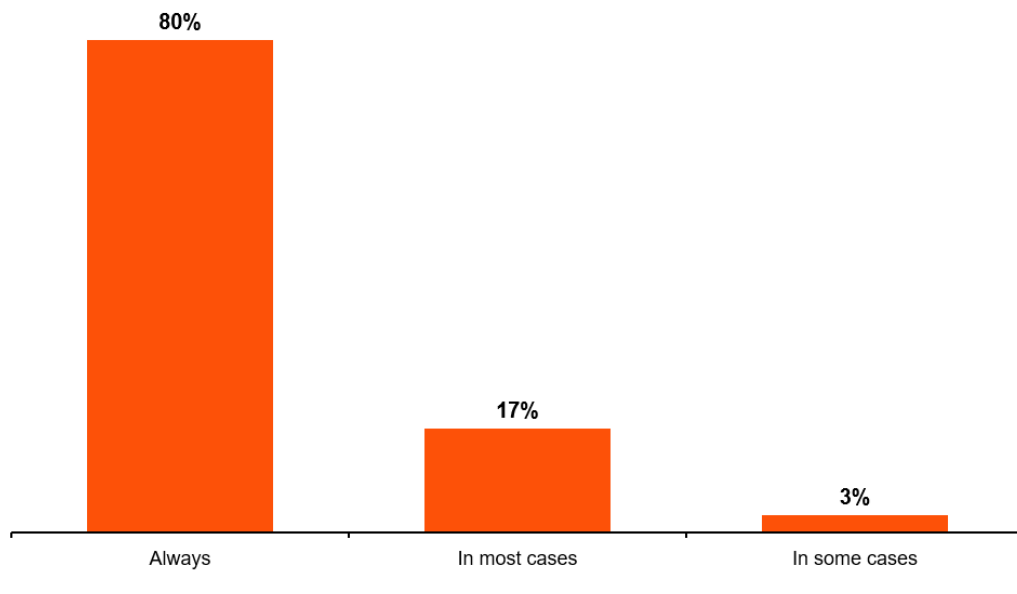
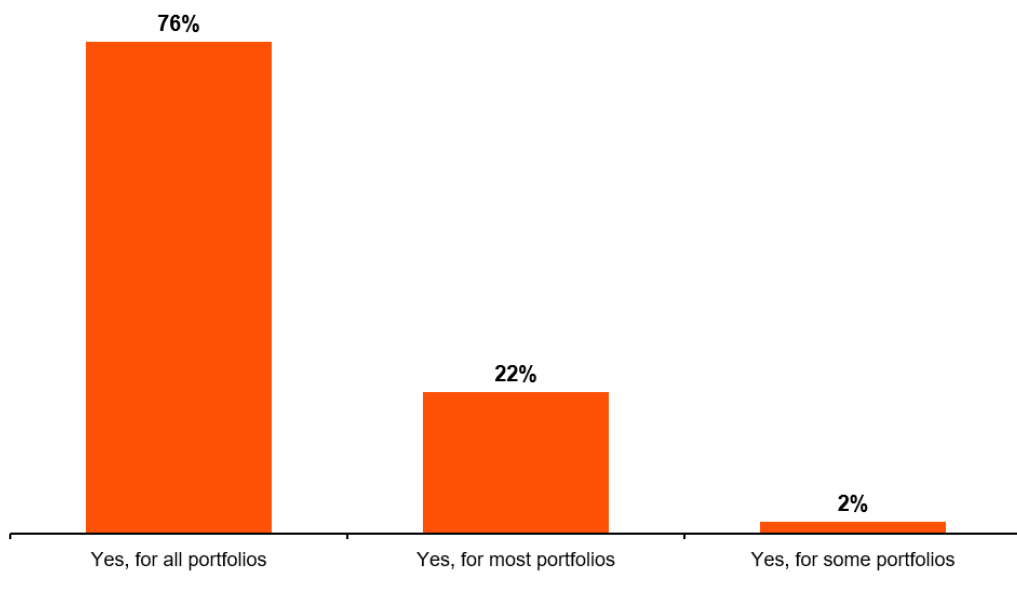


Fig. 62 Do you set ESG-specific KPIs for your portfolio companies and monitor them on a regular basis?



Putting the E in ESG

Environmental factors dominate GPs’ attention. Nearly half of respondents (46%) identified environmental considerations as the main ESG focus of their

investments and portfolios, reflecting both regulatory emphasis and commercial opportunities in the energy transition, circular economy and decarbonisation. Governance (37%) and social factors (17%) followed, the latter gaining attention as the EU develops its social taxonomy and as human rights due diligence frameworks mature.

Regulatory overhaul

The focus on environmental factors is not entirely surprising, given that the European sustainability framework has recently undergone profound revision. The Omnibus I package, adopted by the European Parliament on 16 December 2025⁴³, represented a decisive pivot from ambition to proportionality.

The CSDDD was most significantly affected. Originally applying to companies with 1,000-plus employees and €450 million in turnover, its scope has been narrowed dramatically to 5,000-plus employees and €1.5 billion in turnover, reducing the number of companies covered by an estimated 80%. Implementation has been pushed to July 2029 for all companies. Most strikingly, mandatory climate transition plans have been removed entirely, eliminating a behavioural requirement that would have compelled large corporations to demonstrate concrete decarbonisation pathways.

These changes are double-edged. Narrower scope means that fewer portfolio companies will face direct due diligence obligations. Delayed implementation provides breathing room for operational preparation. But the fundamental direction of accountability for supply chain environmental and human rights impacts remains intact. Firms must still assess value chain risks, address adverse impacts and provide remediation where they contribute to harm.

The CSRD was similarly tempered. Omnibus I has raised the thresholds from 500 to 1,000 employees and from €25 million to €50 million net turnover for large undertakings, exempting an estimated 80% of previously covered companies. Listed SMEs have received a two-year reprieve, with reporting deferred to 2028. Assurance requirements have also been simplified – limited assurance remains standard, with reasonable assurance standards now optional rather than mandated.

The CSRD's threshold shifts have immediate portfolio implications. A typical mid-market buyout fund with €500 million–€1 billion AUM previously faced the prospect of nearly all holdings falling under the scope of the CSRD; now perhaps one or two portfolio companies will trigger mandatory reporting. This concentrates compliance investment where it matters while freeing up operational resources for value creation rather than day-to-day administration of disclosures.

⁴³ *Simplified sustainability reporting and due diligence rules for businesses* (2025). European Parliament. <https://www.europarl.europa.eu/news/en/press-room/20251211IPR32164/simplified-sustainability-reporting-and-due-diligence-rules-for-businesses>

SFDR 2.0

The SFDR review, proposed in November 2025, is another key development.⁴⁴ The Commission acknowledged what market participants had long recognised: the SFDR's Article 8 and 9 framework had become a de facto labelling system without underlying criteria, creating confusion and greenwashing risk.

The proposed replacement is set to introduce three voluntary product categories. "Sustainable" products will invest in assets already meeting high sustainability standards. "Transition" products will channel capital towards companies on credible decarbonisation pathways, a category explicitly designed to legitimise engagement with high emitters rather than divestment. "ESG basics" will cover products that integrate ESG factors without meeting the higher thresholds.

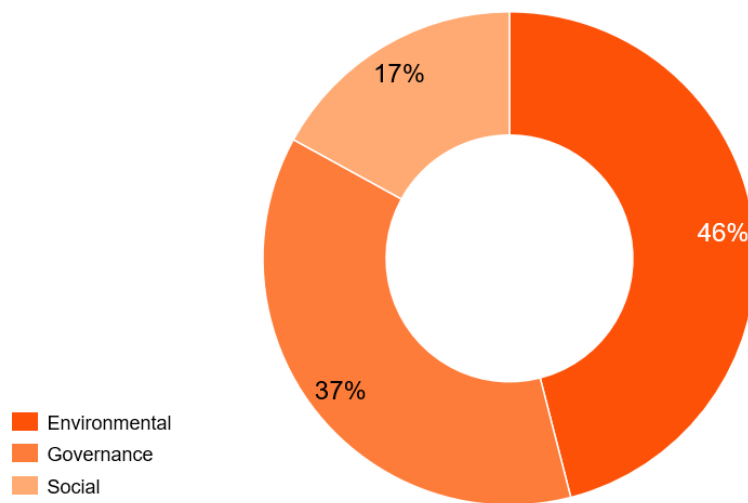
Principal Adverse Impact (PAI) reporting, previously the framework's centrepiece, is to be deleted at entity level and streamlined at product level. The requirement for financial market participants to publish statements on the sustainability impacts of their investments will also disappear, replaced by category-specific disclosures. Financial advisers would fall entirely outside the revised scope.

For PE, these changes address genuine pain points. The PAI framework generated voluminous disclosures of questionable utility. The new categories align with actual investment strategies: sustainable for green assets, transition for transformation stories, ESG basics for integration approaches. The transition category in particular validates PE's core competency of active ownership to improve company performance, including environmental performance, over time.

This regulatory overhaul signals maturing ESG, not ESG in retreat. Policymakers have recognised that complexity without clarity impeded sustainability objectives rather than advancing them. The simplified framework reduces compliance friction for PE while maintaining the essential architecture of transparency, accountability and alignment. Responsible investing is not a parallel activity; it is the standard of care.

⁴⁴ *Sustainability-related disclosure in the financial services sector* (2025). European Commission. https://finance.ec.europa.eu/sustainable-finance/disclosures/sustainability-related-disclosure-financial-services-sector_en

Fig. 63 Which one of the following is the main focus of your investments and portfolios?



Chapter 6: Zooming in on Germany



Zooming in on Germany

Europe's largest economy remains a major draw for PE

Germany's economy presents a paradox that PE has learned to exploit. Structural weakness is creating a tactical opportunity. The economy that once defined European industrial excellence faces profound restructuring pressure from energy costs, Chinese competition and technological disruption. However, it is precisely these pressures that generate the carve-outs, succession transactions and operational transformation opportunities where PE excels.

Deepening commitment

Our research shows an industry doubling down on German exposure despite, or because of, these challenges. Two thirds of respondents (66%) now have investments in Germany, a step up from 58% a year ago. Of these respondents, 97% are planning further investments over the next five years, with 56% expecting to increase their exposure and 40% intending to maintain current levels. This commitment is indicative of experienced fund managers recognising opportunities where others see difficulties.

Among firms without German exposure, 95% have no plans to invest, up from 90% previously. Germany has become a market for the committed, not the curious. Labour co-determination and the relationship-intensive nature of *Mittelstand* transactions create barriers to entry that reward experience and persistence. PE firms that have built these capabilities are seeing growing opportunities.

International comparisons place Germany mid-tier: 41% of respondents rated its attractiveness as "quite good", and 26% rated it as "very good". On a forward-looking basis, the country trails the US (72%), the UK (66%) and the Netherlands (65%) in expected attractiveness gains, though a 58% majority view Germany as being an increasingly attractive destination for PE investment over the next five years.

The country's economic model faces existential pressure. Two consecutive years of GDP contraction in 2023–24⁴⁵ marked the first such episode outside of global crises since reunification. Manufacturing output remains below pre-pandemic levels. Energy-intensive industries such as chemicals, metals and paper have permanently shed capacity. The automotive sector is simultaneously being confronted by the EV transition and Chinese competition.

The policy response to these mounting pressures has been substantial and provides tangible tailwinds. The new coalition government's €500-billion infrastructure and defence fund⁴⁶, exempted from constitutional debt limits, represents a generational fiscal expansion. A €100-billion allocation within this fund targets climate and transformation projects. The reintroduction of 30%

⁴⁵ German economy contracts for second consecutive year in 2024 (2025). Reuters.
<https://www.reuters.com/markets/europe/german-economy-contracted-02-2024-2025-01-15>

⁴⁶ Germany agrees historic fiscal package and debt brake change (2025). ING.
<https://think.ing.com/snaps/german-parliament-agrees-on-fiscal-package-and-changes-to-the-debt-brake>

declining-balance depreciation through 2027, the “investment booster”, directly benefits PE portfolio companies making capital investments. Planned corporate tax reductions, phased in from 2028, will lower the rate from 15% to 10% by 2032.⁴⁷ Meanwhile, amendments to Germany’s Supply Chain Due Diligence Act have removed reporting obligations and narrowed sanctions, reducing compliance burdens ahead of CSDDD implementation.

This restructuring imperative creates three distinct opportunity sets. First is corporate carve-outs. Industrial conglomerates such as BASF, Siemens and ThyssenKrupp are rationalising their portfolios under shareholder pressure. Non-core assets with operational improvement potential suit PE, as they are complex enough to deter trade buyers, fixable through active ownership and highly saleable once transformed. Last year’s €7.7-billion BASF coatings carve-out by Carlyle and the Qatar Investment Authority exemplifies this trend.

The second set of opportunities lies in *Mittelstand* succession. The backbone of German industry, these family-owned, engineering-intensive and export-oriented businesses are facing generational transition. Owners without successors, capital constraints for digital and green investment, and the need for patient capital that respects works council relationships make PE partnership increasingly attractive. These transactions require cultural sensitivity and operational expertise but deliver durable competitive positions.

The scale of this succession opportunity is remarkable. According to the KfW’s most recent *Nachfolge-Monitoring* (Succession Monitor)⁴⁸, approximately 560,000 German SMEs – representing roughly 16% of all *Mittelstand* companies – will seek ownership transitions by 2027. Reuters has reported that many retiring *Mittelstand* owners are struggling to find successors, particularly in manufacturing-intensive sectors where the complexity of operations and the capital requirements for digitalisation and decarbonisation exceed what individual successor-owners can typically provide. The Institut für Mittelstandsforschung (Institute for *Mittelstand* Research)⁴⁹ in Bonn estimates that roughly 30% of planned successions fail to identify a family or internal successor, creating a growing pipeline of potential PE transactions. This dynamic is amplified by the demographic profile of German business ownership: approximately one third of *Mittelstand* owners are above the age of 55, and the cohort of owners approaching retirement is expanding more rapidly than the pipeline of qualified internal successors. For PE firms with the cultural sensitivity and operational expertise to navigate co-determination requirements and the relationship-intensive nature of German family business transactions, this represents a multi-year, structurally driven deal flow opportunity that is largely insulated from macroeconomic cycles

The third set of opportunities is in green industrial transformation. Germany’s energy transition – encompassing renewables, grid infrastructure, hydrogen and

⁴⁷ German parliament passes 46-bln-euro corporate tax relief package (2025). Reuters.

<https://www.reuters.com/en/german-parliament-passes-46-bln-euro-corporate-tax-relief-package-2025-06-26>

⁴⁸ KfW Research – Research in economy, society and environment (n.d.). KfW.

<https://www.kfw.de/About-KfW/KfW-Research>

⁴⁹ Information on *Mittelstand* enterprises (n.d.). IfM-Bonn.

<https://www.ifm-bonn.org/en>

industrial electrification – demands capital at scale. PE’s combination of project development capability, operational improvement and longer-hold infrastructure-style vehicles aligns with these requirements.

Germany’s restructuring is likely to extend past this decade. Fiscal stimulus will provide short-term support, but structural competitiveness requires deeper reform. PE firms with the operational expertise and cultural familiarity with the country’s business environment will find abundant deal flow.

Fig. 64 Does your firm currently have any investments (e.g. portfolio companies) in Germany?

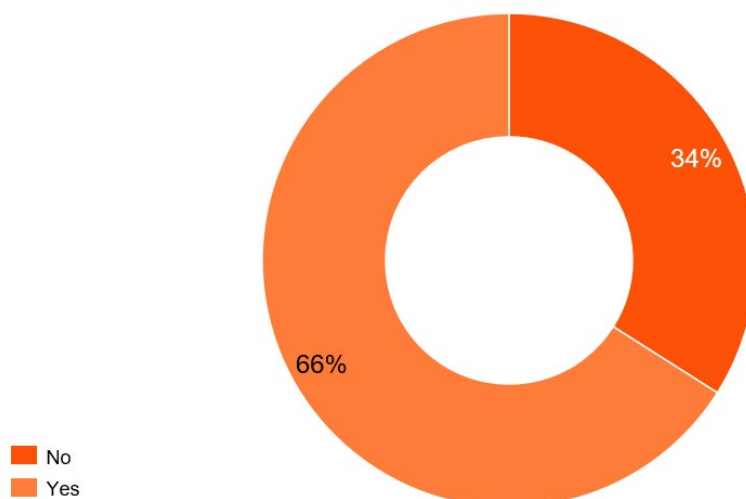


Fig. 65 Do you plan to continue making investments in Germany over the next five years? (Question posed only to those who have investments in Germany)

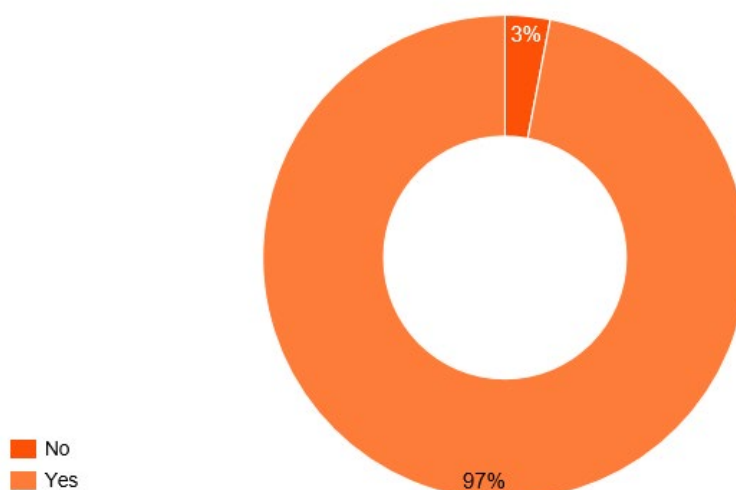


Fig. 66 How do you think that the assets that you allocate to Germany over the next five years will change? (Question posed only to those who plan to continue making investments in Germany over the next five years)

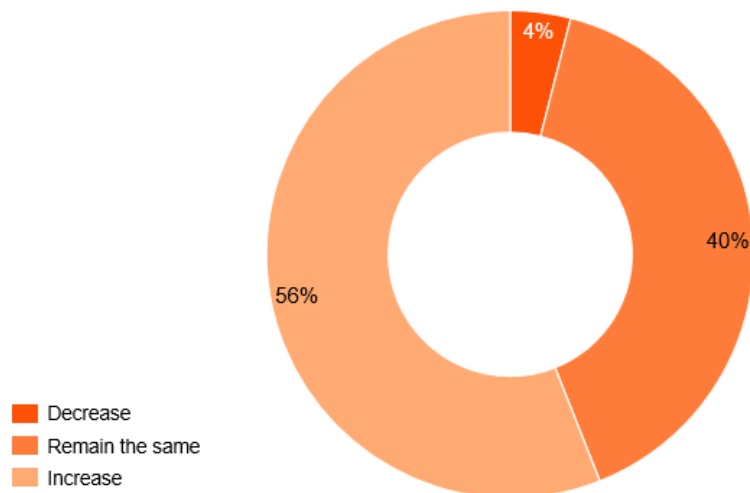


Fig. 67 Do you plan to make any investments in Germany over the next five years? (Question posed only to those who do not have any investments in Germany)

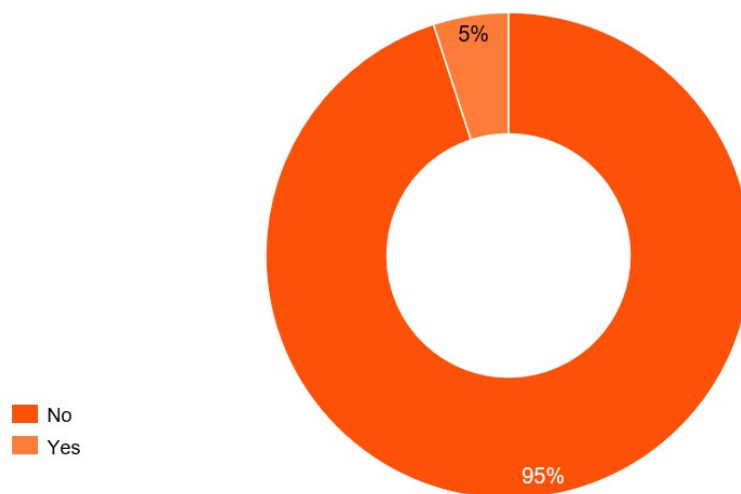


Fig. 68 In an international comparison with other countries, what is your assessment of the attractiveness of Germany as a location for private equity investment?

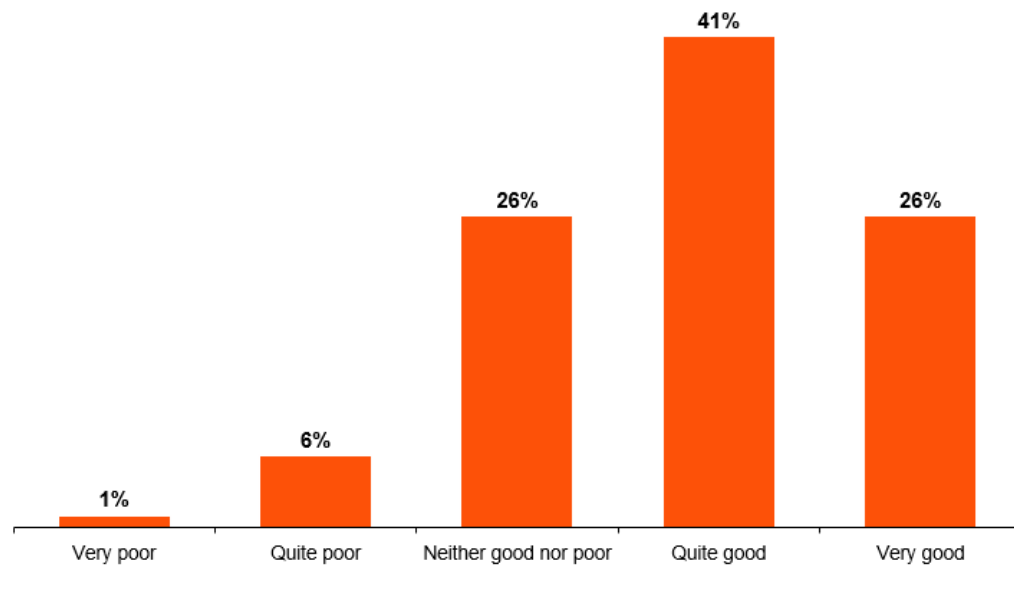
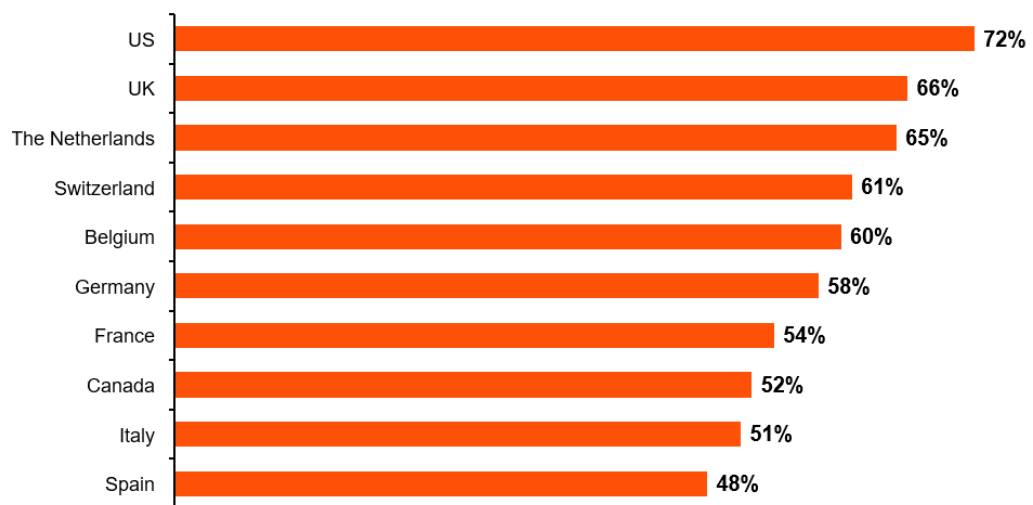


Fig. 69 In your opinion, which countries or regions will become more attractive for private equity investments over the next five years? (Top 10)



Appendix



Appendix

Fig. 3 European PE trends

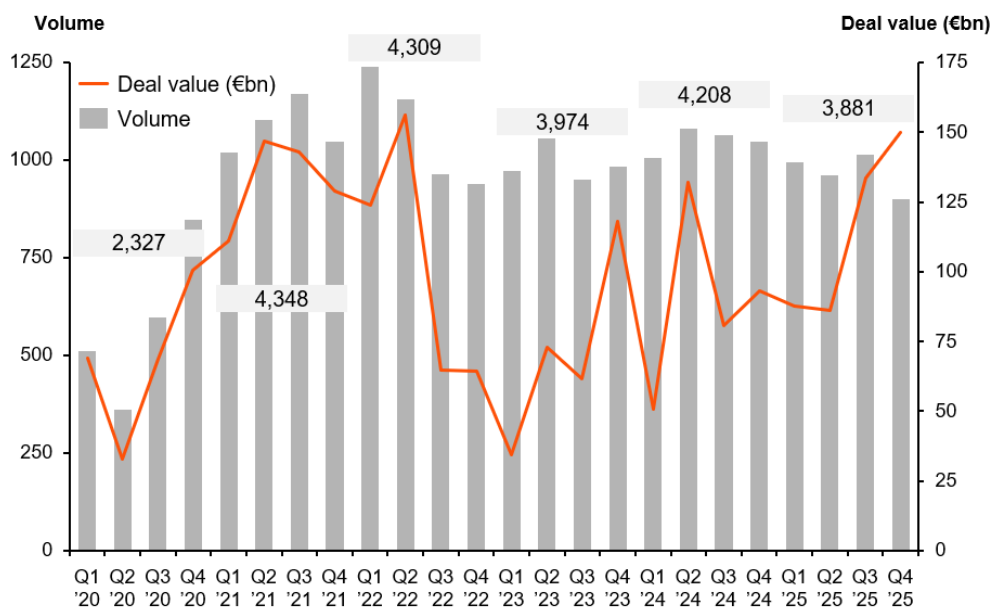


Fig. 4 European buyout trends

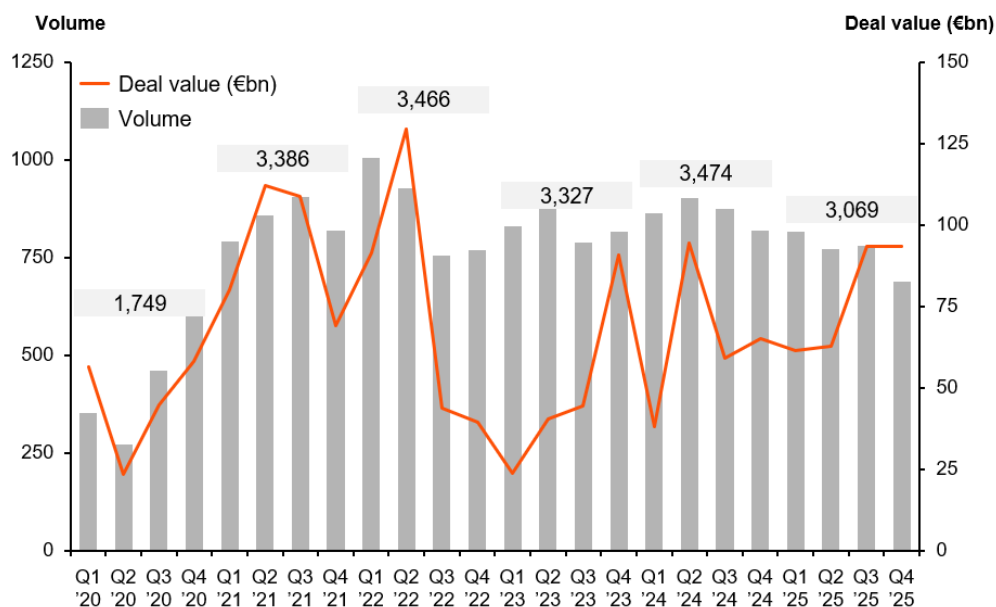


Fig. 6 European exit trends

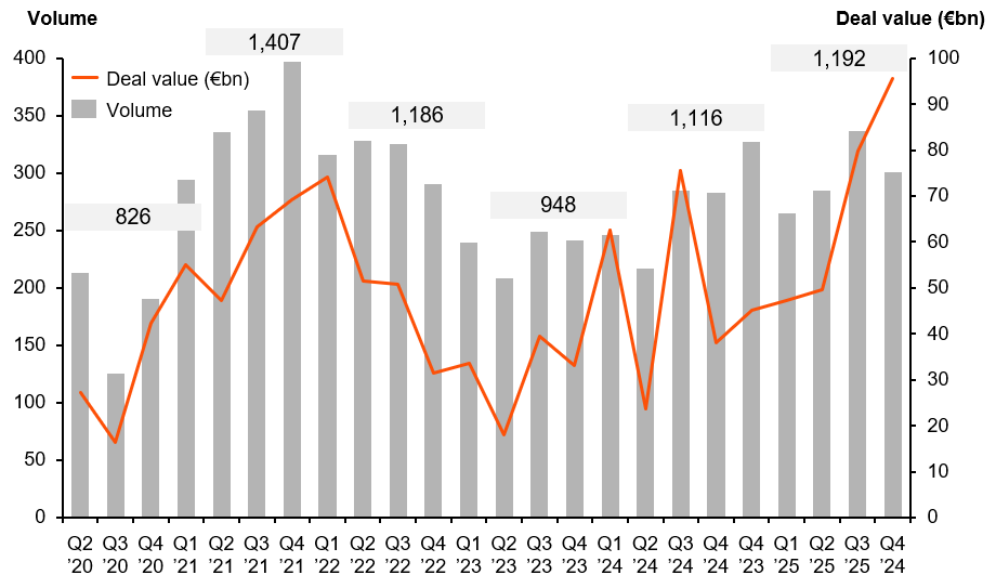


Fig. 12 DACH PE trends

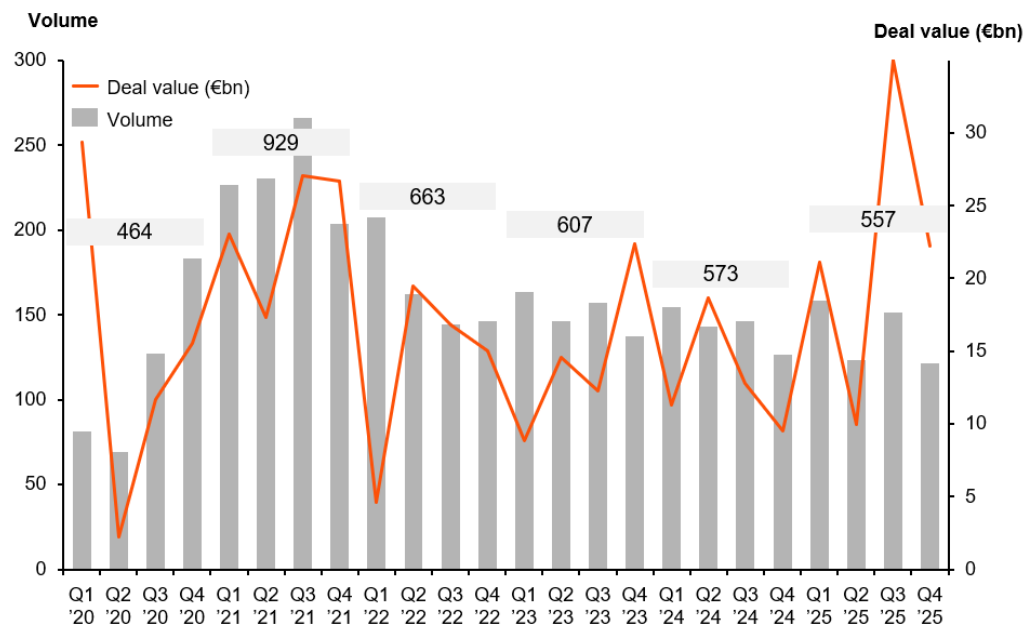


Fig. 13 DACH buyout trends

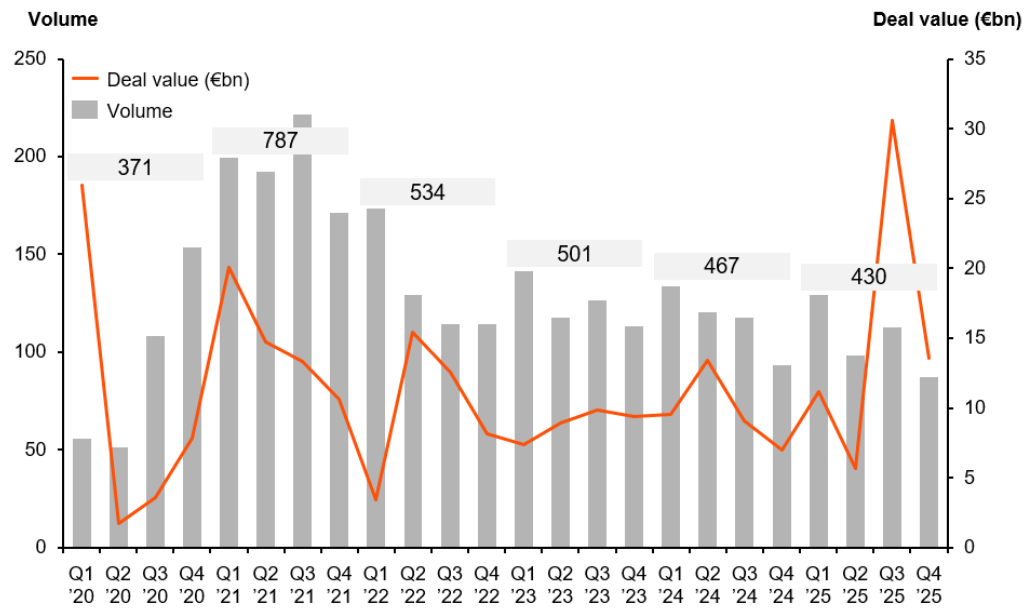


Fig. 15 DACH exit trends

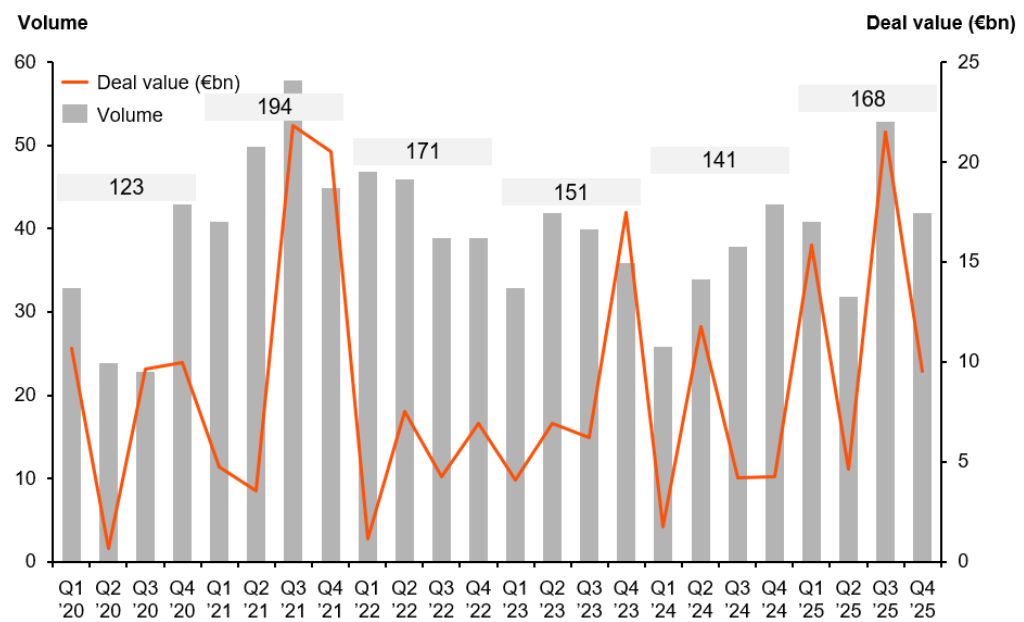


Fig. 16 Benelux PE trends

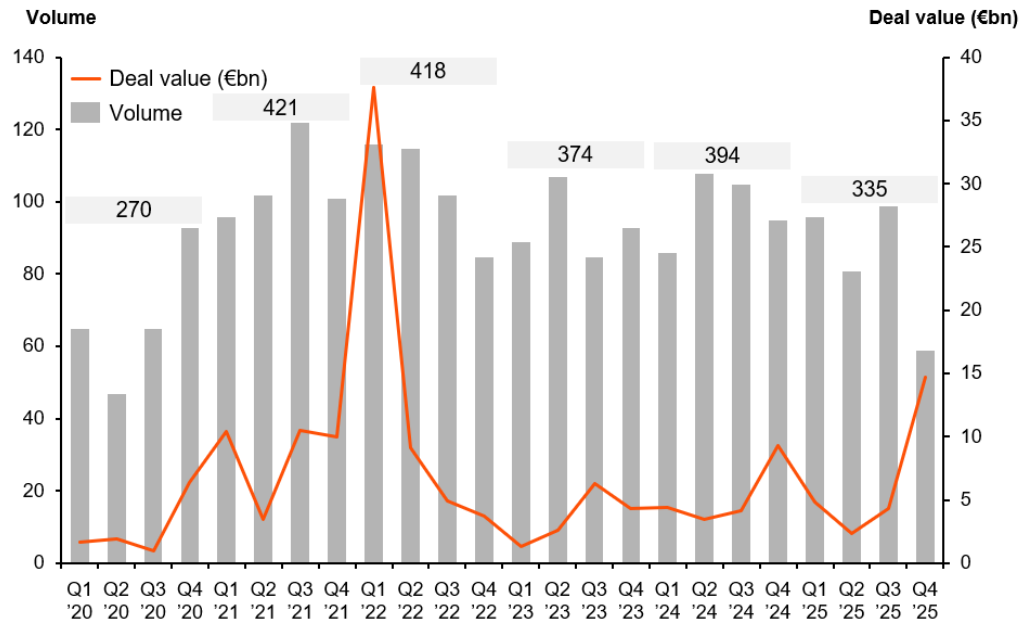


Fig. 17 Benelux buyout trends

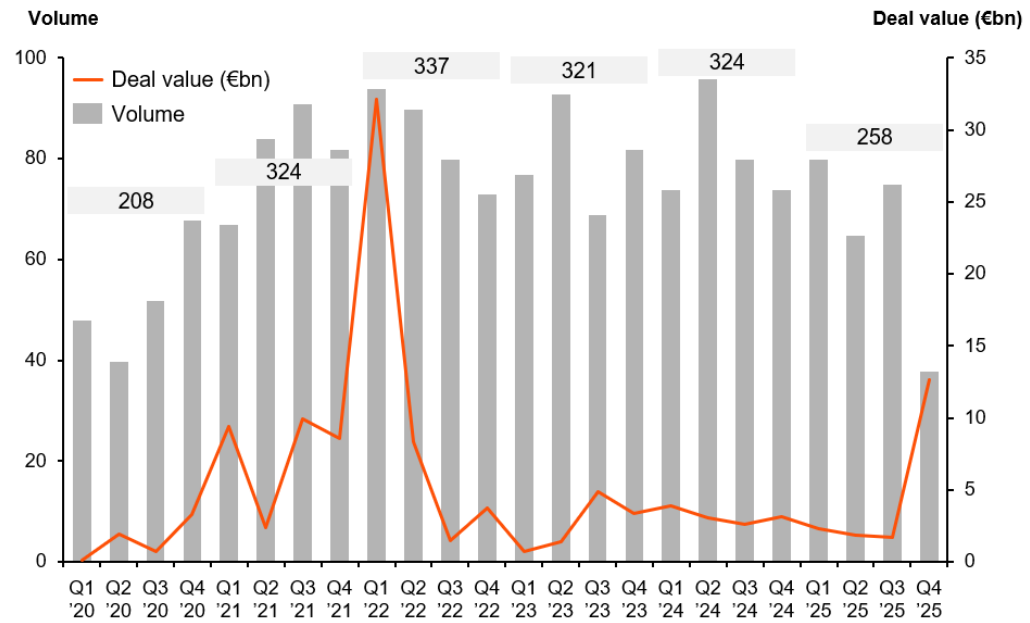


Fig. 18 Benelux exit trends

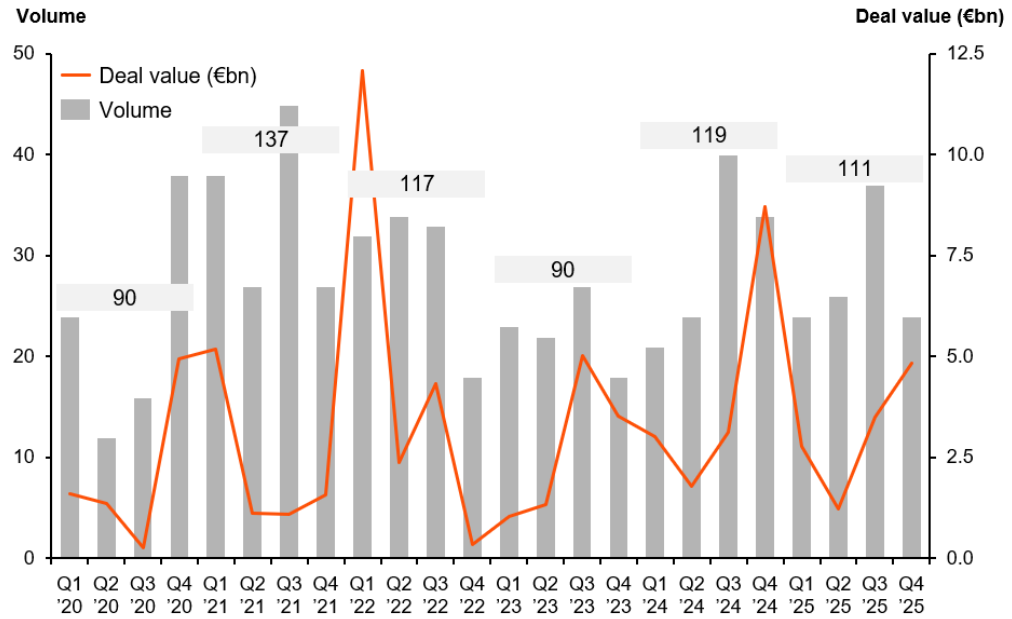


Fig. 37 In your opinion, which of the following industries is your organisation most likely to invest in over the next two to three years?

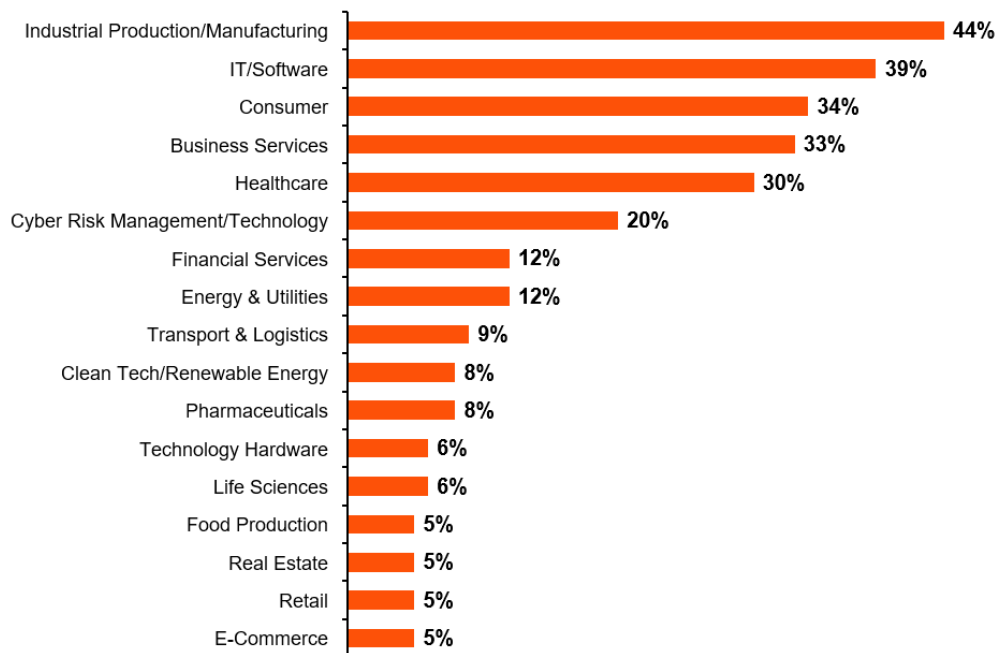


Fig. 38 And which of these industries do you expect to undergo the most transformation?

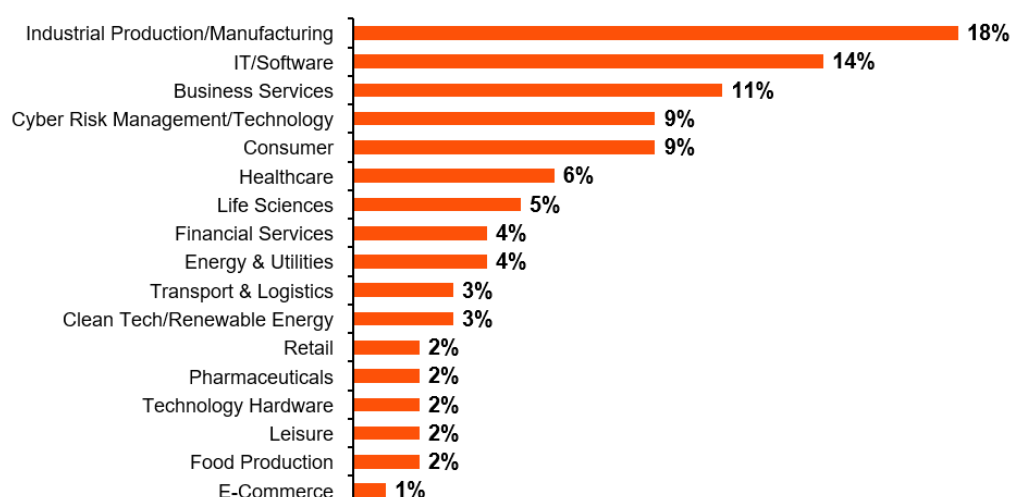
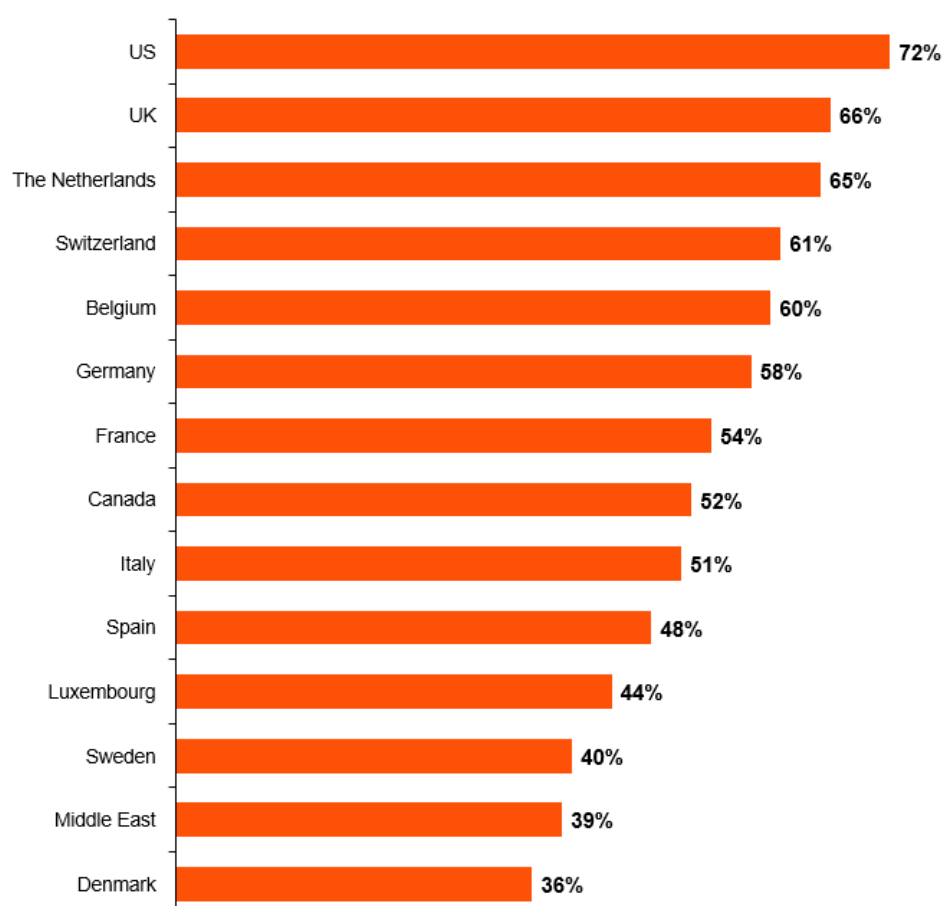


Fig. 69 In your opinion, which countries or regions will become more attractive for private equity investments over the next five years?



Thank you

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